# Retirement Reforms That Pay for Themselves*

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November 9, 2026

**Abstract**

Retirement policies are life-cycle policies: they change the return to work decades before benefits are paid, their effects depend on how health evolves with age, and their fiscal consequences run through income taxes, disability insurance, Medicare, and means-tested transfers as well as through pension outlays. We measure the marginal value of public funds (MVPF) of 66 retirement reforms in a life-cycle model of labor supply, saving, and Social Security claiming with health, disability, mortality, and wage risk, estimated on US panel data by the method of simulated moments. The ranking of reforms turns on whether a reform rewards or mandates later retirement. Raising the delayed retirement credit, or steepening the adjustment of benefits around the normal retirement age, raises welfare and lowers government spending: these reforms pay for themselves. Raising the normal retirement age saves money by cutting benefits at every claiming age and lowers welfare. Among benefit expansions, a higher replacement rate in the bottom bracket of the benefit formula delivers the most welfare per dollar, and expansions of Medicare coverage and old-age income tax cuts deliver the least.

**JEL codes:** H55, J26, H21, I13, D15.
**Keywords:** Social Security, retirement, marginal value of public funds, health, delayed retirement credit, life-cycle model.

*Ndiaye: New York University (an1490@nyu.edu). Yu: Louisiana State University. The quantitative life-cycle analysis of retirement policy in this paper first appeared in an earlier version of our companion paper, Ndiaye and Yu (2026), which studies the constrained-efficient design of taxes and retirement benefits in a dynamic Mirrlees economy estimated on the same data. This paper develops the positive and fiscal analysis separately.

# 1 Introduction

The marginal value of public funds (MVPF) has become a common currency for comparing government policies. It divides the beneficiaries' willingness to pay for a policy by the policy's net cost to the government, where the net cost includes the fiscal externalities created by the behavioral responses the policy induces (Hendren 2016; Hendren and Sprung-Keyser 2020). Because it puts a tax cut, a health insurance subsidy, and a training program on the same scale, the MVPF identifies which policies deliver the most welfare per dollar and which pay for themselves. Most existing MVPFs come from quasi-experimental estimates of behavioral responses over relatively short horizons (Finkelstein and Hendren 2020).

Life-cycle policies fit this approach less easily, and retirement policy is the leading example. Social Security benefits depend on a worker's highest 35 years of earnings, so a change in the benefit formula changes the return to work at age 35 as well as at age 65. Rules that tie benefits to the claiming age change when people stop working, and therefore change income and payroll tax revenue, disability insurance and means-tested transfer outlays, and the population covered by Medicare. Who responds depends on health: whether a worker can postpone retirement depends on how costly work becomes as health deteriorates. A natural experiment that shifts benefits for one cohort identifies a local response of claiming or employment. It does not identify the present value of the fiscal externalities that accumulate over a lifetime, nor the insurance value of the reform to a worker who does not yet know whether their health will hold up.

Retirement policy is also where the fiscal stakes are largest. Population aging puts pressure on the financing of public pensions (Board of Trustees, OASDI 2024; Congressional Budget Office 2024), and the most common response is to raise the age at which full benefits are paid. The Social Security Amendments of 1983 raised the normal retirement age in the United States from 65 to 67; they also raised the delayed retirement credit, the increase in annual benefits for each year a worker postpones claiming beyond the normal retirement age, to 8 percent per year (Svahn and Ross 1983; Diamond and Gruber 1999). Increases in statutory retirement ages remain the centerpiece of reform proposals elsewhere and remain contentious (Le Monde 2023; Gruber and Wise 2009). This paper asks which retirement reforms deliver the most welfare per dollar of public funds, and which pay for themselves.

We answer this question in an estimated life-cycle model of retirement. Individuals face health shocks with three states—good health, poor health, and disability—that lower wages, raise out-of-pocket medical expenses, and raise mortality. They face persistent wage risk, choose consumption, saving, labor force participation, and hours, and decide

when to claim Social Security benefits. Their preferences over consumption and leisure are nonseparable, as in French and Jones (2011), and working entails a fixed time cost that is larger in poor health, so that labor supply is nonconvex and retirement emerges as a choice. Reentering the labor market after an exit is costly. The model incorporates the main features of the US system: the Social Security benefit formula with its claiming-age adjustments and earnings test, disability insurance, employer pensions, Medicare, a progressive and age-dependent income tax, payroll taxes, and a means-tested consumption floor. We estimate it in two steps on the Panel Study of Income Dynamics and the Medical Expenditure Panel Survey: health transitions, mortality, medical expenses, and wages are estimated directly from the data, and preferences are estimated by the method of simulated moments to match life-cycle profiles of participation and hours by health, of mean and median assets, and of labor market reentry. The estimated model reproduces the high and stable participation of workers in their thirties and forties, the earlier decline of participation among workers in poor health or with a disability beginning in their fifties, and the sharp exits of the sixties.

The estimates imply that working requires a fixed time cost of 791 hours per year in good health and 868 hours in poor health or with a disability—about 18 and 19 percent of the estimated annual time endowment of 4,491 hours—and that returning to work after an exit costs 3,312 hours. These nonconvexities make retirement a discrete and, in practice, irreversible choice, and they determine which workers can respond when the reward for working an additional year changes. In our companion paper (Ndiaye and Yu 2026), we show that these participation and reentry costs account for most of the decline in labor force participation at older ages in this economy, ahead of the effects of health on wages and on mortality.

We use the estimated model to compute the MVPF of 66 reforms in five families: the claiming-age dependence of Social Security benefits (the normal retirement age, the delayed retirement credit, and symmetric adjustments around the normal retirement age), the progressivity and level of the benefit formula, Medicare coverage after age 65, income taxes after age 62, and the return to saving. For each reform, we compute the ex ante willingness to pay of a worker at age 30, before health and wage histories are realized, the change in Social Security's own outlays, the change in every other tax and transfer, and the implied MVPF. The model thus serves as a laboratory in which every component of the MVPF of a life-cycle policy can be computed, including fiscal externalities that materialize decades after behavior changes and the insurance value of a reform against health risk.

Our first result establishes the value of the existing instruments. Eliminating Social Security would reduce welfare by 5.89 percent of lifetime consumption, the largest loss

among the instruments we study. Full coverage of medical expenses after age 65 would raise welfare by 4.28 percent, a full subsidy to saving that lets households earn the pretax return by 3.60 percent, and the elimination of the income tax by 3.16 percent; eliminating disability insurance would reduce welfare by 0.34 percent. None of these comparisons holds the government budget fixed, which is why we turn to the MVPF.

Our central result is that the MVPF of a claiming-age reform depends on whether the reform rewards or mandates later retirement. Reforms that raise the delayed retirement credit from the 4.5 percent faced by the cohort we study to between 8 and 10 percent, or that make the adjustment of benefits around the normal retirement age symmetric and steeper, raise welfare by 0.10 to 0.80 percent of consumption and lower government spending by 0.12 to 1.57 percent. Their MVPF is infinite: they pay for themselves. They lower Social Security's own outlays even though a higher delayed retirement credit raises the benefit of every worker who claims after the normal retirement age and lowers no one's benefit, so the claiming responses they induce more than finance the higher credit within the program. They also raise income and payroll tax revenue as careers lengthen. The moderate versions raise participation at every age group we track: workers in their thirties and forties work slightly more, and participation rises both at ages 62 to 64 and at ages 65 to 69. Raising the normal retirement age to 66, 67, or 68 instead lowers welfare by 0.38 to 1.09 percent while saving 0.87 to 2.38 percent of government spending. Its MVPF of 0.16 to 0.18 means that each dollar saved by raising the normal retirement age costs workers 16 to 18 cents in willingness to pay, measured in the dollars of retirement-age consumption we use throughout.

The mechanism is the difference between a reward and a mandate when health makes work costly for some workers but not for others. A higher delayed retirement credit is paid only to those who choose to delay—by revealed preference, workers for whom continued work is least costly relative to its reward—and it leaves intact the option to claim early for workers whose health makes work costly. Delaying a claim saves the program money whenever the credit is below the rate that would make the delay actuarially fair given the claimant's survival prospects and the interest rate, and this rate is higher for workers in worse health. A higher normal retirement age, in contrast, shifts the entire schedule of benefits by claiming age: it cuts benefits for every claimant at every claiming age, including those who cannot postpone retirement at low cost. It raises old-age participation through an income effect rather than through a reward.

Two of our reforms reproduce, for the cohort we study, the two changes to claiming incentives in the 1983 Amendments: a normal retirement age of 67 and a delayed retirement credit of 8 percent. In the model, the credit increase raises welfare by 0.16 percent and

saves 0.45 percent of government spending, whereas the increase in the normal retirement age lowers welfare by 0.74 percent and saves 1.75 percent, an MVPF of 0.16. The two halves of the reform thus sit at opposite ends of the ranking. Rewarding delay dominates mandating it in our grid whenever the required fiscal saving is moderate: raising the delayed retirement credit to 10 percent saves nearly as much as raising the normal retirement age to 66 while raising welfare instead of lowering it, and the steepest symmetric adjustment we consider saves more than the increase to 66 and raises welfare by 0.80 percent.

The remaining reform families sharpen the picture. Every expansion of the generosity of benefits costs money, and the bottom bracket of the benefit formula is where an additional dollar of benefits does the most good. The smallest increase in the bottom replacement rate pays for itself, mainly through the income taxes paid by the additional workers it draws into the labor force, and larger increases have MVPFs between 0.69 and 1.14. Increases in the upper replacement rates or in the level of all rates have MVPFs between 0.29 and 0.61. The bottom bracket concentrates the transfer on workers whose lifetime earnings were depressed by low ability or poor health. This history dependence, which runs through the benefit formula, is a source of value that linear, history-independent taxes cannot replicate; such taxes are nearly optimal in dynamic taxation models with exogenous retirement (Farhi and Werning 2013). Expanding Medicare coverage after age 65 by 20 percentage points has an MVPF of about 0.15, the lowest among the benefit expansions we study, consistent with diminishing returns to coverage once Medicare is in place (Finkelstein and McKnight 2008; Hendren and Sprung-Keyser 2020). Cutting income taxes after age 62 generates the largest participation responses of any reform we study, up to 8.9 percentage points at ages 65 to 69, but its MVPF is only between 0.23 and 0.26 because the welfare gain is small relative to the net revenue loss. Subsidies to saving raise welfare at a modest net cost because additional saving raises tax revenue, but they lower old-age participation through an income effect, and we show that their MVPFs rest on a different consumption base from the other reforms.

These results have a direct implication for how to close a financing gap. The MVPF ranks the ways of raising a dollar of revenue by their welfare cost. Reforms that reward delay come first: they raise revenue and welfare at the same time. Among benefit cuts that lower welfare, raising the normal retirement age is comparatively inexpensive, cheaper per dollar than raising income taxes on older workers, but it is dominated by rewards for delay up to the largest fiscal saving that any reward-delay reform in our grid achieves.

Two features of the MVPF of a life-cycle policy drive these conclusions and are easy to miss in short-run evaluations. First, willingness to pay is computed ex ante, before health is known. Reforms that preserve the option to retire early for those whose health

deteriorates provide insurance that an ex post evaluation of the workers who delay would not capture. Second, a substantial part of the fiscal consequences of retirement reforms falls outside Social Security, through income and payroll taxes, disability insurance, and transfers, and it accrues over many years after the reform first changes behavior: the smallest expansion of the bottom replacement rate pays for itself only because of the taxes paid by the additional workers it draws into the labor force. We report every component of the MVPF separately, state the formula that maps them into the MVPF, and show that each reported MVPF can be recovered from the reported willingness to pay and net cost.

**Related literature.** This paper contributes to four literatures. First, it builds on structural life-cycle models of retirement, which have shown how Social Security, pensions, health, and health insurance shape labor supply and saving at older ages (Gustman and Steinmeier 1986; Rust 1989; Rust and Phelan 1997; French 2005; van der Klaauw and Wolpin 2008; De Nardi et al. 2010; French and Jones 2011; Haan and Prowse 2014; Low and Pistaferri 2015; Blundell et al. 2016; De Nardi et al. 2024; Fan et al. 2024), and which have been used to evaluate changes in the normal retirement age and other Social Security reforms (Conesa and Krueger 1999; Imrohoroğlu and Kitao 2012; Kitao 2014; Laun and Wallenius 2015; Li 2018; Jones and Li 2023; Bairoliya and McKiernan 2023). Our model follows French (2005) and French and Jones (2011) in its treatment of preferences, wages, and the Social Security rules. It adds a disability state with disability insurance, which provides an alternative pathway out of the labor force at older ages (Maestas et al. 2013; French and Song 2014; Low and Pistaferri 2015; Yu 2024), fixed costs of work that depend on health, and age-dependent progressive income taxes (Borella et al. 2023), and it targets the population rather than male household heads. Relative to this literature, our contribution is to map a large set of reforms into a common welfare metric that accounts for their full fiscal consequences.

Second, the paper contributes to the welfare analysis of government policies with the MVPF (Hendren 2016; Hendren and Sprung-Keyser 2020) and to the sufficient-statistics approach to social insurance (Chetty 2009; Kleven 2021). Closest to our question, Haller (2022) evaluates pension reforms with sufficient statistics in the Baily–Chetty tradition, where the welfare effect of a reform compares a consumption-smoothing benefit with the total fiscal effect of the reform. We show how the components of our MVPF map into that comparison. The structural approach measures the fiscal externality over the entire life cycle and across all programs and computes the ex ante insurance value of each reform; sufficient-statistics estimates discipline the local behavioral responses on which such calculations rest. The two approaches are complements.

Third, the paper relates to the evidence on how workers respond to Social Security rules. Program rules generate strong early-retirement incentives across countries (Gruber and Wise 1998; Gruber and Wise, eds 2004; Coile 2019), and workers respond to benefit levels, to the marginal return to additional work, and to the early and normal retirement ages (Coile and Gruber 2007; Liebman et al. 2009; Mastrobuoni 2009; Staubli and Zweimüller 2013; Manoli and Weber 2016). Claiming and labor force exit are closely linked (Shoven et al. 2017), information alone does little to shift claiming (Liebman and Luttmer 2015), the earnings test affects employment (Gelber et al. 2020a,b), an increase in the normal retirement age raises disability insurance enrollment (Duggan et al. 2007), and statutory retirement ages affect behavior beyond the financial incentives they create (Behaghel and Blau 2012; Seibold 2021; Deshpande et al. 2024). Our reforms of the claiming-age schedule work only through financial incentives; we discuss how reference-point effects of statutory ages would change our conclusions.

Fourth, the paper complements the normative analysis of retirement and social insurance (Diamond and Mirrlees 1978; Cremer et al. 2004; Golosov and Tsyvinski 2006; Huggett and Parra 2010; Golosov et al. 2013; Hosseini 2015; Nishiyama and Smetters 2007; Hosseini and Shourideh 2019). In our companion paper (Ndiaye and Yu 2026), we characterize the constrained-efficient allocation in a dynamic Mirrlees economy with endogenous retirement, estimated on the same data, and find that optimal retirement consumption rises with the claiming age more steeply than the statutory delayed retirement credit implies. The present paper takes the opposite route. Instead of characterizing the optimum, it evaluates the reforms on the table within the existing system. The two analyses agree: the reforms that steepen the claiming-age schedule are those that pay for themselves.

**Outline.** Section 2 presents the model. Section 3 describes the data and the estimation and evaluates the model's fit. Section 4 defines the welfare and fiscal measures, the MVPF, and its decomposition. Section 5 presents the results, and Section 6 draws their implications for closing a financing gap. Section 7 discusses the measurement conventions, general equilibrium, reference-point effects of statutory ages, and the relation between the cohort we study and current law. Section 8 concludes. The appendices contain the details of the model, the data, the estimation, the construction of the reforms, and the derivations.

# 2 A Life-Cycle Model of Retirement with Health

This section presents the life-cycle model in which we evaluate retirement reforms and the government accounts with which we measure their fiscal effects. In the model, worse health raises the fixed time cost of working, lowers wages, raises out-of-pocket

medical expenses, lowers survival, and, in its worst state, opens access to disability insurance. Retirement is therefore a response both to incentives and to health, and health determines who can respond to a reform and at what cost. The institutions are those through which retirement reforms change behavior and the budget: the Social Security benefit formula with its claiming-age adjustments and earnings test, disability insurance, pensions, Medicare, the income and payroll taxes, and a means-tested consumption floor.

## 2.1 Demographics, Timing, and Choices

The economy is populated by a single cohort of individuals. Time is discrete and annual, and we index periods by age $t$. Individuals enter the model at age 30 and live at most until age $T = 85$; between consecutive ages they face a mortality risk that depends on age and health. The institutional environment is that faced by the cohort born between 1920 and 1940, whose life cycle we observe in the data (Section 3). We model individuals rather than households: the budget constraint contains no spousal income, and the model is estimated to match the outcomes of the whole cohort rather than those of male household heads.

At the beginning of age $t$, an individual observes her health $h_t$ and her ability $\theta_t$, which together determine her hourly wage. She holds assets $a_t$, a record of past earnings summarized by her annualized average indexed monthly earnings $aime_t$, and two indicators from the previous period: whether she has claimed Social Security retirement benefits, $b_{t-1} \in \{0, 1\}$, and whether she participated in the labor market, $P_{t-1} \in \{0, 1\}$. She then chooses consumption $c_t$, hours of work $n_t \geq 0$, and, if eligible, whether to claim retirement benefits, $b_t$. Participation is $P_t = \mathbf{1}\{n_t > 0\}$. At the end of the period she survives to age $t + 1$ with a probability that depends on her current health and age, and next period's health and ability are drawn.

The life cycle has three stages that differ in the choice set. Between ages 30 and 61, individuals choose consumption and hours. Between ages 62 and 69, they also decide whether to claim Social Security retirement benefits. Claiming is a one-time, irreversible decision, $b_t \geq b_{t-1}$, and it is not available before the early retirement age of 62. Claiming must occur by age 70: individuals who have not claimed earlier receive benefits from age 70, so that between ages 70 and 85 every individual receives benefits and chooses consumption and hours. Labor supply remains a choice at every age up to 85. Retirement, the decision to stop working, is therefore distinct from claiming: individuals can claim while working, stop working before claiming, and work past age 70.

## 2.2 Preferences

Flow utility is nonseparable in consumption and leisure, as in French and Jones (2011):

$$u(c_t, l_t) = \frac{1}{1-\nu}\left(c_t^{\gamma}\, l_t^{1-\gamma}\right)^{1-\nu}, \tag{1}$$

where $\gamma \in (0,1)$ is the weight on consumption and $\nu > 0$ is the curvature of utility in the consumption–leisure composite. Leisure is the time endowment net of hours worked and of two time costs of working:

$$l_t = L - n_t - \phi_n(h_t)\,\mathbf{1}\{n_t > 0\} - \phi_{RE}\,RE_t, \qquad RE_t = P_t\,(1 - P_{t-1}). \tag{2}$$

Here $L$ is the annual time endowment in hours, $\phi_n(h_t)$ is a fixed time cost incurred whenever hours are positive, and $\phi_{RE}$ is a reentry cost incurred by an individual who works at age $t$ after not working at age $t-1$. Individuals discount the future with factor $\beta$, so that expected lifetime utility at age 30 is

$$U = \mathbb{E}_{30} \sum_{t=30}^{T} \beta^{\,t-30} \left( \prod_{k=31}^{t} s_k \right) u(c_t, l_t),$$

where $s_k$ is the probability of surviving from age $k-1$ to age $k$ (Section 2.3). There is no bequest motive: assets held at death are accidental bequests that the individual does not value, and $a_{T+1} = 0$. This keeps the model comparable with life-cycle models of taxation with exogenous retirement (Farhi and Werning 2013; Golosov et al. 2016; Stantcheva 2017).

The fixed cost $\phi_n(h_t)$ makes labor supply nonconvex. The first hour of work costs $1 + \phi_n(h_t)$ hours of leisure, so short workweeks are dominated: an individual either works enough hours to justify the fixed cost or does not work at all. As incentives to work weaken with age, hours fall continuously only down to a threshold, below which participation drops discretely to zero. This is the mechanism through which life-cycle models generate retirement as a discrete exit rather than as a gradual reduction in hours (French 2005; Prescott et al. 2009; Rogerson and Wallenius 2013), and it places the participation margin at the center of the response to old-age incentives.

The reentry cost $\phi_{RE}$ makes an exit costly to reverse: an individual who has stopped working returns only if the gain from working covers $\phi_{RE}$ in addition to the fixed cost. Reentry is rare in the data, and the estimated reentry cost is large (Section 3). Incentives to work longer therefore act mainly on individuals who are still working when the incentive applies, rather than on those who have already left.

The fixed cost depends on health. Declining health makes work less pleasant (Blundell

et al. 2016), and a larger fixed cost raises the wage at which working becomes worthwhile, so that at a given wage unhealthy individuals are more likely to exit. Because the PSID contains few observations of individuals with a disability, we impose $\phi_n(1) = \phi_n(2)$ in estimation: poor health and disability share one participation cost. Disability nevertheless differs from poor health through wages, medical expenses, survival, and eligibility for disability insurance.

Three properties of (1) are used below. First, the coefficient of relative risk aversion over consumption, holding leisure fixed, is $-u_{cc}c/u_c = 1 - \gamma(1-\nu)$, which equals 1.38 at the estimates of Section 3.[1] Second, when $\nu > 1$, as in our estimates, the marginal utility of consumption falls with leisure ($u_{cl} < 0$), so that, other things equal, optimal consumption drops when an individual stops working. Third, utility is homogeneous in consumption: scaling consumption at every age and in every state by $e^x$ multiplies flow utility, and hence expected lifetime utility, by $e^{\gamma(1-\nu)x}$. Section 4.2 uses this property to express welfare changes as consumption equivalents.

## 2.3 Health, Disability, and Mortality

Health takes three values, $h_t \in \mathcal{H} \equiv \{0, 1, 2\}$: good health ($h_t = 0$), poor health ($h_t = 1$), and disability ($h_t = 2$). In the data, health is measured from self-reported work limitations in the PSID and self-perceived health in the MEPS (Section 3 and Appendix B). Health follows a Markov chain with age-dependent transition probabilities

$$\pi_{j,i,t+1} = \Pr\left(h_{t+1} = j \,|\, h_t = i,\, t+1\right), \qquad i, j \in \mathcal{H}.$$

The probability of surviving to age $t+1$ depends on current health and age, $s_{t+1} = S(h_t, t+1)$, with $s_{T+1} = 0$. Health at age 30 is drawn, jointly with assets, wages, and past participation, from the empirical distribution in the PSID (Appendix B).

Health and survival evolve exogenously: neither depends on past work, consumption, or medical spending. This is the identification assumption of French (2005), under which work decisions do not affect health or wages. It implies that reforms in the model change behavior, welfare, and the budget, but not the distribution of health or longevity in the cohort. Figure 1 in Section 3 shows the estimated transition, survival, medical-expense, and wage profiles by health.

[1] With $\gamma = 0.5354$ and $\nu = 1.7029$ (Table 2), $1 - \gamma(1-\nu) = 1 + 0.5354 \times 0.7029 \approx 1.38$.

## 2.4 Wages

The hourly wage has a deterministic component that depends on health and age and a persistent idiosyncratic component, ability:

$$\ln w_t(\theta_t, h_t) = W(h_t, t) + \ln \theta_t, \tag{3}$$

$$\ln \theta_t = \rho \ln \theta_{t-1} + \varepsilon_t, \qquad \varepsilon_t \sim \mathcal{N}(0, \sigma^2), \tag{4}$$

where the innovations $\varepsilon_t$ are independent over time and across individuals. The deterministic profiles $W(h, t)$ are estimated from the PSID with a correction for selection into work, and ability follows an AR(1) process with $\rho = 0.981$ and $\sigma^2 = 0.016$ (Section 3). At every age, the estimated wage profile is highest in good health and lowest with a disability, so that a deterioration of health lowers the return to work at the same time as it raises its fixed cost. Wages do not depend on past work, so the model abstracts from human-capital accumulation on the job. Because ability is highly persistent, a wage shock near retirement changes expected wages for the remainder of the working life and, through $aime_t$, future benefits.

## 2.5 Out-of-Pocket Medical Expenses

Out-of-pocket medical expenses depend on health, age, and participation, $m_t = M(h_t, t, P_t)$. They are total medical expenditure net of the part paid by health insurance before age 65 and by Medicare from age 65. Medical expenses are not a choice: given health, age, and participation they are deterministic, so medical-expense risk in the model is health risk. Out-of-pocket expenses rise with age and are considerably higher in poor health and with a disability (Section 3). The model does not distinguish types of health insurance; Blau and Gilleskie (2008), French and Jones (2011), and Imrohoroğlu and Kitao (2012) model employer-provided coverage explicitly.

From age 65, Medicare pays the part of total medical expenditure $m_t^{tot}$ that is not paid out of pocket, $m_t^G = m_t^{tot} - m_t$. These payments do not enter the individual's budget. They are the fiscal object of the Medicare reforms of Section 5.4, which raise the share of expenditure paid by Medicare, with coverage rates measured by health and working status (Appendix D), and thereby shift expenditure from $m_t$ to $m_t^G$.

## 2.6 Social Security

Social Security retirement benefits depend on lifetime earnings, the age at which benefits are claimed, and earnings after claiming. We model each element following the rules faced by the 1920–1940 cohort; Table A.1 in Appendix A lists the parameters, in 1987 dollars.

**Lifetime earnings.** Benefits are based on the average indexed monthly earnings (AIME), approximately the average of the highest 35 years of earnings. We track an annualized version, $aime_t$, which is capped at $aime_{max}$ and evolves according to

$$aime_{t+1} = \begin{cases} \min\left\{aime_t + \dfrac{w_t n_t}{35},\ aime_{max}\right\} & \text{if } t < 60, \\ \min\left\{aime_t + \max\left\{0, \dfrac{w_t n_t - aime_t}{35}\right\},\ aime_{max}\right\} & \text{if } t \geq 60. \end{cases} \tag{5}$$

Individuals are assumed to start working at age 25, so that they enter the model with five years of earnings (French 2005); ages 25 to 59 thus span the 35 years of the averaging period. From age 60, an additional year raises $aime_t$ only if its earnings exceed the current average, which approximates the replacement of a low-earnings year in the highest 35. This weakens the incentive to keep working once a full earnings record has been accumulated.

**Benefit formula.** The primary insurance amount (PIA) is a piecewise-linear function of $aime_t$:

$$\begin{aligned} PIA_t = {} & 0.90\ \min\{aime_t, aime_0\} + 0.32\ \min\left\{\max\{aime_t - aime_0, 0\},\ aime_1 - aime_0\right\} \\ & + 0.15\ \max\{aime_t - aime_1, 0\}, \end{aligned} \tag{6}$$

with bend points $aime_0$ and $aime_1$. The marginal replacement rate falls from 90 to 32 to 15 percent across the three brackets, so the formula replaces a larger share of lifetime earnings for low earners. The progressivity and level reforms of Section 5.3 raise these three rates.

**Claiming age.** The benefit to which an individual is entitled before the earnings test is $ssb_t = \alpha(t^c)\, PIA_t$, where $t^c$ is the claiming age and $\alpha(\cdot)$ is the actuarial adjustment. Benefits can be claimed from the early retirement age (ERA) of 62. Claiming before the normal retirement age (NRA) reduces benefits, and delaying a claim past the NRA raises them through the delayed retirement credit (DRC), up to age 70. For our cohort the NRA is 65, and the DRC, which ranged from 3 to 6 percent depending on the year of birth, is set to the cohort average of 4.5 percent. Under these rules, an individual who claims at 62 receives 80 percent of her PIA. Each year of delay raises the benefit by 6.67 percentage points, to 100 percent at the NRA of 65, and each year of delay after the NRA raises it by the DRC of 4.5 percent of the PIA, to 122.5 percent at 70. Figure 4 plots this schedule together with those implied by the claiming-age reforms (see also Table D.1 in Appendix D). The adjustments were designed to be approximately actuarially fair for an individual with average life expectancy at the interest rates prevailing when the rules were set. For an individual whose survival differs from the average—in the model, because of her health—delay is

more or less than fair; Section 4.6 derives when a marginal delay saves the government money.

**Earnings test.** Beneficiaries younger than 70 who work are subject to the retirement earnings test (RET). Each dollar of labor earnings above an exempt amount $y_{ret}$ reduces benefits by $\tau_{ret}$ dollars, until the entire benefit is withheld:

$$ss_t = \max\left\{0,\ ssb_t - \tau_{ret}\max\{0,\ w_t n_t - y_{ret}\}\right\} \qquad \text{if } t < 70, \tag{7}$$

and $ss_t = ssb_t$ from age 70. Below the NRA, $\tau_{ret} = 50$ percent and $y_{ret} = \$6{,}000$; between the NRA and age 69, $\tau_{ret} = 33$ percent and $y_{ret} = \$8{,}186$. Withheld benefits are not lost. Following French and Jones (2011), they are credited as if claiming had been delayed: a year's worth of benefits withheld before the NRA raises future benefits by the early-claiming adjustment for one year, and a year's worth withheld after the NRA raises them by the DRC. The earnings test thus taxes work only insofar as these credits fall short of actuarial fairness for the individual or withholding tightens her liquidity (see Gelber et al. 2020a, for evidence on its employment effects). A higher DRC therefore also lowers the implicit tax on beneficiaries who keep working after the NRA.

## 2.7 Disability Insurance and Pensions

**Disability insurance.** Individuals with a disability who are older than 50 and younger than the NRA receive disability insurance (DI) benefits if their labor earnings are below a threshold $y_{db}$:

$$db_t = \pi^{db}\, PIA_t\, \mathbf{1}\{h_t = 2\}\, \mathbf{1}\{w_t n_t \leq y_{db}\} \qquad \text{if } 50 < t < NRA, \tag{8}$$

and $db_t = 0$ otherwise. The threshold $y_{db} = \$3{,}600$ is the annual equivalent of the monthly substantial gainful activity amount of \$300 that the Social Security Administration (SSA) sets for nonblind individuals with a disability. The benefit is the PIA without the reduction for early claiming, scaled by $\pi^{db}$, the probability that an older individual with severe work limitations receives DI benefits, taken from Low and Pistaferri (2015). DI thus enters as its expected value: application and award are not modeled, and every eligible individual receives the fraction $\pi^{db}$ of her PIA.

Disability insurance is an alternative pathway out of the labor force before the NRA (Maestas et al. 2013; French and Song 2014; Low and Pistaferri 2015; Li 2018; Yu 2024). The income test makes it a notch: earnings above $y_{db}$ forfeit the entire benefit, so that for an individual with a disability after age 50 the return to earning just above $y_{db}$ is sharply

negative. Because DI is paid until the NRA, a reform that raises the NRA also lengthens the period during which individuals with a disability are eligible for DI benefits, which are not subject to the reduction for early claiming. The NRA reforms of Section 5.2 therefore act on the budget through DI outlays as well as through retirement benefits.

**Pensions.** Pension income $pb_t$ captures defined-benefit (DB) plans, which depend on the work history, are illiquid before age 62, and often create strong incentives to leave the labor force at particular ages through their accrual rates (Gustman et al. 2000; Ippolito 1997). Following French (2005), we impute pension income as a function of Social Security benefits, $pb_t = pb(PIA_t) + \xi_t$ for $t \geq 62$, and $pb_t = 0$ before 62. The function $pb(\cdot)$ is based on the estimates of Gustman and Steinmeier (1999), and the age-specific term $\xi_t$ accounts for the difference between pension and Social Security accrual over the life cycle, based on Gustman et al. (2000). Pensions are not a reform instrument here, but they shape the incentive to exit in the early 60s on which the claiming-age reforms act. Appendix A gives details on DI and pensions.

## 2.8 Taxes

Individuals pay an income tax on total income $y_t$ and a payroll tax on labor earnings:

$$T_t(y_t) = y_t - \lambda_t\, y_t^{1-\tau_t}, \qquad T_t^p(w_t n_t) = \tau_t^p\ \min\{w_t n_t,\, \bar{y}_t^{ss}\}. \tag{9}$$

The income tax takes the form of Bénabou (2002) and Heathcote et al. (2017): after-tax income is $\lambda_t y_t^{1-\tau_t}$, where $\lambda_t$ governs the level of taxation and $\tau_t$ its progressivity. Both parameters depend on age and are estimated from the PSID as in Borella et al. (2023); individuals anticipate their evolution. Total income comprises interest income, labor earnings, and pension income (Section 2.9), so interest income is taxed as it accrues. Social Security and DI benefits are not part of taxable income. The payroll tax, which finances Social Security's Old-Age, Survivors, and Disability Insurance (OASDI) and Medicare's Hospital Insurance (HI), applies at rate $\tau_t^p$ to earnings up to the taxable maximum $\bar{y}_t^{ss}$; both follow the historical SSA schedules for the cohort, with the combined rate ranging from 3 to 7.65 percent and the threshold from \$14,459 to \$64,974 (Table A.1). A reform that raises participation at some age raises income- and payroll-tax revenue at that age, and a reform that raises saving raises the tax on interest income later. These revenues are part of the indirect fiscal effects of Section 4. The income-tax reforms of Section 5.5 raise $\lambda_t$ after age 61.

## 2.9 Budget Constraint, Borrowing, and the Consumption Floor

Assets evolve according to

$$\begin{aligned} a_{t+1} &= a_t + Y_t + b_t\, ss_t + db_t + tr_t - m_t - c_t, \\ y_t &= r\, a_t + w_t n_t + pb_t, \qquad Y_t = y_t - T_t(y_t) - T_t^p(w_t n_t), \\ a_{t+1} &\geq 0, \end{aligned} \tag{10}$$

where $y_t$ is taxable income, $Y_t$ is after-tax income, $b_t ss_t$ are retirement benefits net of the earnings test, $db_t$ are DI benefits, and $tr_t$ are means-tested transfers. The net return on assets is $r = (1 - \tau_k)\, r_f$. The pretax interest rate $r_f$ is 4 percent (French 2005), and the wedge $\tau_k = 20$ percent represents corporate and other direct capital taxes that are not modeled (Stantcheva 2017). The net return is therefore 3.2 percent. Because individuals cannot borrow against future Social Security benefits and can rarely borrow against pension wealth, the borrowing limit is zero (Zeldes 1989; Hubbard et al. 1995). The absence of borrowing matters for claiming: an individual with few assets who stops working before 62, or who faces high medical expenses, values the liquidity of an early claim.

Government transfers guarantee a minimum level of consumption $\underline{c}$, as in Hubbard et al. (1995) and De Nardi et al. (2010):

$$tr_t = \max\left\{0,\ \underline{c} + m_t - \left(a_t + Y_t + b_t\, ss_t + db_t\right)\right\}. \tag{11}$$

The floor, set to $\underline{c} = \$3{,}500$ (French and Jones 2011), stands for safety-net programs such as the Supplemental Nutrition Assistance Program and Supplemental Security Income (modeled explicitly by Braun et al. 2017), and insures individuals against health and medical-expense risk. Because the transfer falls one for one with the individual's own resources when it is positive, it also taxes earnings, saving, and Social Security benefits implicitly at a 100 percent rate for individuals who receive transfers (Hubbard et al. 1995). An increase in benefits for low earners is therefore partly offset, in the aggregate, by lower transfers, which is one of the fiscal externalities of the generosity reforms of Section 5.3.

## 2.10 The Individual's Problem

The state of an individual at age $t$ is $X_t = (a_t, \theta_t, h_t, b_{t-1}, P_{t-1}, aime_t)$: assets, ability, health, whether benefits have been claimed, whether she worked in the previous period, and the earnings record.[2] Out-of-pocket medical expenses, pension income, DI benefits,

[2]Given health and age, ability and the wage are in one-to-one correspondence through (3), so the state can equivalently be written in terms of the wage $w_t$, as in the numerical implementation (Appendix A.5).

and transfers are functions of the state and current choices and are not separate state variables. The value function satisfies

$$V_t(X_t) = \max_{c_t,\, n_t,\, b_t} \left\{ u(c_t, l_t) + \beta\, s_{t+1}\, \mathbb{E}_t\big[V_{t+1}(X_{t+1})\big] \right\}, \tag{12}$$

subject to the leisure constraint (2), the budget constraint and borrowing limit (10), the consumption floor (11), the benefit rules (5)–(8), the tax functions (9), and the claiming constraints $b_t \geq b_{t-1}$, $b_t = 0$ for $t < 62$, and $b_t = 1$ for $t \geq 70$, with $V_{T+1} \equiv 0$. The expectation is taken over next period's health and ability, conditional on survival:

$$\mathbb{E}_t\big[V_{t+1}(X_{t+1})\big] = \sum_{j \in \mathcal{H}} \pi_{j,h_t,t+1} \int V_{t+1}\big(a_{t+1},\, \theta_{t+1},\, j,\, b_t,\, P_t,\, aime_{t+1}\big)\, d\Phi_\sigma(\varepsilon_{t+1}),$$

where $\ln \theta_{t+1} = \rho \ln \theta_t + \varepsilon_{t+1}$, $\Phi_\sigma$ is the normal distribution with mean zero and variance $\sigma^2$, and survival enters (12) through $s_{t+1} = S(h_t, t+1)$.

Between 62 and 69, an individual who has not yet claimed trades one more year of benefits now against a permanently higher benefit later. Delay raises the benefit by the actuarial adjustment and, for an individual who keeps working, avoids the withholding of benefits by the earnings test. Its value depends on survival, and hence on health, which governs how long the higher benefit is received, and on assets, which govern how much the individual values liquidity now. The joint choice of hours and claiming links retirement to the claiming-age schedule: a steeper schedule raises the return to delay, which those who can keep working are best placed to collect, whereas a shift of the schedule to later ages lowers the benefit at every claiming age.

The solution consists of decision rules $c_t(X_t)$, $n_t(X_t)$, and $b_t(X_t)$, from which participation $P_t$ and next-period assets $a_{t+1}$ follow. We solve the problem by backward induction from age $T$ and simulate the cohort forward from initial conditions drawn from the PSID (Appendix A.5).

## 2.11 Government Accounts

The government runs Social Security, DI, and Medicare, provides the consumption floor, and levies the income and payroll taxes. We measure its fiscal position vis-à-vis the cohort with per capita present values at age 62, the early retirement age, discounted at the net interest rate $r$. For a flow $x_t$, let $\bar{x}_t$ denote its per capita value at age $t$ in the simulated cohort, and define

$$\mathcal{N}[x] \equiv \sum_{t=30}^{T} (1+r)^{-(t-62)}\, \bar{x}_t.$$

The fiscal aggregates are the present values of Social Security retirement outlays, DI outlays, consumption-floor transfers, income-tax revenue, payroll-tax revenue, and Medicare payments:

$$SS = \mathcal{N}[b_t\, ss_t], \qquad DI = \mathcal{N}[db_t], \qquad TR = \mathcal{N}[tr_t],$$
$$IT = \mathcal{N}[T_t(y_t)], \qquad PT = \mathcal{N}[T_t^p(w_t n_t)], \qquad MC = \mathcal{N}\left[m_t^G\, \mathbf{1}\{t \geq 65\}\right].$$

Net government spending on the cohort is

$$G \equiv SS + DI + TR - IT - PT,$$

that is, outlays on retirement benefits, disability benefits, and transfers, net of income- and payroll-tax revenue. Section 4 measures the fiscal effect of a reform by its effect on $G$ and splits it into a direct effect on the program that the reform changes—retirement outlays $SS$ for Social Security reforms and income-tax revenue $IT$ for income-tax reforms—and an indirect effect on all other components. Medicare payments are kept outside $G$; they enter only the fiscal accounting of the Medicare reforms, through Medicare's payments to the beneficiaries targeted by each reform. The savings-subsidy reforms finance a higher net return with an explicit subsidy, whose present value is an additional outlay. Section 4.3 and Appendix D.7 give the exact construction of each fiscal measure.

The analysis is partial equilibrium: the wage profiles, the ability process, and the interest rate are fixed, and reforms do not change prices (Section 7 discusses general-equilibrium effects). The budget need not balance: a reform changes $G$, and Section 4 values that change through the marginal value of public funds rather than by financing it with a particular instrument. Each reform is a permanent change in the rules faced by the cohort, known from age 30, so individuals adjust saving and labor supply over the whole life cycle in anticipation of rules that apply later. The aggregates thus measure net government spending on one cohort over its lifetime, not the annual balance of a pay-as-you-go system.

## 2.12 Relation to Existing Life-Cycle Retirement Models

The model belongs to the class of structural life-cycle models of retirement with health (Rust 1989; French 2005; De Nardi et al. 2010; French and Jones 2011; Haan and Prowse 2014; Blundell et al. 2016; De Nardi et al. 2024; Fan et al. 2024), several of which have been used to evaluate Social Security reforms (Imrohoroğlu and Kitao 2012; Li 2018; Jones and Li 2023; Bairoliya and McKiernan 2023). It differs from French (2005) and French and Jones (2011) in seven respects, each of which matters for the valuation of claiming-age and benefit reforms.

First, individuals can work at every age up to 85, rather than having endogenous retirement decisions end at age 70, while claiming must occur by 70. Participation responses to reforms are therefore not truncated at the last claiming age. Second, the model is estimated on the outcomes of the whole cohort rather than on male household heads, which aligns the behavioral responses with the per capita fiscal aggregates that enter the MVPF. Third, the model has an explicit disability state and DI benefits. DI is an early-exit pathway that is essential for explaining the participation declines of unhealthy individuals in their 50s (Yu 2024), and, because DI is paid until the NRA, it is a margin through which NRA reforms affect the budget outside retirement outlays. Fourth, the fixed cost of participation depends on health, whereas French and Jones (2011) specify a time cost of bad health that does not depend on participation and a time cost of participation that does not depend on health. Making the nonconvexity itself depend on health lets health determine who can respond to a reward for delay: a higher DRC pays off most for those who can delay claiming while still working, whereas a higher NRA lowers benefits also for those for whom continued work is too costly.

Fifth, health has three states. Poor health lowers wages and raises the costs of working and of medical care but leaves DI out of reach; disability opens the DI pathway. Distinguishing the two separates individuals who can respond to old-age incentives, at a higher cost of work, from those who can leave the labor force through DI before the NRA. Sixth, income taxes follow an age-dependent function estimated as in Borella et al. (2023). Together with the payroll tax, it determines how participation responses at each age reach the budget, and it provides the instrument for the old-age income-tax reforms. Seventh, the model serves as a laboratory for the MVPF of a large grid of reforms: for 66 reforms and 5 instrument-elimination experiments, we compute the ex ante willingness to pay and the fiscal effects across Social Security, DI, transfers, Medicare, and taxes.

The model makes three simplifications. It has no bequest motive, which matters for the decumulation of wealth late in life (De Nardi et al. 2010; Lockwood 2018) and for the fit of the asset profiles after the mid-50s (Section 3); it does not distinguish types of health insurance, which French and Jones (2011) show matter for retirement before 65; and health is unaffected by work.

# 3 Data and Estimation

We estimate the model of Section 2 on US panel data for the cohorts born between 1920 and 1940 and compare the estimated economy with the life-cycle profiles of participation, hours, wealth, and reentry that discipline it.

## 3.1 Estimation Strategy

We follow the two-step strategy that is standard for structural life-cycle models (Gourinchas and Parker 2002; Cagetti 2003). In the first step, we estimate or calibrate the parameters that can be identified without solving the model: the age profiles of health transitions, survival, out-of-pocket medical expenses, and wages by health status and the stochastic process for ability, all estimated directly from the data; the interest rate and the consumption floor, taken from the literature; and the rules of Social Security, disability insurance, pensions, and taxes. We collect these first-step parameters in a vector $\chi$. In the second step, we estimate the preference parameters

$$\mathcal{P} = \left(\gamma,\ \nu,\ \beta,\ L,\ \phi_n(0),\ \phi_n(1) = \phi_n(2),\ \phi_{RE}\right)$$

by the method of simulated moments (MSM), taking $\chi$ as given.

The division separates the environment from behavior. The first-step processes describe the health, mortality, wage, and medical-expense risks that individuals face; apart from the Medicare reforms, which change the coverage of medical expenses after age 65, the reforms of Section 5 leave them unchanged. The second-step parameters govern how individuals respond when program rules change: the fixed costs of participation determine how many workers are close to the margin between working and retiring, the reentry cost determines whether retirement can be undone, and $\gamma$, $\nu$, and $\beta$ determine the value of insurance and the strength of income effects. Because the willingness to pay for a reform depends on the value of insurance and its fiscal externalities depend on behavioral responses (Section 4), we discipline the second step with the profiles that reflect these parameters most directly: participation and hours by health status, wealth, and labor market reentry.

The estimation builds on French (2005) and French and Jones (2011) and departs from them in two respects. The target profiles describe household heads and their spouses rather than male household heads, so that the fiscal accounts used to compute MVPFs refer to the population the reforms reach. And the fixed cost of participation depends on health, so that health can change the cost of working in addition to its effects on wages, mortality, medical expenses, and access to disability insurance.

## 3.2 Data

**Samples.** Our main data source is the Panel Study of Income Dynamics (PSID), a longitudinal survey of a representative sample of the US population that records labor market outcomes, income, health, and wealth. We use the 1968–2015 waves of its nationally representative component and keep household heads and spouses with nonmissing labor and

health information. We focus on individuals born between 1920 and 1940 for two reasons. First, these cohorts were subject to similar Social Security rules: an early retirement age (ERA) of 62, a normal retirement age (NRA) of 65, and a delayed retirement credit (DRC) that rose with the year of birth and whose cohort average, 4.5 percent, we use in the model. A single policy environment therefore describes the incentives behind the behavior we observe. Second, the PSID observes these cohorts over much of their working lives and through the ages at which they retire. The final sample has 2,248 individuals and 44,404 person–year observations. We measure medical spending in the 1999–2012 waves of the Medical Expenditure Panel Survey (MEPS), a nationally representative survey in which spending is reported at the individual level and cross-checked with providers and insurers; the sample has 120,731 household heads aged 20 and older and 211,709 person–year observations. Appendix B describes both samples.

**Health.** Health must be measured consistently over the entire life cycle. In the PSID, we use self-reported work-limitation questions asked in every wave and classify individuals, following Low and Pistaferri (2015), as in good health ($h = 0$) if they report no condition that limits the amount of work they can do, in poor health ($h = 1$) if a condition limits it somewhat or a little, and as having a disability ($h = 2$) if a condition prevents them from doing any work, which corresponds to the Social Security Administration (SSA) criterion for disability insurance (DI). In the MEPS, we follow Pashchenko and Porapakkarm (2019) and classify individuals by self-rated health. The two classifications give similar shares of people with a disability between ages 50 and 70 and the same decline of good health with age, although the MEPS classifies more people in poor health (Table B.3); this consistency allows us to combine transition, survival, and wage profiles from the PSID with medical-expense profiles from the MEPS.

**Target profiles.** The second step targets four PSID profiles over ages 30 to 69: labor force participation, defined as working more than 800 hours in the year; annual hours of participants; nonpension assets, which exclude pension and Social Security wealth; and reentry, a transition from nonparticipation into participation. Participation and hours are measured separately for healthy individuals ($h = 0$) and unhealthy individuals ($h \in \{1, 2\}$), whom we pool because the PSID contains few observations of people with a disability at each age. We purge the profiles of family-size, business-cycle, and individual fixed effects with the procedure of French (2005) (Appendix C). Monetary values are in 2016 dollars.

### 3.3 First-Step Estimates

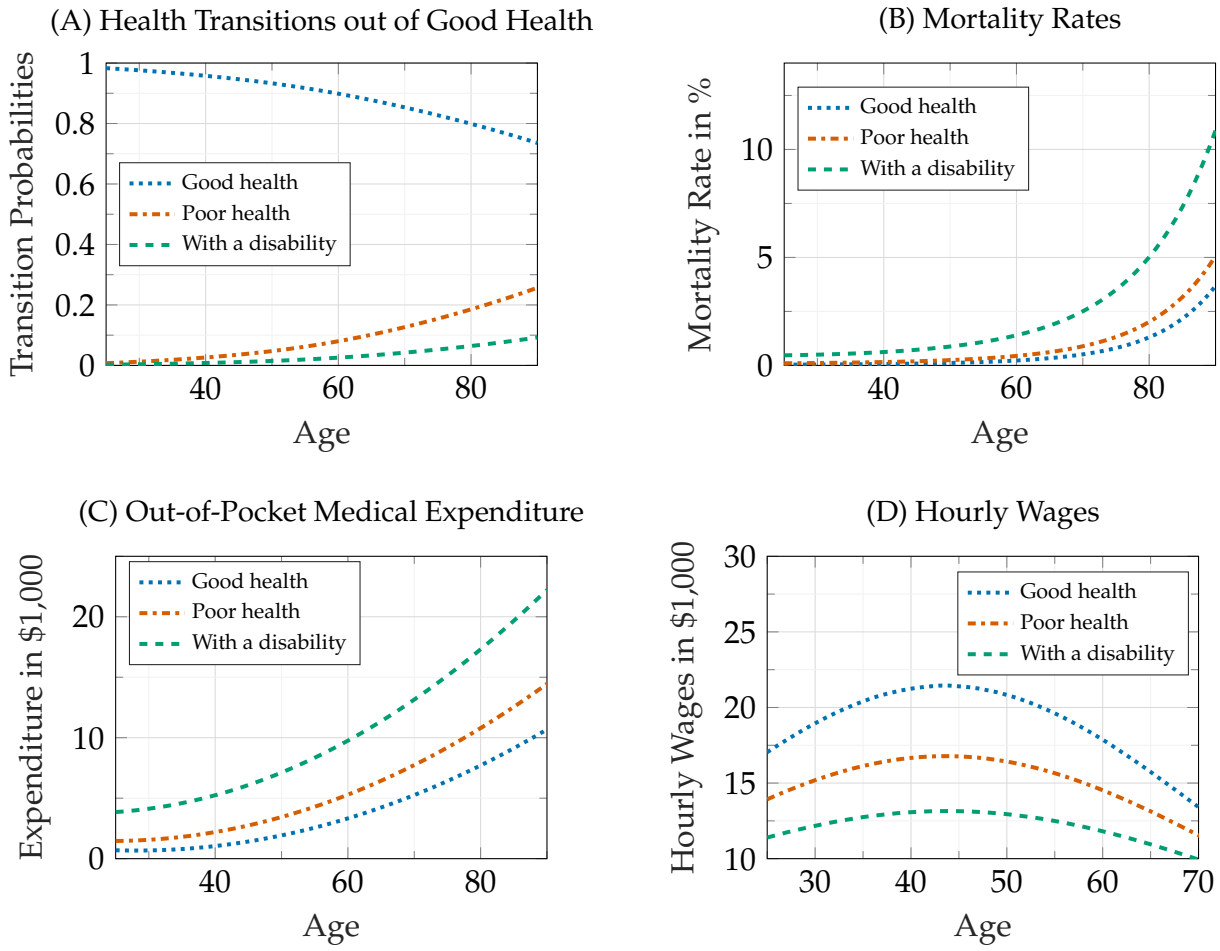
**Health, survival, and medical expenses.** We estimate the health transition probabilities $\pi_{j,i,t+1}$ from probit regressions on age dummies for each origin state, and survival probabilities $S(h,t)$ from a logistic regression of survival on a polynomial in age, lagged health, and their interactions. Out-of-pocket medical expenses $M(\cdot)$ are total medical expenditures in the MEPS net of the share covered by insurance before age 65 and by Medicare from age 65, by age and health status. Panels A to C of Figure 1 display the profiles. The probability of remaining in good health falls steadily with age, mostly through transitions into poor health; mortality rises with age in every health state and much faster for people with a disability; and out-of-pocket expenses rise with age and are considerably higher in poor health and with a disability. Each profile gives health its own role in retirement: worse health shortens the expected horizon over which a delayed claim pays off and raises the medical risk against which retirees self-insure.

**Wages.** Wages are observed only for participants, and those who keep working when old or unhealthy are likely to be those with high offered wages, so observed wages overstate offered wages most for older and unhealthy individuals. We correct for this selection with the two-step estimator of Heckman (1976), as in Guner et al. (2012): a participation probit generates an inverse Mills ratio that enters a regression of log hourly wages on an age polynomial and its interactions with health, with family size and year of birth excluded from the wage equation. The coefficient on the inverse Mills ratio is positive and significant (Table B.5), so participants are positively selected. Healthy individuals earn more than individuals in poor health, who earn more than individuals with a disability, at every age (panel D of Figure 1). The ability process (4), estimated from the wage residuals by maximum likelihood, is highly persistent, with $(\rho, \sigma^2) = (0.981, 0.016)$. Wage shocks are therefore close to permanent: an adverse shock in a worker's 50s lowers her expected wages, and hence the return to continued work, throughout the ages at which she decides when to retire.

**Calibrated parameters and program rules.** The gross interest rate is $r_f = 4$ percent (French 2005), and a 20 percent wedge between the gross and the net return captures corporate and other direct capital taxes not represented in the income tax function (Stantcheva 2017), so the net return is $r = 3.2$ percent. The consumption floor is $\underline{c} = \$3{,}500$ (French and Jones 2011). The age-dependent income tax function is estimated from the PSID as in Borella et al. (2023); Social Security rules are those that applied to the 1920–1940 cohorts (Table A.1); DI benefits are scaled by the probability of a successful application estimated by Low and Pistaferri (2015); and pension benefits follow French (2005), with parameters

from Gustman and Steinmeier (1999) and Gustman et al. (2000). Initial conditions at age 30 are drawn from the joint distribution of assets, wages, health, and participation in the PSID. Table 1 summarizes the first-step inputs, and Appendix B.3 details each estimation.

**Figure 1.** First-Step Estimates: Profiles by Health Status




*Notes:* Panel A shows the probability of being in good health, in poor health, or with a disability at age $t+1$ for an individual in good health at age $t$. Panel B shows annual mortality rates (percent), panel C annual out-of-pocket medical expenditures (thousands of dollars), and panel D offered hourly wages corrected for selection (dollars), by age and health status. Blue dotted, red dash-dotted, and green dashed lines refer to good health, poor health, and disability. Monetary values are in 2016 dollars. *Data sources:* Panel Study of Income Dynamics (panels A, B, and D) and Medical Expenditure Panel Survey (panel C).

## 3.4 Second-Step Estimation by the Method of Simulated Moments

For each age from 30 to 69, we match seven moments: the participation rates of healthy and unhealthy individuals, the mean annual hours of healthy and unhealthy participants, mean and median nonpension assets, and the mean reentry rate. This yields $7 \times 40 = 280$ moment conditions. Because the labor-supply moments pool poor health and disability,

**Table 1.** First-Step and Calibrated Parameters

| Parameter | Description | Value | Source |
|---|---|---|---|
| *A. Estimated from data outside the model* | | | |
| $\pi_{j,i,t+1}$ | Health transition probabilities | Fig. 1A | PSID |
| $S(h,t)$ | Survival probabilities | Fig. 1B | PSID |
| $M(h,t,P)$ | Out-of-pocket medical expenses | Fig. 1C | MEPS |
| $W(h,t)$ | Deterministic wage profiles | Fig. 1D | PSID |
| $\rho$ | Autocorrelation of log ability | 0.981 | PSID |
| $\sigma^2$ | Variance of ability innovations | 0.016 | PSID |
| $\lambda_t, \tau_t$ | Income tax function by age | Age-specific | Borella et al. (2023) |
| *B. Taken from the literature* | | | |
| $r_f$ | Gross interest rate | 4% | French (2005) |
| $\tau_k$ | Wedge between gross and net return | 20% | Stantcheva (2017) |
| $\underline{c}$ | Consumption floor | \$3,500 | French and Jones (2011) |
| *C. Program rules, cohorts born 1920–1940* | | | |
| ERA | Early retirement age | 62 | SSA |
| NRA | Normal retirement age | 65 | SSA |
| DRC | Delayed retirement credit | 4.5% | SSA |
| | Other Social Security rules | Table A.1 | SSA |

*Notes:* Parameters fixed before the second-step estimation. Panel A lists objects estimated directly from the data (Appendix B.3); $\rho$ and $\sigma^2$ are the autocorrelation and innovation variance of log ability $\ln \theta_t$; the income tax function $T_t(y) = y - \lambda_t y^{1-\tau_t}$ is estimated by age from the PSID following Borella et al. (2023). Panel B lists values taken from earlier studies; the net return on savings is $r = (1-\tau_k)r_f = 3.2\%$. Panel C lists Social Security rules for the 1920–1940 birth cohorts; the DRC is the cohort average of credits that varied with the year of birth. Abbreviations: ERA, early retirement age; NRA, normal retirement age; DRC, delayed retirement credit; PSID, Panel Study of Income Dynamics; MEPS, Medical Expenditure Panel Survey; SSA, Social Security Administration.

the two states share a fixed cost of participation. Let $\hat{\varphi}(\mathcal{P};\chi)$ denote the 280-element vector of differences between the data moments and the moments simulated from the model's decision rules (Appendix A.5) for individuals who start from the empirical initial conditions and draw shocks from the first-step processes. The MSM estimator is

$$\hat{\mathcal{P}} = \arg\min_{\mathcal{P}} \frac{N}{1 + N/N_s}\, \hat{\varphi}(\mathcal{P};\chi)'\, \hat{\mathbf{W}}\, \hat{\varphi}(\mathcal{P};\chi),$$

where $N$ and $N_s$ are the numbers of observations in the data and in the simulation, and the factor $1 + N/N_s$ accounts for simulation error. The weighting matrix $\hat{\mathbf{W}}$ is the inverse of a diagonal matrix that holds the sampling variances of the data moments, so each moment is weighted by its precision. Appendix C gives the moment conditions, the algorithm, and the standard errors.

**Identification.** As in French (2005), identification rests on two assumptions: work decisions do not affect health or wages, and age shifts the incentives to work and save—through wages, health, mortality, medical expenses, and the rules of Social Security and pensions—but not preferences. The first step then measures how incentives change with age and health, and the behavior these incentives leave unexplained identifies preferences. The discount factor $\beta$ is identified by intertemporal substitution, and hence by the asset and labor-supply profiles, especially at the ages at which individuals accumulate wealth for retirement. The time endowment $L$ and the fixed costs $\phi_n(h)$ are identified by participation and hours by health status: with a fixed cost, individuals either work substantial hours or do not work at all, so the participation rate and the hours of those who work carry separate information, and the gap between the participation of healthy and unhealthy individuals, given their first-step wages and medical costs, pins down the health gradient in the fixed cost. The reentry cost $\phi_{RE}$ is identified by the low reentry rates in the data. The curvature parameters $\nu$ and $\gamma$ are identified by the asset and labor-supply profiles: higher risk aversion raises precautionary saving and encourages more work earlier in life.

## 3.5 Parameter Estimates

Table 2 reports the estimates. The discount factor is 0.98. The annual time endowment is 4,491 hours, and the fixed cost of working is 791 hours for healthy individuals and 868 hours for individuals in poor health or with a disability. A participant thus gives up about 18 percent of her time endowment before working the first hour if healthy and about 19 percent if unhealthy (ratios of table entries, 791.07/4490.5 and 867.54/4490.5). This nonconvexity makes retirement a discrete decision: workers choose between substantial hours and full exit. The health gradient in the fixed cost adds to the lower wages and

the access to DI of unhealthy individuals, both of which also pull their exit forward. The time endowment and the fixed costs fall within the range of estimates in French and Jones (2011) and Borella et al. (2023). The reentry cost is 3,312 hours, about three-quarters of the annual time endowment (the ratio 3311.5/4490.5). Leaving the labor force is therefore close to irreversible, and a reform that encourages later retirement acts on workers before they exit rather than drawing retirees back into work.

The curvature of flow utility is $\nu = 1.70$ and the consumption weight is $\gamma = 0.54$, which imply a coefficient of relative risk aversion over consumption, $-u_{cc}c/u_c = 1-\gamma(1-\nu)$, of approximately 1.38. Because $\nu > 1$, the marginal utility of consumption falls as leisure rises, so consumption optimally declines at retirement (Section 2.2), and the product $\gamma(1-\nu)$ converts changes in expected utility into the consumption-equivalent welfare measure of Section 4.2.

The overidentification statistic is 1463 with $280 - 7 = 273$ degrees of freedom, so the test formally rejects the model, as is common for life-cycle retirement models estimated on many precisely measured moments (French 2005; French and Jones 2011). The test requires the model to match all 280 moments within sampling error; the next subsection shows which patterns the model reproduces and where it departs from the data.

**Table 2.** Estimated Preference Parameters

| Parameter | Description | Estimate | Std. error |
|---|---|---|---|
| *Preferences* | | | |
| $\gamma$ | Consumption weight | 0.5354 | 0.0047 |
| $\nu$ | Curvature (CRRA) of flow utility | 1.7029 | 0.0681 |
| $\beta$ | Time discount factor | 0.9797 | 0.0023 |
| *Time endowment and time costs (hours per year)* | | | |
| $L$ | Time endowment | 4490.5 | 21.65 |
| $\phi_n(0)$ | Fixed cost of work, good health | 791.07 | 15.65 |
| $\phi_n(1) = \phi_n(2)$ | Fixed cost of work, poor health or disability | 867.54 | 22.68 |
| $\phi_{RE}$ | Labor market reentry cost | 3311.5 | 82.02 |
| Overidentification statistic, $\chi^2$ (273 degrees of freedom) | | 1463 | |

*Notes:* Method-of-simulated-moments estimates of the preference parameters and their asymptotic standard errors (Appendix C). $\gamma$ is the weight on consumption and $\nu$ the curvature in $u(c,l) = (c^{\gamma}l^{1-\gamma})^{1-\nu}/(1-\nu)$; the implied relative risk aversion over consumption is $1-\gamma(1-\nu) \approx 1.38$. $L$, $\phi_n(h)$, and $\phi_{RE}$ are measured in hours per year; poor health ($h = 1$) and disability ($h = 2$) share one fixed cost of work. The overidentification statistic tests the 280 moment conditions against 7 parameters. *Data source:* Panel Study of Income Dynamics.

## 3.6 Match of Moments

Figure 2 compares the simulated profiles of participation and hours with their PSID counterparts. In the data, participation is high and stable in the 30s and 40s, declines

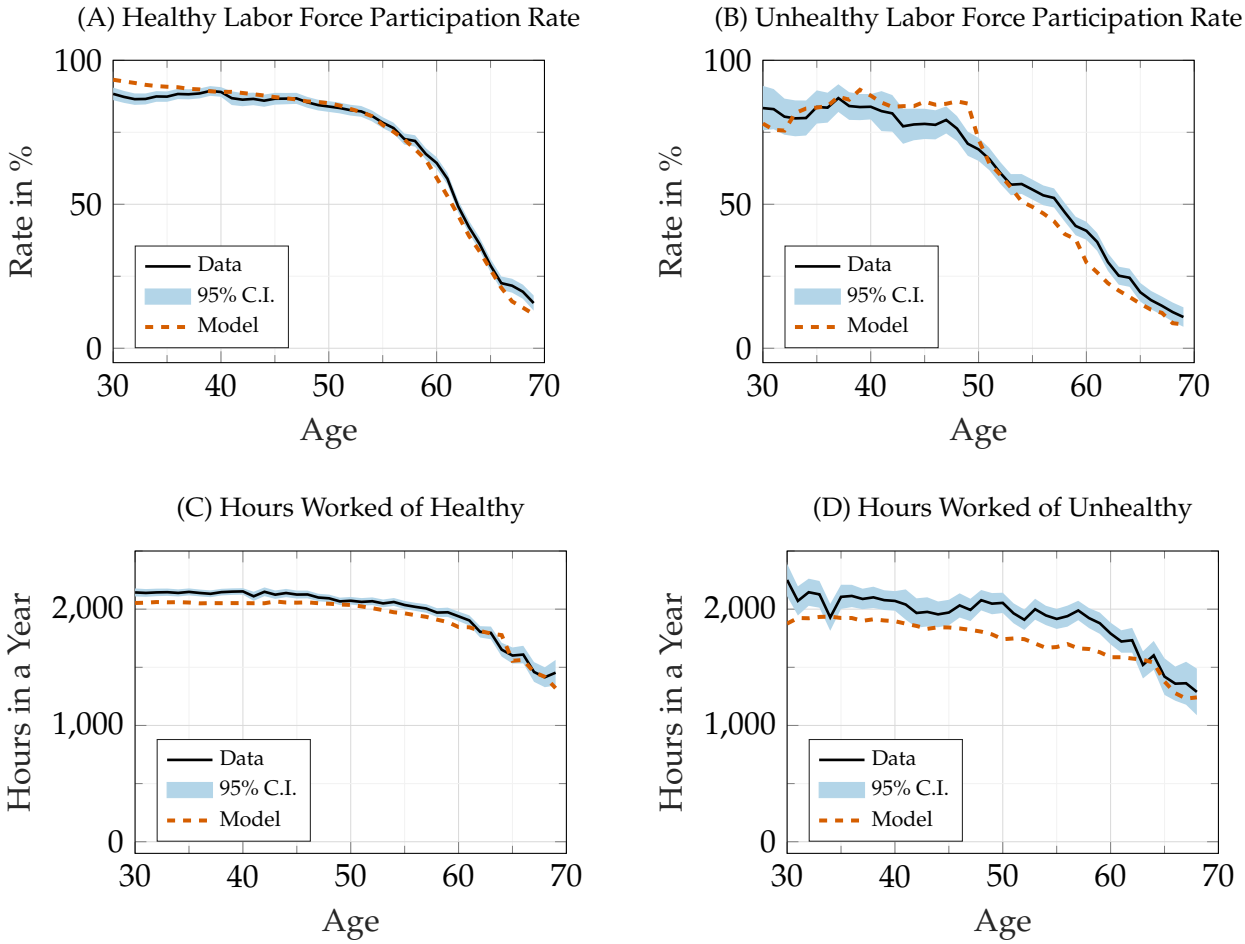
from the late 40s and through the 50s for individuals in poor health or with a disability, and drops sharply in the 60s in both health groups, as wages fall and the retirement incentives of pensions and Social Security grow. The model reproduces these patterns. As emphasized by Yu (2024), the disability state and DI benefits are essential for the decline in the participation of unhealthy individuals from their 50s: DI provides an alternative pathway out of the labor force (Maestas et al. 2013; French and Song 2014; Low and Pistaferri 2015; Li 2018), and modeling it yields a closer fit for this group than in earlier work such as French (2005).

The model departs from the data in three respects. For unhealthy individuals, the model overstates participation in the 40s and concentrates the decline around age 50, when DI becomes available in the model, whereas in the data the decline is spread over the late 40s and early 50s. From the mid-50s to the mid-60s, simulated participation of the unhealthy lies below the confidence band, and between ages 58 and 64 that of the healthy lies slightly below the data: simulated exit is somewhat early. Hours of participants decline in the 60s in the model as in the data, but the model places the hours of unhealthy workers, and to a lesser extent those of healthy workers, below the data before age 60.

The fit of unhealthy participation between 55 and 69 matters for the reform analysis because at these ages three exit routes compete for the same individuals: DI, whose benefit is based on the primary insurance amount without an early-claiming reduction and is paid until the NRA; early claiming of reduced retirement benefits from 62; and continued work. Claiming-age reforms shift the relative value of these routes. Raising the NRA lowers retirement benefits at every claiming age while extending the ages at which DI is paid; raising the DRC increases the reward for delay, which individuals with higher mortality value less. The resulting reallocation across programs is what the indirect fiscal effects of Section 4 measure. Because simulated participation of the unhealthy at ages 62 to 64 lies below the data, the model has fewer unhealthy workers at these ages than the data, and hence fewer whose exit and claiming decisions a reform can move.

Figure 3 shows the wealth and reentry profiles. The model tracks mean assets until the early 50s but overstates median assets in the 30s and 40s, when the data median lies far below the data mean; the model generates less dispersion in wealth at young ages than the data. From the 50s on, simulated wealth falls increasingly short of the data, from the early 50s for the mean and from the mid-50s for the median. The divergence likely reflects the absence of a bequest motive: the model has accidental bequests only, whereas bequest motives typically raise saving at older ages (De Nardi et al. 2010; Lockwood 2018). We abstract from bequest motives to keep the model comparable with the literature on life-cycle taxation (Farhi and Werning 2013; Golosov et al. 2016; Stantcheva

**Figure 2.** Data and Simulated Profiles: Participation and Hours




*Notes:* Panels A and B show labor force participation rates (percent) of healthy individuals ($h = 0$) and unhealthy individuals (poor health or disability, $h \in \{1, 2\}$); panels C and D show annual hours worked conditional on participation for the same groups. An individual participates if she works more than 800 hours in the year. Solid lines are data profiles estimated from the Panel Study of Income Dynamics (Appendix C), shaded areas are 95% confidence intervals, and dashed lines are profiles simulated from the model at the estimates of Table 2. All profiles are targeted in the estimation.

2017). Simulated households therefore enter old age with less self-insurance than their counterparts in the data, which raises the weight of Social Security income in their old-age resources. A specification with separable logarithmic utility over consumption, estimated in Appendix C.5, fits old-age assets better but participation worse; the reform analysis uses the baseline specification.

Reentry rates are low in the data, below 5 percent at every age, and the model generates no reentry: at the estimated reentry cost, exit from the labor force is effectively absorbing. Overall, the estimated model reproduces the patterns of labor supply and saving over the life cycle through which retirement reforms operate, which makes it a useful laboratory for measuring their welfare and fiscal effects. Ndiaye and Yu (2026) use the same estimated economy to quantify the channels—fixed costs of work, health-related productivity losses, and differential mortality—through which health shapes retirement.

# 4 Measuring the Value of Retirement Reforms

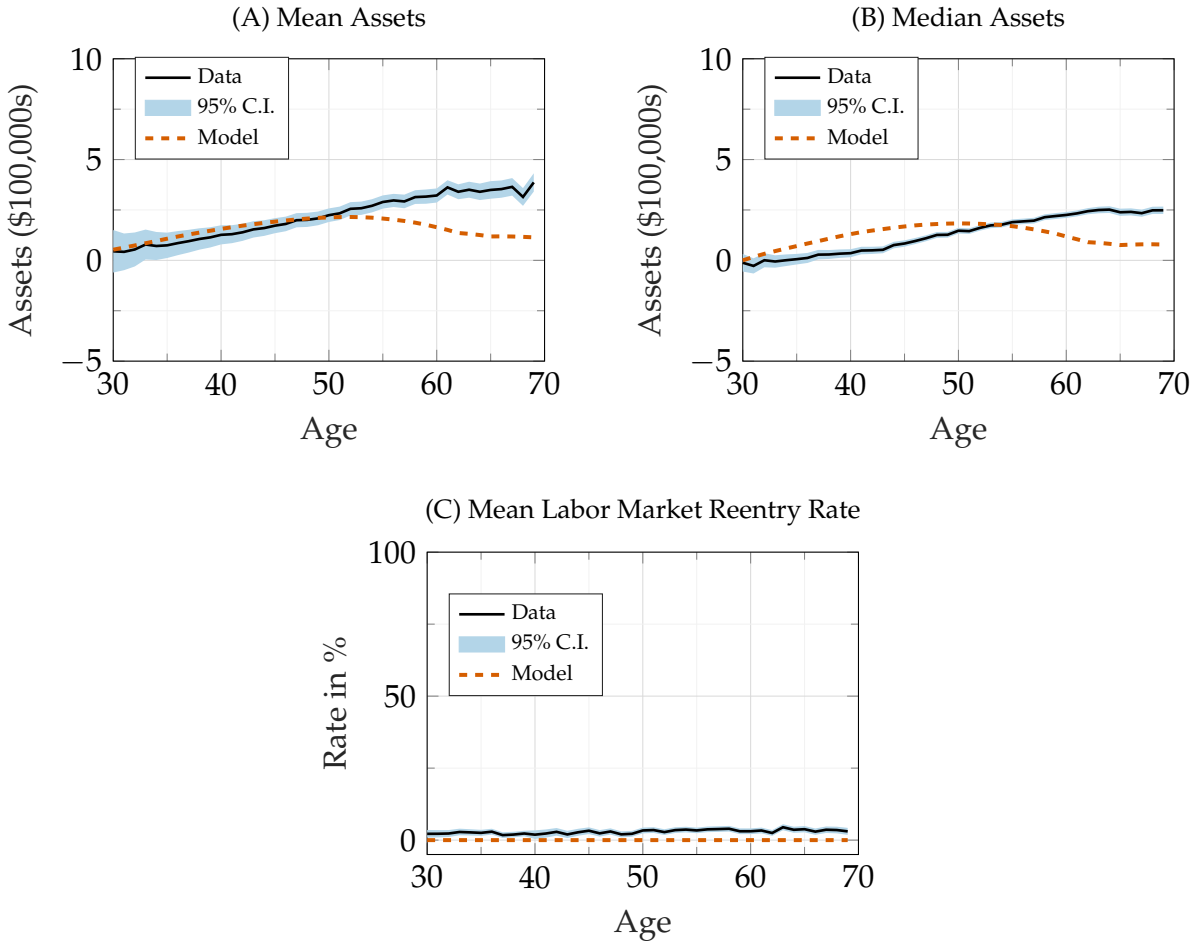
The marginal value of public funds (MVPF) of a policy is the willingness to pay of its beneficiaries divided by its net cost to the government, including the fiscal externalities of the behavioral responses it induces (Hendren 2016; Hendren and Sprung-Keyser 2020). For a life-cycle policy, both objects must be measured over the whole life cycle: the willingness to pay before individuals know the health and earnings histories that determine what they receive, and the net cost across every program the policy affects, including responses that occur decades before or after the reformed rule applies. This section defines both objects in our model, relates their ratio to the sufficient-statistics analysis of pension reform, and derives the accounting identity that governs the fiscal effects of claiming-age reforms.

## 4.1 Reforms

A reform is a permanent change in the policy rules of Section 2, announced before the cohort enters the model at age 30 and in force over its entire life; the status quo is the estimated economy of Section 3. For each reform, we solve the individual's problem (12) under the new rules and simulate the cohort from the same initial distribution. Because the reform is known from age 30, its effects include responses long before the reformed rule applies: a worker who expects a more generous benefit formula adjusts her hours at 35, when her earnings enter her AIME, as well as her exit at 63.

We study 66 reforms in five families, constructed in Appendix D. The first family (17 reforms) changes the claiming-age adjustment $a(\cdot)$ of Section 2.6. Reforms AN1–AN3 raise the NRA from 65 to 66, 67, and 68, which shifts the entire schedule of benefits by claiming age to the right. Reforms AD1–AD5 raise the DRC from 4.5 percent to 8, 8.5,

**Figure 3.** Data and Simulated Profiles: Assets and Reentry




*Notes:* Panels A and B show mean and median nonpension assets (hundreds of thousands of 2016 dollars); panel C shows the mean labor market reentry rate (percent). Solid lines are data profiles estimated from the Panel Study of Income Dynamics (Appendix C), shaded areas are 95% confidence intervals, and dashed lines are profiles simulated from the model at the estimates of Table 2. All profiles are targeted in the estimation. Asset and reentry profiles are not conditioned on health.

9, 9.5, and 10 percent and leave the reductions for early claiming unchanged. Reforms AL1–AL9 make the adjustment symmetric around the NRA of 65: the benefit changes by $x$ percent of the PIA for each year by which the claim precedes or follows the NRA, with $x$ from 7 to 15 percent. Figure 4 and Table D.1 display the schedules. The second family (39 reforms) raises the replacement rates of the benefit formula (6). Reforms P1.1–P1.9 raise the first rate from 0.90 to 0.91, ..., 0.99; with the first rate at 0.99, reforms P2.0–P2.9 raise the second rate from 0.32 in ten steps of 1 percent of its initial value, to 0.3232, ..., 0.352; and with the second rate at 0.352, reforms P3.0–P3.9 raise the third rate from 0.15 in the same proportional steps, to 0.1515, ..., 0.165. Reforms L0–L9 raise all three rates in proportion, by 1 to 10 percent.

The third family (two reforms) raises the share of medical expenditures after age 65 that Medicare covers by 20 percentage points, for all individuals (Part A) or for labor market nonparticipants (Part B), relative to a baseline in which coverage rates vary with health and working status as in the MEPS. The fourth family (five reforms) lowers income taxes in old age: reforms I1–I5 raise the level parameter of the tax function (9) from $\lambda_t$ to $\lambda_t + x(t-61)$ at ages $t \geq 62$, with $x$ from 1 to 5 percent, which raises after-tax income at every income level by the proportion $x(t-61)/\lambda_t$. The fifth family (three reforms) raises the net return on assets at every age by 0.2, 0.4, and 0.8 percentage points; the largest subsidy sets the net return equal to the pretax return $r_f$. All reforms except the savings subsidies change benefits, coverage, or taxes only from age 62, the earliest claiming age; this distinction governs the conversion of welfare into dollars (Section 4.4).

We also remove the existing instruments one at a time: D1 sets Social Security benefits to zero, D2 compares the status quo with full coverage of medical expenditures after age 65, D3 sets the net return equal to the pretax return, D4 eliminates the income tax, and D5 eliminates DI. These experiments are not financed, and we report only their welfare effects (Section 5.1).

## 4.2 Welfare

Let $\bar{V}^0$ be the average over simulated individuals of the value at age 30, $V_{30}(X_{30})$, in the status quo, and $\bar{V}^1$ the same average under a reform. Flow utility (1) is homogeneous of degree $\gamma(1-\nu)$ in consumption: multiplying consumption by $e^x$ at every age and in every state, with leisure unchanged, multiplies flow utility by $e^{\gamma(1-\nu)x}$, and therefore multiplies each individual's expected lifetime utility, and their average $\bar{V}^0$, by the same factor. The consumption-equivalent welfare change (CE) of a reform is the $x$ that solves $\bar{V}^1 = e^{\gamma(1-\nu)x}\,\bar{V}^0$:

$$CE = \frac{\ln\left(\bar{V}^1/\bar{V}^0\right)}{\gamma(1-\nu)}, \qquad LE = \frac{\ln\left(\bar{V}^1/\bar{V}^0\right)}{(1-\gamma)(1-\nu)}. \tag{13}$$

The ratio $\bar{V}^1/\bar{V}^0$ is positive because, with $\nu > 1$, lifetime utility is negative under every policy. *CE* is the proportional increase in status-quo consumption, at every age and in every state, that the cohort values as much as the reform. The leisure equivalent *LE*, obtained by scaling leisure instead, equals $CE\,\gamma/(1-\gamma)$ and ranks reforms identically. We report *CE*, in percent, as the willingness to pay for the reform, *WTP*. As a log ratio, it is antisymmetric: the CE of a move from one set of rules to another is minus the CE of the reverse move.

The willingness to pay is ex ante. It is evaluated at age 30, before health, ability, and survival histories are realized, and it averages expected utility with equal weights across individuals who differ in initial assets, wages, and health. It therefore includes the value of a reform as insurance. The welfare effect of a change in resources in a given state is weighted by the marginal utility of consumption in that state, so a reform that raises resources in states where marginal utility is high is worth more ex ante than its expected transfer, and a reform that lowers them in such states costs more than its expected saving. Health shocks, low ability, and medical expenses determine which states these are; the claiming-age schedule and the benefit formula determine the resources available in them.

Many applications of the MVPF instead sum the ex post willingness to pay of the individuals a policy affects, each in her own dollars, which for small policies equals the mechanical transfer each receives; distributional and insurance considerations then enter through separate welfare weights (Hendren and Sprung-Keyser 2020; Finkelstein and Hendren 2020; Saez and Stantcheva 2016). Our measure embeds the weights of a utilitarian evaluation of one cohort behind the veil of ignorance. It does not weigh the welfare of different cohorts (Section 6).

## 4.3 Fiscal Accounting

The fiscal effects of a reform are changes in the government accounts of Section 2.11: the per capita present values at age 62, discounted at the net return $r$, of Social Security retirement outlays *SS*, DI outlays *DI*, consumption-floor transfers *TR*, income-tax revenue *IT*, payroll-tax revenue *PT*, and Medicare payments, with net government spending $G = SS + DI + TR - IT - PT$. Flows before age 62, such as the taxes paid during the working life, are compounded forward to 62. We denote by $\Delta$ the difference between the reform and the status quo. No reform is required to balance the budget: the MVPF values the change in net cost without specifying how it is financed or how a saving is used.

We split the net cost of a reform into a direct cost on the program that the reform changes and an indirect cost on all other programs. The direct cost includes the behavioral responses within the reformed program: for a claiming-age reform, it is the change in retirement outlays, which combines the change in benefits at given claiming ages with

the effect of the induced changes in claiming ages. The indirect cost collects the fiscal externalities on all other programs: income and payroll taxes, DI, transfers, and, for reforms outside Social Security, Social Security itself. In dollars per capita, the direct cost $DC$, the indirect cost $IC$, and the net cost $NC = DC + IC$ are

$$\begin{aligned}
&\text{Social Security:} && DC = \Delta SS, && IC = \Delta(DI + TR - IT - PT), && NC = \Delta G,\\
&\text{Medicare:} && DC = \Delta MC^{tg}, && IC = \Delta G, && NC = \Delta G + \Delta MC^{tg},\\
&\text{Income tax:} && DC = -\Delta IT, && IC = \Delta(SS + DI + TR - PT), && NC = \Delta G,\\
&\text{Savings subsidy:} && DC = K, && IC = \Delta G, && NC = \Delta G + K,
\end{aligned}$$

where the Social Security family comprises the claiming-age, progressivity, and level reforms, $MC^{tg}$ is the present value of Medicare's payments to the beneficiaries that the reform targets (all individuals aged 65 and older for Part A, nonparticipants aged 65 and older for Part B), and $K$ is the present value of the savings subsidy, the additional return the government pays on assets from age 30.

The results tables report each cost as a percentage of the absolute value of a baseline present value, so that a positive entry is a cost to the government and a negative entry a saving. Net is expressed relative to baseline net government spending, $|G^0|$. Direct is expressed relative to baseline retirement outlays $SS^0$ for Social Security reforms, baseline income-tax revenue $IT^0$ for income-tax reforms, baseline payroll-tax revenue $PT^0$ for Medicare reforms—so that it is the proportional increase in the payroll tax that would finance the additional Medicare payments—and $|G^0|$ for savings subsidies. Indirect is expressed relative to the baseline value of the aggregate it measures (Appendix D.7). Because the bases differ, Net is in general not the sum of Direct and Indirect; the dollar amounts add up.

## 4.4 The Marginal Value of Public Funds

We convert the willingness to pay into dollars with a present value of baseline per capita consumption $\bar{c}_t^0$:

$$MVPF = \frac{WTP^{\$}}{NC}, \qquad WTP^{\$} = \frac{WTP}{100}\,\bar{C}_s^0, \qquad \bar{C}_s^0 = \sum_{t=s}^{T}(1+r)^{-(t-62)}\,\bar{c}_t^0, \tag{14}$$

with $s = 62$ for the reforms of Social Security, Medicare, and income taxes and $s = 30$ for the savings subsidies. Numerator and denominator are per capita present values at age 62, in dollars.

We follow the conventions of Hendren and Sprung-Keyser (2020). When the net cost

is positive, the MVPF is the welfare delivered per dollar of government spending. When the WTP is positive and the net cost is zero or negative, the MVPF is infinite: the reform pays for itself, since the government could implement it, return the saving to the cohort, and keep the entire welfare gain. When the WTP and the net cost are both negative—a cut that lowers welfare and saves money—the MVPF is the welfare cost per dollar of revenue raised, the shadow price of raising revenue from the beneficiaries of a policy by reducing spending on it. By the antisymmetry of the CE and of the dollar fiscal effects, it equals the MVPF of the reverse reform up to the baseline used for the dollar conversion. Financing a reform with MVPF $MVPF_1$ by a cut with MVPF $MVPF_2$ raises welfare when $MVPF_1 > MVPF_2$, the comparison Section 6 uses to order the ways of closing a financing gap.

For some reforms, we also report a lower bound that counts only the direct cost:

$$\underline{MVPF} = \frac{WTP^{\$}}{DC}. \tag{15}$$

For a reform with positive WTP, negative net cost, and positive direct cost, $\underline{MVPF}$ is the MVPF that would obtain if none of the fiscal externalities on other programs, which are savings, materialized; it bounds the infinite MVPF from below and isolates the part of the evaluation that rests on the reformed program alone. When the direct cost is negative as well, the MVPF is infinite under either cost. For the savings subsidies, the model taxes interest income as it accrues, as if all capital income were realized and taxed every period, whereas saving for retirement, much of it in retirement accounts, is long-term investment whose returns are taxed later or not at all. The indirect saving is therefore an upper bound, and we report the MVPF of a subsidy as the interval $[WTP^{\$}/DC,\ WTP^{\$}/NC]$.

The dollar conversion is a convention. The CE scales consumption at every age from 30 to $T$, whereas (14) values it over the ages at which the reform operates: from 62 for reforms that start at 62, and over the whole life cycle for savings subsidies. It does not affect whether an MVPF is finite or infinite, which depends only on the signs of WTP and net cost, nor the ranking of reforms within a family, which share the base. It does affect the levels of finite MVPFs, which scale with the base: valuing the CE of a reform that starts at 62 over the whole life cycle would multiply its finite MVPF by $\bar{C}^0_{30}/\bar{C}^0_{62}$, and comparisons of MVPF levels with one, the MVPF of a transfer that induces no behavioral response, depend on the base in the same way. Because the savings subsidies use the larger lifetime base, the levels of their MVPFs are not directly comparable with those of the other families; Section 7 quantifies the difference.

The construction implies a simple relation between the columns of the results tables.

Since $WTP^{\$}$ and $NC$ scale fixed baseline aggregates and $Net = 100\,NC/|G^0|$,

$$MVPF = \frac{WTP}{Net} \times \frac{\bar{C}_s^0}{|G^0|},$$

where the second factor depends on the baseline but not on the reform. Computed from the rounded table entries, this factor lies between 0.38 and 0.40 for all 48 reforms with a finite MVPF that start at 62 and between 1.87 and 1.99 for the three savings subsidies, a dispersion of the order of the rounding error in the entries. Every MVPF computed with the net cost can thus be recovered, up to rounding, from the WTP and Net columns.

## 4.5 Decomposition and Sufficient Statistics

The net cost of a reform also splits into a mechanical and a behavioral component. Let $ME$ be the change in net cost that the reform would cause if every individual kept her status-quo hours, claiming age, and saving, and let the fiscal externality $FE$ be the remainder, due to the behavioral responses. Then

$$NC = ME + FE = DC + IC. \tag{16}$$

The direct cost contains the mechanical cost on the reformed program together with the behavioral responses within it; the indirect cost contains the fiscal externalities on all other programs together with mechanical interactions between programs, such as the fall in consumption-floor transfers when benefits rise for individuals at the floor (Appendix E).

For a small reform, the envelope theorem implies that behavioral responses have no first-order effect on welfare: since individuals were optimizing, the WTP equals the mechanical change in each individual's resources weighted by the marginal utility of consumption in the state in which it occurs (Hendren 2016). In our units, the CE of a small reform is the ratio of this marginal-utility-weighted transfer to the marginal-utility-weighted consumption stream of the status quo (Appendix E); the result holds with discrete participation and claiming choices because the value function is the upper envelope of the values of the alternatives (Milgrom and Segal 2002). Behavioral responses then affect the MVPF only through the budget. We do not rely on this approximation: we compute WTP exactly from the value functions and $FE$ from the simulated responses.

The fiscal externality has three sources. The first is participation and hours: a worker who enters the labor force or postpones her exit pays income and payroll taxes, may forgo DI and transfers through their income and means tests, may have benefits withheld by the earnings test, and may raise her AIME and future benefits. Each such response lowers the

net cost by the participation tax on her earnings: the taxes paid, benefits withheld, and DI and transfers forgone, net of the increase in future benefits (Kleven and Kreiner 2006). The second is the claiming age, whose effect on retirement outlays Section 4.6 characterizes. The third is saving, which raises taxable interest income and lowers means-tested transfers. The fiscal columns are organized by program rather than by margin, but the margins map into programs: for a Social Security reform, claiming responses enter Direct, and participation and saving responses enter Indirect, except for their effects on retirement outlays through the earnings test and the AIME.

Haller (2022) evaluates pension reforms with a dynamic version of the Baily–Chetty formula, which compares the value of the consumption smoothing a reform provides, per dollar of mechanical transfer, with a fiscal multiplier, the ratio of the reform's total fiscal cost to its mechanical cost; a reform is desirable when the former exceeds the latter. With the multiplier $FM \equiv NC/ME$,

$$MVPF = \frac{WTP^{\$}/ME}{FM} :$$

the MVPF is the value of consumption smoothing per mechanical dollar divided by the fiscal multiplier. A reform is desirable when its MVPF exceeds that of the instrument that finances it, and the Baily–Chetty comparison is the case in which that instrument has an MVPF of one (Appendix E). For a reform with a positive mechanical cost, an infinite MVPF corresponds to a negative multiplier: the behavioral responses more than finance the mechanical transfer.

The structural model measures the fiscal externality over the whole life cycle, across every program, and by health, and it computes the ex ante WTP of reforms outside the range of historical variation. Quasi-experimental evidence provides credible local responses without a full model: of retirement to financial incentives (Liebman et al. 2009; Manoli and Weber 2016), of employment to the earnings test (Gelber et al. 2020a), of disability enrollment to the NRA (Duggan et al. 2007), and of retirement to statutory ages (Seibold 2021). Such responses can discipline and test those of a structural model, which in turn extends them to the life cycle and to every program; the two approaches are complements (Chetty 2009; Kleven 2021).

## 4.6 The Fiscal Logic of Claiming-Age Reforms

The fiscal effects of claiming-age reforms rest on an accounting identity. Consider an individual alive at age 62, with a fixed primary insurance amount $PIA$, who claims at age $a$ at or after the NRA and receives $b(a) = PIA\,[1 + \delta(a - NRA)]$ every year from $a$ until

death, where $\delta$ is the DRC. We abstract from the earnings test. Let $\mathcal{S}(t)$ be the probability, as of age 62, that she survives to age $t$, with $\mathcal{S}(62) = 1$, and let the government discount at the net return $r$.

**Lemma 1.** *Let* $A(a) \equiv \sum_{t=a}^{T} (1+r)^{-(t-62)}\, \mathcal{S}(t)$. *The present value at 62 of the individual's benefits when she claims at age* $a \in \{NRA, \ldots, 69\}$ *is* $B(a) = b(a)\, A(a)$, *and*

$$B(a+1) - B(a) = \delta\, PIA\, A(a+1) \;-\; b(a)\,(1+r)^{-(a-62)}\, \mathcal{S}(a). \tag{17}$$

*A one-year delay therefore lowers the present value of her benefits if and only if* $\delta < \delta^*(a)$, *where*

$$\delta^*(a) \equiv \frac{b(a)\,(1+r)^{-(a-62)}\, \mathcal{S}(a)}{PIA\, A(a+1)} = \frac{b(a)/PIA}{\sum_{t=a+1}^{T} (1+r)^{-(t-a)}\, \mathcal{S}(t)/\mathcal{S}(a)}. \tag{18}$$

*The rate* $\delta^*(a)$ *is strictly decreasing in the conditional survival probability* $\mathcal{S}(t)/\mathcal{S}(a)$ *at every age* $t > a$ *and nonincreasing in the terminal age* $T$.

Appendix E gives the proof. The first term of (17) is the cost of the higher benefit, paid for the rest of the individual's life; the second is the saving on the year of benefits she forgoes. The rate $\delta^*(a)$ is the credit that is actuarially fair from the government's perspective for this individual: it makes the program indifferent to her delaying by one year, given the government's discount rate and her survival prospects. At the NRA, where $b(a) = PIA$, it is the inverse of the present value of an annuity of one dollar a year starting one year later.

The fair rate is individual-specific, and in the model it varies through health. Survival is lower in poor health and with a disability at every age (panel B of Figure 1), so an individual in worse health typically has lower conditional survival and a higher $\delta^*(a)$ (Appendix E gives a sufficient condition). At a common credit, a one-year delay saves the program more per dollar of PIA when the claimant's conditional survival is lower, and the same delay can save money for one claimant and cost money for another. The fair rate also depends on the length of the horizon over which the higher benefit is paid, which in the model ends at $T = 85$. Whether a delay is privately valuable is a separate question: the individual discounts with $\beta$ and her marginal utility of consumption, values the longevity insurance of a larger annuity, and, if she keeps working, avoids the withholding of benefits by the earnings test.

Consider an increase in the DRC from $\delta$ to $\delta + d\delta$, with the reductions for early claiming unchanged. Its direct cost has a mechanical part, the higher benefit paid to inframarginal late claimers, which is nonnegative because the reform raises the benefit at every claiming age after the NRA and lowers it at none, and a behavioral part, the change in the present

value of benefits of individuals whose claiming age changes. Each such change is a sequence of one-year steps valued by (17) or its analog before the NRA, so the behavioral part is negative when the induced delays occur at ages and for individuals for whom the increment of the new schedule is below its actuarially fair value, $\delta^*(a)$ after the NRA (Appendix E). The direct cost is negative if and only if the behavioral part is negative and exceeds the mechanical cost in absolute value. The indirect cost adds the taxes paid during longer careers and the resulting changes in DI and transfers. The earnings test adds an interaction: benefits withheld after the NRA are credited at the DRC, so a higher DRC lowers the implicit tax on work after the NRA and raises the future benefits of those whose benefits are withheld. The symmetric reforms AL1–AL9 also raise the reduction for early claiming; their mechanical effect is a saving on early claimers and a cost on late claimers, and the same identity values the induced changes in claiming ages.

An increase in the NRA works differently. It shifts the schedule to the right, so that the benefit falls at every claiming age from 62 to 70 (Table D.1). Its mechanical effect is a cut for every claimant, a saving whatever the claiming ages, to which behavioral responses add or from which they subtract. It does not raise the credit for delay beyond the new NRA; it changes the year-to-year increments of the schedule only by moving the boundary between the early-claiming reductions and the DRC. Its welfare cost falls on all claimants, including those in poor health, whose higher fixed cost of work makes it costlier for them to offset the cut by working longer. Because DI is paid until the NRA without the reduction for early claiming, an NRA increase also lengthens the period over which individuals with a disability can receive DI. A higher DRC rewards delay and raises only the benefits of those who claim after the NRA; a higher NRA mandates delay by lowering the benefits of everyone, including those who do not delay. Section 5.2 shows what this difference implies for welfare and the budget.

# 5 Results

This section reports the welfare and fiscal effects of the five instrument eliminations and of the 66 reforms. Every entry in the tables and figures comes from simulating the estimated model of Sections 2 and 3 for the cohort under the reform, announced before age 30 and in force over the whole life cycle, with wages and the interest rate held fixed. The reform tables share one format. WTP is the ex ante consumption-equivalent welfare change at age 30, in percent of consumption at every age (Section 4.2). The three fiscal columns are percentage changes in present values at age 62: Direct refers to the program that the reform changes, including the behavioral responses within that program; Indirect to all other taxes and transfers; and Net to total government spending (Section 4.3). The MVPF

converts WTP into dollars with the present value of baseline per capita consumption and divides it by the dollar change in government spending (equation (14)). It is infinite when WTP is positive and the net cost is zero or negative; for a reform that lowers welfare and saves money, it is the welfare cost per dollar saved. The last three columns report changes in labor force participation, in percentage points, at ages 30–49, 62–64, and 65–69.

## 5.1 The Value of Existing Instruments

We first measure what each existing instrument contributes to welfare by removing it, one at a time, from the estimated economy. Table 3 reports the results. Eliminating Social Security benefits (D1) lowers welfare by 5.89 percent of consumption, the largest change among the five experiments. Eliminating only the retirement benefits, and keeping disability benefits, lowers welfare by 5.34 percent in consumption-equivalent and 6.15 percent in leisure-equivalent terms. Social Security benefits are an annuity whose level depends on lifetime earnings through a progressive formula. They insure longevity risk, which individuals can otherwise self-insure only by holding wealth that is lost at death, and they insure part of the consequences of low ability and poor health for lifetime earnings.

**Table 3.** Welfare Value of Existing Policy Instruments

| | Experiment | CE (%) | LE (%) |
|---|---|---|---|
| (D1) | No Social Security benefits | −5.89 | −6.79 |
| (D2) | Incomplete Medicare coverage after 65 (loss relative to full coverage) | −4.28 | −4.93 |
| (D3) | Full savings subsidy ($r = r_f$) | 3.60 | 4.15 |
| (D4) | No income tax | 3.16 | 3.64 |
| (D5) | No disability benefits | −0.34 | −0.40 |

*Notes:* Welfare change, in percent, from eliminating one policy instrument from the estimated economy, all other rules unchanged. CE is the ex ante consumption-equivalent change at age 30: the proportional change in consumption at every age that gives the same expected lifetime utility (equation (13)). LE is the analogous leisure-equivalent change, equal to CE $\times\ \gamma/(1-\gamma)$ (Section 4.2). D1 sets Social Security benefits to zero. D2 compares the status quo with an economy in which all medical expenditures after age 65 are covered for participants and nonparticipants; it is reported as the welfare loss from the incomplete coverage of the status quo, so full coverage would raise welfare by 4.28 percent (CE). D3 sets the net return on assets $r$ equal to the pretax return $r_f$. D4 sets the income tax to zero. D5 sets disability insurance benefits to zero. The experiments are not budget balanced. Each entry comes from simulating the estimated model for the cohort under the counterfactual, with prices held fixed. Participation profiles under each experiment are in Figure F.1 and Figure F.2.

The next largest change concerns Medicare. Covering all medical expenditures after age 65, for participants and nonparticipants alike, would raise welfare by 4.28 percent; Table 3 reports this gain with a negative sign, as the welfare loss from the incomplete coverage of the status quo. Out-of-pocket medical expenses rise with age and are higher in poor health and with a disability (Section 2.5), so their uninsured part is a large old-age risk (De

Nardi et al. 2010). A full subsidy to saving that raises the net return to the pretax return (D3) raises welfare by 3.60 percent, and abolishing the income tax (D4) raises it by 3.16 percent. Eliminating disability insurance (D5) lowers welfare by only 0.34 percent. The loss falls on individuals with a disability after age 50, a small share of the cohort, and the ex ante measure weights it by the probability of reaching that state. The leisure-equivalent changes are proportional to the consumption-equivalent ones and preserve the ordering.

The elimination of Social Security also moves participation the most (Figure F.1 and Figure F.2 in Appendix F). Without benefits, participation falls slightly before age 50, when work no longer builds future benefits, and rises from the 50s on in every health state, as individuals must finance old-age consumption from their own earnings and savings; the rise starts at 50 for individuals with a disability and in the mid-50s for those in good health. Eliminating DI raises participation after age 50 in every health state, by far the most for individuals with a disability, for whom DI is a pathway out of the labor force before the NRA. The three experiments that raise welfare—full Medicare coverage, the full savings subsidy, and the abolition of the income tax—lower aggregate participation at older ages, consistent with an income effect of the additional old-age resources that each provides.

These rankings qualify the emphasis that French and Jones (2011) place on Medicare in retirement decisions.[3] Medicare matters in our economy: completing its coverage after 65 would be worth 4.28 percent of consumption. Yet even this bound on the gains from expanding Medicare is smaller than the welfare value of Social Security, and the elimination of Social Security moves participation the most.

None of these experiments holds the government budget fixed. D3 and D4 transfer resources to households without financing them, and the other experiments change government spending without any offsetting change elsewhere in the budget. Their welfare effects measure the value of the instruments as they stand, not the desirability of changing them: the gain from D4 says nothing about who would pay for abolishing the income tax. The MVPF puts the welfare effect of each reform against its net cost to the government, and we use it for the rest of the section.

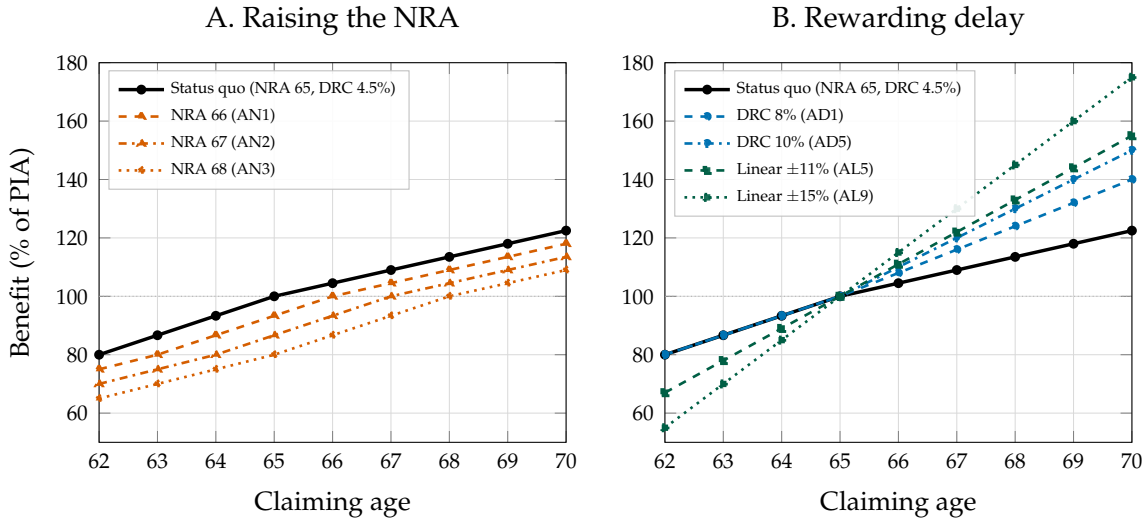
## 5.2 Rewarding versus Mandating Delay

Reforms that reward later claiming raise welfare and save money; reforms that mandate it, by raising the NRA, save money and lower welfare. Figure 4 shows how each family changes the benefit, in percent of the PIA, that an individual receives for each claiming age between 62 and 70. Raising the NRA (Panel A) shifts the whole schedule to the right,

[3]The working-paper version of their analysis (French and Jones 2004) gives Social Security a larger effect on labor supply than Medicare; the published version places more weight on Medicare and finds its effect close to that of Social Security.

so that the benefit falls at every claiming age: under an NRA of 66 (AN1), a claim at 66 pays what a claim at 65 pays in the status quo. The DRC reforms AD1–AD5 (Panel B) raise the benefit at every claiming age above the NRA and leave it unchanged at and below the NRA. The symmetric reforms AL1–AL9 set the reduction for early claiming and the credit for delay to a common rate and rotate the schedule around the NRA, which stays at 65: under AL9, benefits range from 55 percent of the PIA at 62 to 175 percent at 70, against 80 and 122.5 percent in the status quo. At unchanged claiming ages, an NRA increase lowers the benefit of every claimant, whereas an AD reform raises the benefit of every claimant who claims after 65 and lowers no one's. An NRA increase mandates later retirement; a higher credit rewards it.

**Figure 4.** Claiming-Age Schedules under the Status Quo and Selected Reforms




*Notes:* Retirement benefit received by an individual who claims at each age from 62 to 70, in percent of the primary insurance amount (PIA). Status quo (black): normal retirement age (NRA) of 65, reduction of 6.67 percent of the PIA per year of claiming before the NRA, and delayed retirement credit (DRC) of 4.5 percent of the PIA per year of claiming after the NRA, the rules of the 1920–1940 birth cohorts. Panel A: AN1–AN3 raise the NRA to 66, 67, and 68. Panel B: AD1 and AD5 raise the DRC to 8 and 10 percent; AL5 and AL9 set both the early-claiming reduction and the DRC to 11 and 15 percent per year. Table D.1 reports the schedules of all reforms; Appendix D describes their construction.

Table 4 reports the results. An NRA of 66, 67, or 68 lowers welfare by 0.38, 0.74, or 1.09 percent and lowers net government spending by 0.87, 1.75, or 2.38 percent. The saving comes from Social Security itself: retirement outlays fall by 6.13, 11.82, and 16.75 percent, whereas the indirect effects are small, between −0.02 and −0.12 percent. Participation rises at 65–69, by 0.60, 1.98, and 3.27 points, an income effect of lower benefits at every claiming age. It falls slightly at 30–49, consistent with the lower return to the earnings that build the AIME when each dollar of PIA pays less, and, for AN2 and AN3, at 62–64. These declines

offset part of the taxes paid by those who work longer at 65–69. So does DI: because DI is paid until the NRA, a higher NRA lengthens DI receipt for individuals with a disability, and part of the saving on retirement benefits reappears as DI outlays (Section 2.7).

**Table 4.** Reforms of the Claiming-Age Schedule

| | | Welfare | | Fiscal cost (% change) | | | Δ Participation (pp) | | |
|---|---|---|---|---|---|---|---|---|---|
| | Reform | MVPF | WTP (%) | Net | Direct | Indirect | 30–49 | 62–64 | 65–69 |
| *A. Raising the normal retirement age (NRA)* | | | | | | | | | |
| (AN1) | NRA at 66 | 0.17 | −0.38 | −0.87 | −6.13 | −0.02 | −0.04 | 0.38 | 0.60 |
| (AN2) | NRA at 67 | 0.16 | −0.74 | −1.75 | −11.82 | −0.12 | −0.07 | −0.04 | 1.98 |
| (AN3) | NRA at 68 | 0.18 | −1.09 | −2.38 | −16.75 | −0.08 | −0.14 | −0.43 | 3.27 |
| *B. Raising the delayed retirement credit (DRC)* | | | | | | | | | |
| (AD1) | DRC at 8% | ∞ | 0.16 | −0.45 | −2.46 | −0.10 | 0.11 | 0.15 | 0.74 |
| (AD2) | DRC at 8.5% | ∞ | 0.19 | −0.44 | −2.87 | −0.04 | 0.10 | 0.18 | 0.57 |
| (AD3) | DRC at 9% | ∞ | 0.23 | −0.66 | −4.22 | −0.07 | 0.09 | −0.36 | 1.20 |
| (AD4) | DRC at 9.5% | ∞ | 0.26 | −0.73 | −4.56 | −0.09 | 0.12 | −0.49 | 1.37 |
| (AD5) | DRC at 10% | ∞ | 0.3 | −0.78 | −5.05 | −0.08 | 0.14 | −0.97 | 1.39 |
| *C. Symmetric actuarial adjustment around the NRA* | | | | | | | | | |
| (AL1) | Linear ±7% | ∞ | 0.10 | −0.12 | −0.74 | −0.01 | 0.05 | 0.24 | 0.22 |
| (AL2) | Linear ±8% | ∞ | 0.15 | −0.46 | −2.81 | −0.07 | 0.11 | 0.05 | 0.61 |
| (AL3) | Linear ±9% | ∞ | 0.21 | −0.72 | −4.74 | −0.07 | 0.11 | −0.31 | 1.21 |
| (AL4) | Linear ±10% | ∞ | 0.29 | −0.86 | −5.54 | −0.09 | 0.14 | −0.93 | 1.42 |
| (AL5) | Linear ±11% | ∞ | 0.37 | −1.17 | −7.02 | −0.19 | 0.19 | −1.15 | 2.01 |
| (AL6) | Linear ±12% | ∞ | 0.47 | −1.37 | −7.72 | −0.28 | 0.30 | −1.46 | 2.61 |
| (AL7) | Linear ±13% | ∞ | 0.57 | −1.38 | −8.21 | −0.23 | 0.32 | −2.90 | 2.50 |
| (AL8) | Linear ±14% | ∞ | 0.69 | −1.47 | −8.22 | −0.31 | 0.34 | −3.30 | 2.42 |
| (AL9) | Linear ±15% | ∞ | 0.80 | −1.57 | −8.45 | −0.37 | 0.36 | −3.49 | 2.26 |

*Notes:* Each row reports the outcomes of simulating the estimated model for the 1920–1940 birth cohorts under the reform, announced before age 30 and in force over the life cycle, with prices held fixed (partial equilibrium). Status quo: NRA of 65, early-claiming reduction of 6.67 percent of the PIA per year, DRC of 4.5 percent per year. AN1–AN3 raise the NRA to 66, 67, and 68; AD1–AD5 set the DRC at 8 to 10 percent, in steps of 0.5 percentage points; AL1–AL9 set the early-claiming reduction and the DRC to a common rate of 7 to 15 percent per year (Figure 4 and Table D.1). WTP: ex ante consumption-equivalent welfare change at age 30, in percent of consumption at every age. Direct: percentage change in the present value of Social Security retirement benefits, including the effect of claiming responses. Indirect: percentage change in the present value of all other taxes and transfers (DI benefits and consumption-floor transfers, net of income- and payroll-tax revenue). Net: percentage change in the present value of government spending. Present values are per capita and discounted to age 62 at the net interest rate (Section 4.3); because the three fiscal columns have different bases, Net is not the sum of Direct and Indirect. MVPF: WTP valued with the present value of per capita baseline consumption from age 62, divided by the dollar change in the present value of per capita government spending (equation (14)). ∞: WTP $> 0$ and net cost $< 0$; here the direct cost is also negative, so the lower bound of equation (15) is infinite as well. For AN1–AN3, which lower welfare and save money, the MVPF is the welfare cost per dollar saved. Δ Participation: change in the labor force participation rate at ages 30–49, 62–64, and 65–69, in percentage points.

The MVPFs of the NRA increases, 0.17, 0.16, and 0.18, are welfare costs per dollar saved: each dollar of government spending saved by raising the NRA costs the cohort 16 to 18 cents of willingness to pay, in dollars of consumption from age 62. Up to the baseline used

for the dollar conversion, they are also the MVPFs of the reverse reforms, which would return the NRA to 65 for a cohort that faces a higher NRA: the shadow price of raising revenue by cutting the policy (Hendren and Sprung-Keyser 2020). The MVPF is nearly constant across the three increases.

Reforms that reward delay raise welfare and save money. Every AD and AL reform has a positive WTP, from 0.10 percent for AL1 to 0.80 percent for AL9, and lowers net, direct, and indirect spending. Their MVPF is therefore infinite whether it is computed with the net cost or with the direct cost alone (equation (15)).

The direct effect is the most informative column. Because an AD reform raises the benefit at every claiming age above the NRA and lowers none, its mechanical effect on retirement outlays, evaluated at unchanged behavior, is nonnegative. Yet retirement outlays fall, by 2.46 percent under AD1 and by 5.05 percent under AD5. The behavioral responses within Social Security—the induced changes in claiming ages, together with the effects of work on the earnings test and the AIME—therefore more than pay for the higher credit, before any effect on taxes. Lemma 1 gives the accounting. A one-year delay lowers the present value of a claimant's benefits when the credit is below the rate that makes the delay actuarially fair for that claimant from the government's perspective (equation (18)), and this rate is higher for claimants with lower survival. The fall in direct outlays therefore requires that, at credits of 8 to 10 percent, the induced delays occur on balance among claimants for whom the new credit is still below their actuarially fair rate.[4] In terms of the decomposition of Section 4.5, the behavioral fiscal externality of an AD reform is negative and larger in absolute value than its mechanical cost, so its fiscal multiplier, the ratio of net to mechanical cost, is negative. The indirect effects add to the saving: longer careers raise income- and payroll-tax revenue, and the net cost of all other programs falls by 0.01 to 0.37 percent across the AD and AL reforms.

The moderate reforms raise participation in every age group we track. AD1, AD2, AL1, and AL2 raise participation by 0.05 to 0.11 points at 30–49, by 0.05 to 0.24 points at 62–64, and by 0.22 to 0.74 points at 65–69. The response at young ages is consistent with the higher value of a dollar of PIA for those who expect to claim late. Steeper schedules move participation at 62–64 and at 65–69 in opposite directions. From AD3 and AL3 on, participation at 62–64 falls, by up to 3.49 points under AL9, while participation at 65–69 rises by 1.20 to 2.61 points. We interpret this pattern as selection by health. A steeper schedule widens the gap between the benefits of early and late claimers and sorts

[4] By Lemma 1, two features of the model raise the fair rate: the horizon ends at age 85, which truncates the stream of benefits that a delay raises, and the government discounts at the net return $r$. Survival beyond 85 or a lower discount rate would lower it (Section 7.4).

individuals more sharply by the cost of continued work: those in good health, with low costs of work, stay longer to collect the larger credit, while less healthy workers leave earlier. The larger credit may also lower participation before 65 through an income effect on those who would claim late in any case, for whom it is a windfall at unchanged behavior. The fiscal saving nonetheless grows with the slope of the schedule: from AL3 to AL9, the net saving rises from 0.72 to 1.57 percent and the indirect saving from 0.07 to 0.37 percent, even as participation at 62–64 falls.

The contrast between the two families comes from the difference between a reward and a mandate when the cost of work differs across individuals. A credit is paid only to those who delay claiming. In the model, delay is cheapest for individuals in good health, whose fixed cost of work is lower and whose wages are higher. Under the AD reforms, those who claim early, often because poor health makes work costly, keep the benefits of the status quo. Because WTP is computed at age 30, before health histories are realized, this preserved option to claim early on unchanged terms is valued as insurance against bad health. An NRA increase is a benefit cut for everyone. It saves money mechanically, and the participation it generates at 65–69 is mainly the income effect of lower benefits rather than a response to a higher reward. Its cost falls also on those who cannot delay cheaply: individuals in poor health face a higher fixed cost of work and lower wages (Section 3), tend to claim early, and receive less whatever their claiming age.

The symmetric reforms combine a larger credit with a larger reduction for early claiming, and comparing reforms with the same credit isolates the role of the reduction. AL2 and AD1 both pay a credit of 8 percent; AL4 and AD5 both pay 10 percent. The additional reduction for early claiming adds little to the saving ($-0.46$ against $-0.45$ percent; $-0.86$ against $-0.78$ percent) and subtracts little from WTP (0.15 against 0.16 percent; 0.29 against 0.30 percent). The reward does most of the work. The steepest AL reforms, with credits of 11 to 15 percent, raise welfare by more than any AD reform, whose credits stop at 10 percent. Within the AL family, WTP and fiscal savings both rise with the slope of the schedule up to the steepest reform we consider, so our grid does not reach the slope at which further steepening would stop paying for itself. This is in line with the finding of Ndiaye and Yu (2026) that, in the constrained-efficient allocation of the same economy, consumption in retirement rises with the claiming age more steeply than the statutory credit implies.

Two reforms in our grid reproduce, for the cohort we study, the two changes to claiming incentives in the Social Security Amendments of 1983, which raised the NRA from 65 to 67 and the DRC to 8 percent per year, both phased in by birth cohort (Svahn and Ross 1983). AN2 sets the NRA at 67, and AD1 sets the DRC at 8 percent. In the model, the credit

increase raises welfare by 0.16 percent and lowers government spending by 0.45 percent, an infinite MVPF; the NRA increase lowers welfare by 0.74 percent and saves 1.75 percent, an MVPF of 0.16. The two halves of the change in claiming incentives sit at opposite ends of the ranking. This is a comparison within the model, for cohorts born between 1920 and 1940. It is not an evaluation of the 1983 law, which changed other provisions as well and applied to later cohorts (Section 7.4).

In our grid, rewarding delay dominates mandating it for moderate fiscal savings. AD5 saves 0.78 percent of government spending, against 0.87 percent for AN1, and raises welfare by 0.30 percent where AN1 lowers it by 0.38 percent. AL4 saves 0.86 percent and raises welfare by 0.29 percent. AL9 saves more than AN1, 1.57 percent, raises welfare by 0.80 percent, and raises participation at 65–69 by more, 2.26 against 0.60 points. Only the two larger NRA increases save more than any reward-delay reform in the grid, 1.75 and 2.38 percent; Section 6 draws the implications for closing a financing gap. In the model, the NRA affects behavior only through the benefit, DI, and earnings-test rules it determines; Section 7.3 discusses evidence that statutory ages also act as reference points (Seibold 2021).

## 5.3 Benefit Progressivity and Level

The second family changes the benefit formula itself. P1.1–P1.9 raise the replacement rate of the first bracket of the PIA formula from 0.90 to between 0.91 and 0.99. The level reforms L0–L9 raise all three rates proportionally, by 1 to 10 percent. Table F.1 in Appendix F reports reforms that raise the second rate (P2) and then the third rate (P3), in each case on top of a first rate of 0.99. At unchanged behavior, each of these reforms raises the benefit of every retiree with a given AIME, so its mechanical effect is a transfer to retirees. All of them raise Social Security outlays, and all but the smallest raise net government spending (Table 5).

The smallest expansion of the bottom bracket, P1.1, is the exception. It raises retirement outlays by 0.57 percent but lowers net government spending by 0.03 percent, so its MVPF is infinite; counting only its direct cost gives a lower bound of 0.52. The saving comes mainly from participation: P1.1 raises participation in all three age groups, and the income taxes paid by the additional participants account for 57 percent of its indirect fiscal effect. The larger expansions of the first rate, P1.2–P1.9, have MVPFs between 0.69 and 1.14, the lowest for the largest reform. The level reforms have MVPFs between 0.30 and 0.61. Raising the second rate lowers the MVPF from 0.56 to 0.29, and raising the third rate leaves it at 0.29–0.30.

The generosity reforms move participation in opposite directions over the life cycle. At

**Table 5.** Reforms of Benefit Progressivity and Level

| | | Welfare | | Fiscal cost (% change) | | | Δ Participation (pp) | | |
|---|---|---|---|---|---|---|---|---|---|
| | PIA rates | MVPF | WTP (%) | Net | Direct | Indirect | 30–49 | 62–64 | 65–69 |
| *A. Raising the first PIA rate (bottom bracket)* | | | | | | | | | |
| (P1.1) | (0.91, 0.32, 0.15) | $[0.52, +\infty)$ | 0.10 | −0.03 | 0.57 | −0.10 | 0.08 | 0.20 | 0.06 |
| (P1.2) | (0.92, 0.32, 0.15) | 0.97 | 0.22 | 0.09 | 1.23 | −0.07 | 0.14 | −0.07 | 0.00 |
| (P1.3) | (0.93, 0.32, 0.15) | 0.92 | 0.31 | 0.13 | 1.66 | −0.09 | 0.14 | 0.15 | 0.01 |
| (P1.4) | (0.94, 0.32, 0.15) | 0.84 | 0.40 | 0.19 | 2.16 | −0.10 | 0.14 | −0.17 | −0.23 |
| (P1.5) | (0.95, 0.32, 0.15) | 0.91 | 0.50 | 0.21 | 2.32 | −0.09 | 0.16 | −0.34 | −0.31 |
| (P1.6) | (0.96, 0.32, 0.15) | 1.14 | 0.59 | 0.20 | 2.80 | −0.16 | 0.19 | −0.27 | −0.15 |
| (P1.7) | (0.97, 0.32, 0.15) | 1.01 | 0.67 | 0.26 | 3.22 | −0.16 | 0.21 | −0.57 | −0.50 |
| (P1.8) | (0.98, 0.32, 0.15) | 0.86 | 0.75 | 0.34 | 3.72 | −0.15 | 0.24 | −0.71 | −0.49 |
| (P1.9) | (0.99, 0.32, 0.15) | 0.69 | 0.80 | 0.44 | 4.12 | −0.11 | 0.25 | −0.85 | −0.60 |
| *B. Raising all PIA rates proportionally (level)* | | | | | | | | | |
| (L0) | (0.909, 0.3232, 0.1515) | 0.51 | 0.16 | 0.12 | 1.34 | −0.05 | 0.11 | −0.05 | 0.01 |
| (L1) | (0.918, 0.3264, 0.153) | 0.59 | 0.32 | 0.21 | 2.47 | −0.11 | 0.14 | −0.15 | −0.13 |
| (L2) | (0.927, 0.3296, 0.1545) | 0.49 | 0.46 | 0.36 | 3.48 | −0.10 | 0.13 | −0.49 | −0.08 |
| (L3) | (0.936, 0.3328, 0.156) | 0.61 | 0.60 | 0.38 | 4.25 | −0.18 | 0.18 | −0.29 | −0.3 |
| (L4) | (0.945, 0.336, 0.1575) | 0.59 | 0.74 | 0.49 | 5.28 | −0.21 | 0.21 | −0.48 | −0.43 |
| (L5) | (0.954, 0.3392, 0.159) | 0.52 | 0.87 | 0.64 | 6.31 | −0.19 | 0.23 | −0.72 | −0.68 |
| (L6) | (0.963, 0.3424, 0.1605) | 0.47 | 0.95 | 0.79 | 7.41 | −0.20 | 0.24 | −1.00 | −1.22 |
| (L7) | (0.972, 0.3456, 0.162) | 0.42 | 1.00 | 0.92 | 8.66 | −0.23 | 0.26 | −1.40 | −1.43 |
| (L8) | (0.981, 0.3488, 0.1635) | 0.35 | 1.02 | 1.14 | 9.80 | −0.18 | 0.27 | −1.76 | −1.86 |
| (L9) | (0.99, 0.352, 0.165) | 0.30 | 0.98 | 1.24 | 10.70 | −0.20 | 0.28 | −2.37 | −1.99 |

*Notes:* Each row reports the outcomes of simulating the estimated model for the cohort under the reform, announced before age 30 and in force over the life cycle, with prices held fixed (partial equilibrium). The second column gives the three replacement rates of the PIA formula (first, second, and third bracket of the AIME); the status quo is (0.90, 0.32, 0.15). P1.1–P1.9 raise the first rate by 1 to 9 percentage points; L0–L9 raise all three rates proportionally by 1 to 10 percent. L9 sets the same rates as P3.9 in Table F.1. WTP: ex ante consumption-equivalent welfare change at age 30, in percent. Direct: percentage change in the present value of Social Security retirement benefits. Indirect: percentage change in the present value of all other taxes and transfers (DI benefits and consumption-floor transfers, net of income- and payroll-tax revenue). Net: percentage change in the present value of government spending. Present values are per capita and discounted to age 62 (Section 4.3). MVPF: WTP valued with the present value of per capita baseline consumption from age 62, divided by the dollar change in government spending (equation (14)). For P1.1, the net cost is negative and the MVPF infinite; the interval reports as lower bound the MVPF computed with the direct cost only (equation (15)). Δ Participation: change in the labor force participation rate at the indicated ages, in percentage points.

ages 30–49 participation rises slightly, by 0.08 to 0.28 points across all P and L reforms, consistent with a higher return to the earnings that build the AIME in the brackets whose rates rise. At older ages, the larger reforms lower participation through an income effect; under L9, participation falls by 2.37 points at 62–64 and by 1.99 points at 65–69. The indirect effects are small and negative for every reform. They net out opposing changes that the reported columns do not separate: more work at 30–49 raises tax revenue and higher benefits lower consumption-floor transfers, whereas less work at older ages lowers tax revenue and DI benefits, which are proportional to the PIA, rise.

The bottom bracket delivers the most welfare per dollar because of whom it pays. Comparing reforms with similar costs isolates this. P1.6 and L1 have net costs of 0.20 and 0.21 percent, but WTP of 0.59 and 0.32 percent and MVPFs of 1.14 and 0.59. P1.9 and L3 have similar direct costs (4.12 and 4.25 percent) and net costs (0.44 and 0.38 percent), but WTP of 0.80 and 0.60 percent. The difference lies in welfare, not in fiscal externalities. An increase in the first rate adds the same amount to the PIA of every retiree whose AIME exceeds the first bend point, and less to those below it; a proportional increase adds to each PIA in proportion to its level. Per dollar spent, the first-bracket reform therefore pays relatively more to retirees with a low AIME. In the model, a low AIME is the cumulative result of low ability and of health shocks that lowered wages, raised the cost of work, and shortened careers; retirees with such histories tend to have few assets and a high marginal utility of consumption. Because WTP is measured before these histories are realized, shifting the transfer toward them is insurance. Raising the upper rates on top of a first rate of 0.99 adds little welfare: from P1.9 to P2.9, WTP rises from 0.80 to 0.95 percent while the net cost rises from 0.44 to 1.27 percent, and the P3 reforms leave both nearly unchanged (Table F.1).

This result bears on a lesson from dynamic taxation: in life-cycle models of optimal taxation, linear, age-dependent taxes that do not depend on earnings histories come close to the optimum (Farhi and Werning 2013). In our economy, where retirement is endogenous, Social Security, whose benefits depend on the whole earnings history through the AIME, is the most valuable instrument (Section 5.1), and an additional dollar of benefits is worth the most where the formula favors low lifetime earnings. The history dependence of benefits is where the value lies.

## 5.4 Medicare

Panel A of Table 6 reports two expansions of Medicare. For these reforms, the baseline coverage rates of medical expenditures after age 65 are re-estimated from the MEPS by health and working status, and the model with these rates serves as the status quo

(Appendix D). The Part A reform raises the coverage rate of all individuals aged 65 and over by 20 percentage points; the Part B reform raises it by 20 points for nonparticipants only.[5]

**Table 6.** Reforms of Medicare, Old-Age Income Taxes, and Savings Returns

| | | Welfare | | Fiscal cost (% change) | | | Δ Participation (pp) | | |
|---|---|---|---|---|---|---|---|---|---|
| | Reform | MVPF | WTP (%) | Net | Direct | Indirect | 30–49 | 62–64 | 65–69 |
| *A. Medicare: coverage of medical expenditures after age 65 raised by 20 percentage points* | | | | | | | | | |
| (MA) | Part A: all individuals | 0.146 | 1.36 | 3.53 | 45.17 | 0.10 | 0.22 | −1.70 | −0.38 |
| (MB) | Part B: nonparticipants | 0.155 | 1.30 | 3.19 | 41.61 | 0.03 | 0.21 | −1.95 | −3.44 |
| *B. Old-age income tax: after-tax income at ages 62+ raised by x percent per year of age above 61* | | | | | | | | | |
| (I1) | $x = 1\%$ | 0.25 | 0.44 | 0.69 | 0.70 | −0.81 | 0.06 | 0.76 | 1.98 |
| (I2) | $x = 2\%$ | 0.26 | 0.87 | 1.28 | 1.31 | −1.51 | 0.15 | 1.58 | 4.12 |
| (I3) | $x = 3\%$ | 0.25 | 1.29 | 2.01 | 2.03 | −2.18 | 0.18 | 2.76 | 6.07 |
| (I4) | $x = 4\%$ | 0.23 | 1.69 | 2.80 | 2.80 | −2.78 | 0.2 | 3.19 | 7.71 |
| (I5) | $x = 5\%$ | 0.23 | 2.09 | 3.46 | 3.47 | −3.58 | 0.26 | 4.11 | 8.92 |
| *C. Savings subsidy: net return on assets raised at all ages* | | | | | | | | | |
| (K1) | +0.2 pp | [0.96, 20.37] | 0.87 | 0.08 | 1.77 | −1.69 | 0.15 | −1.27 | −0.85 |
| (K2) | +0.4 pp | [0.92, 19.38] | 1.75 | 0.18 | 3.77 | −3.59 | 0.36 | −2.58 | −1.75 |
| (K3) | +0.8 pp | [0.84, 5.29] | 3.6 | 1.34 | 8.44 | −7.10 | 0.38 | −5.98 | −4.11 |

*Notes:* Each row reports the outcomes of simulating the estimated model for the cohort under the reform, announced before age 30 and in force over the life cycle, with prices held fixed (partial equilibrium). WTP: ex ante consumption-equivalent welfare change at age 30, in percent. Fiscal columns (Section 4.3; present values per capita, discounted to age 62): *Panel A.* Coverage rates after 65 by health and working status re-estimated from the MEPS form the baseline; MA raises coverage of all individuals aged 65 and over, MB coverage of nonparticipants aged 65 and over. Direct: change in the present value of Medicare's payments to the targeted beneficiaries, in percent of baseline payroll-tax revenue. Indirect: percentage change in the present value of all taxes and transfers, including Social Security benefits. Net: change in government spending plus Medicare's payments to the targeted beneficiaries, in percent of baseline government spending. *Panel B.* I1–I5 replace the level parameter $\lambda_t$ of the after-tax income schedule $\lambda_t y^{1-\tau_t}$ at ages $t \geq 62$ by $\lambda_t + x(t-61)$, with $x$ from 0.01 to 0.05 (Appendix D). Direct: income-tax revenue forgone, in percent of its baseline present value. Indirect: percentage change in the present value of all other taxes and transfers, including Social Security benefits, net of payroll-tax revenue. Net: percentage change in government spending. *Panel C.* K1–K3 raise the net return on assets at all ages; K3 sets it equal to the pretax return, as in D3 of Table 3. Direct: present value of the subsidy, in percent of baseline government spending. Indirect: percentage change in government spending excluding the subsidy. Net: percentage change in government spending including the subsidy. MVPF (equation (14)): WTP valued with the present value of per capita baseline consumption from age 62 in Panels A and B and from age 30 in Panel C, divided by the dollar change in government spending. In Panel C, the interval reports as lower bound the MVPF with the subsidy as the only cost (equation (15)) and as upper bound the MVPF with the net cost, which treats capital income as realized and taxed every period and therefore overstates the indirect saving. Because of the different consumption base, the levels of the MVPFs in Panel C are not comparable with those in Panels A and B (Section 7.1). Δ Participation: change in the labor force participation rate at the indicated ages, in percentage points.

Both expansions raise welfare substantially, by 1.36 and 1.30 percent, but at a high cost.

[5]Part A covers mainly inpatient services and is premium-free for most beneficiaries. Part B covers physician and outpatient services, which most employer-provided plans also cover, and requires a premium; we therefore target the Part B expansion at nonparticipants.

Medicare's payments to the targeted beneficiaries rise by an amount equal to 45.17 percent of baseline payroll-tax revenue for Part A and 41.61 percent for Part B, and net government spending, including these payments, rises by 3.53 and 3.19 percent. The cost is driven mainly by large medical expenditures after age 70. The MVPFs are 0.146 and 0.155, the lowest finite MVPFs in our grid. Coverage after 65 lowers participation at older ages: by 1.70 and 0.38 points at 62–64 and 65–69 under Part A, and by 1.95 and 3.44 points under Part B. Better coverage reduces the need to work and save for medical expenses in old age. Under Part B, the additional coverage is also conditional on not working, so that a worker over 65 who keeps working forgoes it; the expansion acts as an implicit tax on work, consistent with its much larger participation response at 65–69. Lower participation reduces tax revenue, and the indirect effects are positive, 0.10 and 0.03 percent.

Estimates of the MVPF of the introduction of Medicare, based on variation in preexisting insurance coverage, lie between 0.52 and 3.83 (Finkelstein and McKnight 2008; Hendren and Sprung-Keyser 2020). Our estimates for expansions of an established program lie below this range, as diminishing returns to coverage would imply, although the comparison of levels depends on the consumption base used to convert WTP into dollars (Section 7.1).[6] On a common base, our Medicare MVPFs are close to those of the NRA increases, 0.16 to 0.18: a dollar spent on additional Medicare coverage after 65 buys about as much welfare as a dollar spent on returning the NRA to 65.

## 5.5 Old-Age Income Taxes

Panel B of Table 6 reports cuts in income taxes after age 61. Reforms I1–I5 raise the level parameter $\lambda_t$ of the after-tax income schedule $\lambda_t y^{1-\tau_t}$ at ages $t \geq 62$ to $\lambda_t + x(t-61)$, with $x$ from 0.01 to 0.05, so that the cut grows with age. These reforms produce the largest increases in old-age participation of any reform we study. Participation rises by 0.76 to 4.11 points at 62–64 and by 1.98 to 8.92 points at 65–69. The cut raises the after-tax return to work at older ages, and the substitution effect dominates the income effect. Participation also rises slightly at 30–49, by 0.06 to 0.26 points.

Despite these responses, the tax cuts do not pay for themselves. The induced work raises payroll-tax revenue, and the net cost of all other programs, including Social Security, falls by 0.81 to 3.58 percent. The revenue loss dominates: net spending rises by 0.69 to 3.46 percent, and the MVPFs lie between 0.23 and 0.26. The welfare gain per dollar is small because of whom the cut pays. A higher $\lambda_t$ raises after-tax income by $x(t-61)\, y^{1-\tau_t}$, which rises with taxable income. In old age, taxable income consists of earnings, pensions,

[6] Estimates for subsidized health insurance for low-income adults find a willingness to pay well below the cost of coverage (Finkelstein et al. 2019); they concern a different population and program and are not directly comparable to ours.

and interest, while Social Security and DI benefits are not taxed (Section 2.8). The cut therefore pays the most to those who keep working, typically in good health, and to those with large pensions and assets, whose marginal utility is low, and little to retirees who live mainly on Social Security. Ex ante, it is a transfer toward good states rather than insurance against bad ones.

The comparison with the claiming-age reforms shows that a large participation response is neither necessary nor sufficient for a high MVPF. The larger tax cuts raise participation at 65–69 by far more than any reward-delay reform, by up to 8.92 points against at most 2.61 points, and cost money; AD1 raises it by 0.74 points and saves money. What matters is the fiscal saving that a reform recovers from the behavior it induces relative to the transfer it makes to individuals who would have behaved the same way without it. A credit for delay pays nothing to those who claim at or before the NRA; a tax cut on old-age income pays every individual with taxable income after 61.

## 5.6 Savings Subsidies

Panel C of Table 6 reports reforms that raise the net return on saving at all ages by 0.2, 0.4, and 0.8 percentage points. K3 raises the net return to the pretax return $r_f$ and is therefore the full subsidy of experiment D3; its WTP of 3.6 percent equals the welfare gain in Table 3. The subsidies raise welfare by 0.87 to 3.6 percent. Their direct cost, the present value of the subsidy, is 1.77 to 8.44 percent of baseline government spending, but most of it returns to the budget: higher saving raises taxable interest income, and government spending excluding the subsidy falls by 1.69 to 7.10 percent, which leaves net costs of 0.08 to 1.34 percent. This recovery is an upper bound, because the model taxes interest income every period, as if capital income were realized and taxed as it accrues. We therefore report each MVPF as an interval. The lower bound counts only the subsidy as a cost and lies between 0.84 and 0.96; the upper bound uses the net cost and lies between 5.29 and 20.37.

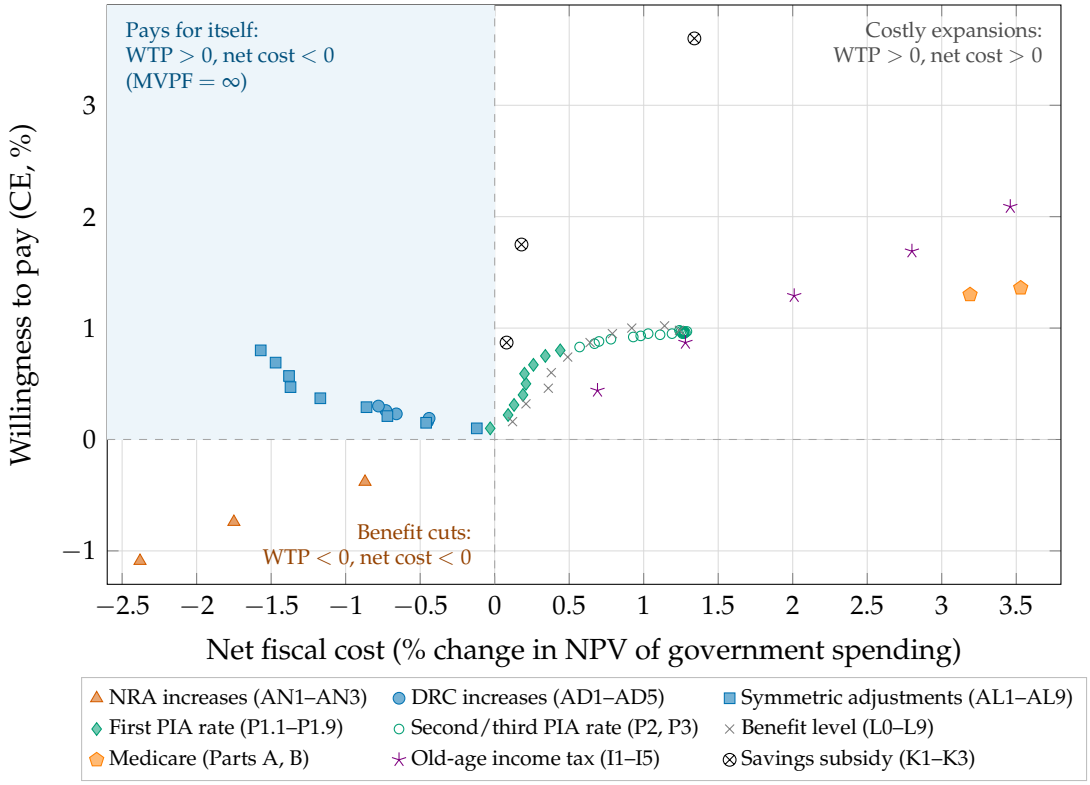
The subsidies have a strong income effect at older ages. Participation falls by 1.27 to 5.98 points at 62–64 and by 0.85 to 4.11 points at 65–69, as individuals accumulate more wealth and retire earlier, while it rises slightly at 30–49. A higher return makes saving a better substitute for continued work as a source of old-age income.

The MVPFs of the savings subsidies rest on a different consumption base from those of the other reforms. Because a subsidy changes returns from age 30, its WTP is converted into dollars with the present value of baseline consumption from age 30 rather than from age 62 (Section 4.4). The lifetime base is larger, so the levels of the savings MVPFs, including their lower bounds, are not comparable with those of the reforms that start at 62. Section 7.1 compares the two on a common base.

## 5.7 Synthesis: The MVPF Map

Figure 5 places every reform in the plane of net fiscal cost and WTP. Both axes are measured in the same units for every reform, so the slope of the ray from the origin to a reform, WTP divided by net cost, is proportional to its MVPF on a common consumption base. For the reforms that start at 62, the MVPF equals, up to rounding, this slope times a common factor (Section 4.4).

**Figure 5.** The MVPF Map: Welfare and Net Fiscal Cost of All Reforms




*Notes:* Each marker is one reform of Tables 4, 5, F.1, and 6. Horizontal axis: net fiscal cost, the percentage change in the present value of per capita government spending discounted to age 62 (Net). Vertical axis: willingness to pay, the ex ante consumption-equivalent welfare change at age 30, in percent (WTP). Shaded region: WTP $> 0$ and net cost $< 0$, where the MVPF is infinite. Lower-left quadrant: reforms that lower welfare and save money, for which the MVPF is the welfare cost per dollar saved. Upper-right quadrant: reforms that raise welfare at a positive net cost. For the reforms that start at age 62, the MVPF equals the slope of the ray from the origin times a common factor (Section 4.4). The savings subsidies use a different consumption base for their MVPFs, and their net costs treat capital income as taxed every period (Table 6). All entries come from simulations of the estimated model with prices held fixed.

The map has three regions. The shaded upper-left region contains the reforms that pay for themselves: all fourteen reforms that reward delay and the smallest expansion of the bottom bracket. Their savings are not small: the steepest symmetric reforms lie to the left of AN1. The lower-left quadrant contains the NRA increases, on rays about as flat as those of the Medicare expansions: each dollar they save costs little welfare, but all of them lower

welfare. The upper-right quadrant contains the costly expansions. Within it, the first-rate reforms lie above the level reforms at the same net cost; the reforms of the upper rates extend to the right at a nearly constant WTP, adding cost with little additional welfare; the income-tax cuts lie along a ray of nearly constant slope, as their nearly constant MVPFs imply; and the Medicare expansions, at net costs similar to the largest tax cuts but with lower WTP, lie on the flattest rays among the expansions.

Because the reforms that start at 62 share a common consumption base, their MVPFs can be ranked directly. Reforms that reward delay come first, with infinite MVPFs. Expansions of the bottom bracket follow, with MVPFs between 0.69 and 1.14 and an infinite MVPF for the smallest. Level reforms and increases in the upper rates follow at 0.29 to 0.61, then cuts in old-age income taxes at 0.23 to 0.26. A reduction of the NRA, the reverse of AN1–AN3, at 0.16 to 0.18, and the Medicare expansions, at 0.146 to 0.155, come last. The savings subsidies appear on the same axes, but their net costs rest on the upper-bound treatment of capital-income taxes, and Section 7.1 places their MVPFs on the common base.

The ranking reflects two properties of a reform: whom it pays at unchanged behavior, and which behavior it rewards. A credit for delay pays only those who claim after the NRA, and the delays it induces lower the program's outlays. The bottom bracket shifts benefits toward retirees whose lifetime earnings were depressed by low ability or poor health. A lower NRA pays every claimant, and an old-age tax cut pays more to those with more taxable income in old age. A Medicare expansion pays for medical expenditures concentrated at the oldest ages, which drive its large cost.

# 6 Closing a Financing Gap

Population aging puts the financing of Social Security under pressure (Board of Trustees, OASDI 2024; Congressional Budget Office 2024), and closing a financing gap requires raising revenue or cutting outlays. The MVPF ranks the instruments available for this purpose by the welfare cost of each dollar they save (Hendren 2016; Hendren and Sprung-Keyser 2020). All statements below refer to the reforms in our grid and to the cohort we study.

**Reforms that save money and raise welfare.** A reform with an infinite MVPF relaxes the budget at no welfare cost and therefore comes first in any consolidation. In our grid, these are the reforms that reward later claiming (Table 4), and their savings are not small. The DRC increases lower the present value of government spending by 0.44 to 0.78 percent, and the symmetric adjustments by 0.12 percent (AL1) to 1.57 percent (AL9), while raising welfare by 0.10 to 0.80 percent. Within the symmetric family, fiscal saving and welfare rise

together with the slope of the schedule, so the reform that saves the most, AL9, also raises welfare the most. For these reforms there is no trade-off between the budget and welfare to resolve: the government obtains the saving by paying a larger reward to those who delay, and the induced delays and longer careers more than finance the reward (Section 5.2).

**Rewarding delay and raising the NRA.** The natural comparison is with increases in the NRA, the instrument the 1983 Amendments used alongside a higher credit. For a fiscal saving up to the size of AN1, 0.87 percent of government spending, several reward-delay reforms deliver a similar or larger saving with a welfare gain instead of a welfare loss. AD5 saves 0.78 percent and AL4 saves 0.86 percent; AL5, AL6, AL7, AL8, and AL9 save 1.17, 1.37, 1.38, 1.47, and 1.57 percent. AN1 lowers welfare by 0.38 percent; each of these reforms raises it. Larger consolidations are a different matter. AN2 and AN3 save 1.75 and 2.38 percent, more than any single reward-delay reform in our grid. We have not computed combinations of reforms, such as a steeper claiming schedule together with a higher NRA, so the grid does not say how a saving of that size would best be obtained. It does show that, for the cohort we study, savings of up to 1.57 percent of government spending can be obtained while raising welfare.

**The welfare cost of a dollar saved.** Once the reforms with infinite MVPF are exhausted, further savings require reforms that lower welfare, and the MVPF of such a reform measures its welfare cost per dollar saved. Raising the NRA costs 16 to 18 cents of willingness to pay, in dollars of consumption from age 62, per dollar of government spending saved. Our grid contains three other families against which this cost can be compared—the level of benefits, Medicare coverage after 65, and income taxes after 62—but we simulate them as expansions, with MVPFs of 0.30 to 0.61, 0.146 to 0.155, and 0.23 to 0.26. To a first order, the MVPF of a cut equals the MVPF of the corresponding expansion. For a small change $d\theta$ in a policy parameter $\theta$, both the WTP and the net cost are proportional to $d\theta$; reversing the sign of $d\theta$ reverses the sign of both and leaves their ratio unchanged. Read this way, raising the NRA costs about as much welfare per dollar saved as forgoing or reversing an expansion of Medicare coverage after 65. It costs less than raising income taxes on older individuals, which would cost about 23 to 26 cents per dollar raised, and less than a proportional cut in all replacement rates of the benefit formula, which would cost about 30 to 61 cents per dollar saved. Among the welfare-reducing instruments we consider, NRA increases are thus a comparatively inexpensive source of revenue, even though they are dominated by rewards for delay for moderate savings.

This symmetry is a first-order argument, and our reforms are not marginal. If the WTP is concave in the policy parameter, as diminishing returns imply, the welfare lost

by moving the parameter down exceeds the welfare gained by moving it up by the same amount, and the reversed MVPFs understate the welfare cost of a cut. The grid speaks to this curvature only within each family of expansions. The MVPFs of I1–I5 hardly change with the size of the reform, which suggests that the curvature is mild for old-age income taxes over the range we consider. The MVPFs of the level reforms fall from 0.61 for L3 to 0.30 for L9; for a cut in replacement rates, the smaller reforms L0–L4, with MVPFs of 0.49 to 0.61, are the more relevant comparison. The two Medicare expansions have the same size and are silent on curvature. Behavioral responses to cuts and expansions also need not be symmetric when participation involves fixed costs of work and a cost of reentry. We have not simulated the reverse reforms, and the comparison between NRA increases and tax increases, Medicare cuts, or proportional benefit cuts is an approximation rather than a computed result. The comparison between NRA increases and reward-delay reforms involves no such approximation.

**Who bears the gap.** Our analysis concerns a single cohort, facing reforms announced before age 30 and in force over its whole life. A financing gap also raises the question of how a legacy debt is shared across cohorts, and a cohort analysis does not determine who should bear it. The MVPF ranks the instruments for raising a dollar from a given cohort; it does not say which cohorts should contribute that dollar. The transition generations, cohorts already in the middle of their careers or near retirement when a reform is announced, are not modeled. For them, both the welfare cost and the fiscal saving of a reform depend on how much of their working life remains when it is announced: an NRA increase announced late in a career leaves little room to adjust saving and labor supply, and a higher credit can change the behavior only of those who have not yet claimed. Prices are held fixed throughout, so the analysis also abstracts from the effects of a consolidation on wages and interest rates (Section 7.2).

With these qualifications, the MVPFs suggest an order for closing a financing gap. Reforms that reward later claiming come first, because they save money and raise welfare. Beyond the savings they can deliver, the choice among reforms that lower welfare should follow their welfare cost per dollar saved, on which increases in the NRA compare favorably with higher taxes on older individuals and with proportional cuts in benefits.

# 7 Discussion

This section examines which of our results depend on measurement conventions and modeling choices.

## 7.1 Converting Welfare into Dollars

The WTP for a reform is the proportional change in consumption, at every age from 30 to $T$ and in every state, that the cohort values as much as the reform (equation (13)). Equation (14) converts it into dollars with the present value of baseline per capita consumption from age 62, $\bar{C}^0_{62}$, for the reforms that start at 62, and from age 30, $\bar{C}^0_{30}$, for the savings subsidies. Only the lifetime base values the consumption change that defines the CE: on it, a transfer that raises consumption in the same proportion at every age and in every state, and induces no behavioral response, has an MVPF of one, whereas on the post-62 base its MVPF is $\bar{C}^0_{62}/\bar{C}^0_{30}$. The tables pin down this ratio: every finite MVPF equals the ratio of the WTP and Net columns times $\bar{C}^0_s/|G^0|$, a factor between 0.38 and 0.40 for the reforms that start at 62 and between 1.87 and 1.99 for the savings subsidies (Section 4.4). The lifetime base, which adds the consumption of the 32 years from age 30 to 61, is therefore about five times the post-62 base: the ratio lies between 4.7 and 5.2.

Three kinds of statements do not depend on the base: whether an MVPF is infinite, which depends only on the signs of WTP and net cost; the ranking of reforms within a family, which share a base; and the ranking across the families that start at 62 (Section 5.7), which share the post-62 base. The central results of the paper are of these kinds. The base matters for the levels of finite MVPFs and for two comparisons. First, on the post-62 base, the lower bounds of the savings MVPFs, 0.84 to 0.96, would be about one-fifth as large, roughly 0.16 to 0.20: close to the MVPFs of the NRA increases and below those of the old-age income-tax cuts. Their upper bounds would be about 4 for K1 and K2 and about 1 for K3. Where the subsidies rank among the reforms that start at 62 thus depends on how much of the indirect saving from taxing interest income, an upper bound in the model, materializes. Second, on the lifetime base, every finite MVPF of the reforms that start at 62 would be about five times larger. Those of the old-age income-tax cuts and of all expansions of the benefit formula would exceed one; those of the Medicare expansions, about 0.7 to 0.8, would lie within the range of 0.52 to 3.83 estimated for the introduction of Medicare rather than below it (Section 5.4); and each dollar saved by raising the NRA would cost about 75 to 95 cents of willingness to pay rather than 16 to 18 cents. A comparison of an MVPF with one is therefore meaningful only on the lifetime base.

## 7.2 General Equilibrium

Every reform is evaluated at a fixed wage per efficiency unit and a fixed interest rate, without balancing the budget. Fixed prices are exact in a small open economy, in which, with constant returns to scale, the world return to capital also fixes the wage. In a closed economy, a reform applied to every cohort would also move the wage, through aggregate

labor input, the return to capital, through aggregate saving, and the taxes or spending that absorb its effect on the budget. Overlapping-generations analyses of Social Security reform incorporate these channels (Conesa and Krueger 1999; Nishiyama and Smetters 2007; Imrohoroğlu and Kitao 2012; Kitao 2014).

The price channels are pecuniary. By the envelope theorem, individuals' responses to a small price change have no first-order effect on their welfare, which changes only through the direct effect of prices on their income. With constant returns to scale, the fall in the wage and the rise in the return that follow an increase in labor input leave aggregate pretax income unchanged at the initial factor supplies. They redistribute it from workers to asset holders, and they move the WTP of a reform only through differences in marginal utility between those who gain and those who lose. Their effect on the budget differs: additional labor raises output and the tax base in general equilibrium as in partial equilibrium, and the shift of income from labor to capital changes revenue by the difference between the tax rates on the two.

The sign of the fiscal saving of the reward-delay reforms is likely to survive these feedbacks. Its first source, the fall in retirement outlays, comes from claiming responses whose fiscal sign depends on prices only through the discount rate of Lemma 1: both terms of equation (17) are proportional to the PIA, so the wage affects their size but not their sign. Its second source is additional work. These reforms raise participation at 65–69 and, in their moderate versions, in every age group we track; a lower wage would reduce the revenue from each additional hour but, for a small reform, would not reverse the response that generates it. Returned through any instrument with a positive MVPF, the saving raises welfare further while balancing the budget (Appendix E). The saving of the NRA increases is mechanical, so its sign does not depend on prices either. A reduced-form correction for the size of these effects would require the elasticity of the wage with respect to aggregate labor input and each reform's effect on that input, summed over the cohorts alive in a steady state; the corresponding objects for the return to capital and aggregate saving; the tax rates on labor and capital income; and the instrument that balances the budget. The model delivers only the cohort's responses.

## 7.3 Statutory Ages as Reference Points

In our model, the NRA matters only through the retirement benefits, DI eligibility, and earnings-test rules it determines. Evidence suggests that statutory ages matter beyond these incentives. Seibold (2021) documents bunching of retirements at statutory ages in Germany, including ages at which the financial incentives to retire change little or not at all, and interprets it as evidence that statutory ages act as reference points. In the United

States, the spike in benefit claiming at the full retirement age moved with it as the 1983 Amendments raised it (Behaghel and Blau 2012; Deshpande et al. 2024).

Reference dependence would make an NRA increase a more effective fiscal instrument than our model predicts, and its welfare cost harder to measure. If the NRA is a reference point, an increase moves the concentration of exits and claims with it and raises participation below the new NRA by more than our model predicts; for a given WTP, the larger fiscal saving would lower its MVPF further. If the reference point is part of preferences, moving it changes utility directly; if it is a norm followed without optimizing, the envelope argument under which behavioral responses enter the MVPF only through the budget (Section 4.5) fails. In both cases, a WTP computed from preferences over consumption and leisure misses part of the welfare effect of the reform, and the behavioral evidence does not determine its sign.

The reward-delay reforms leave the NRA, and any reference point at it, at 65. Reference dependence would bear on them through the response to the credit: if the NRA anchors claiming, fewer individuals would delay beyond it when the credit rises. Because the mechanical effect of a DRC increase on retirement outlays is a cost, its infinite MVPF rests on these responses (Section 5.2), and strong anchoring would reduce its saving. Our model matches the concentration of exits in the 60s (Figure 2) but attributes it to incentives, health, and the fixed costs of work; to the extent that anchoring at 65 accounts for part of it, the model may overstate the response to the credit.

## 7.4 Cohort Rules and Current Law

Our status quo is the set of rules faced by the cohorts born between 1920 and 1940: an NRA of 65 and a DRC of 4.5 percent, the cohort average of credits that rose with the year of birth. The 1983 Amendments raised the NRA to 67 and the DRC to 8 percent, both phased in by birth cohort (Svahn and Ross 1983). Reforms AN2 and AD1 introduce these two changes for our cohort one at a time; combined, they give the current-law schedule, which pays 70 percent of the PIA at 62 and 124 percent at 70. Our grid does not contain this combination, whose effects need not equal the sum of those of AN2 and AD1, because the response to a higher credit depends on the age from which it accrues.

The grid still speaks to the direction of further reforms. Because the CE is a log ratio and the fiscal columns of a table share their baseline aggregates, the difference between two rows evaluates the move from one reform to the other. Moving from AD1 to AD3, AD4, or AD5—from an 8 percent credit to 9, 9.5, or 10 percent, at an NRA of 65—raises WTP by 0.07 to 0.14 percent and lowers net government spending by 0.21 to 0.33 percent of its status-quo value; the move to 8.5 percent (AD2) is close to budget neutral. At an NRA

of 65, credits above the current-law 8 percent continue to pay for themselves. The reforms AD2–AD5 and AL2–AL9 are at least as steep, at every claiming age, as the current-law schedule, which rises by 5 percent of the PIA per year from 62 to 64, by $6\frac{2}{3}$ percent from 64 to 67, and by 8 percent after 67 (Appendix D). Within the AL family, welfare gains and fiscal savings both rise with the slope of the schedule (Section 5.2), so our grid points toward schedules steeper than today's.

The grid does not say whether such reforms pay for themselves from current law. With an NRA of 67, the credit accrues from 67, when fewer individuals still work, and who would respond can be determined only by solving the model under current law. Later cohorts also live longer, by more at higher incomes (Chetty et al. 2016). Longer survival and survival beyond age 85, which our model truncates, lower the actuarially fair credit of Lemma 1, and with it the saving from a given delay; so would discounting at a rate below the net return $r$. We leave a re-evaluation at current-law parameters and current survival to future work.

## 7.5 Preferences and Health

The reform results rest on the baseline preferences. The logarithmic specification of Appendix C.5, with fixed utility costs of participation and reentry, also implies a higher cost of work in poor health than in good health, 0.59 against 0.53 utils, and a large reentry cost. It fits old-age assets better but participation worse, and we do not compute reforms under it.

How much the results depend on preferences differs across families. The sign of the WTP of the DRC increases does not depend on preferences at all: an AD reform raises the benefit of every claim after the NRA, including the credit on benefits withheld by the earnings test, and lowers no benefit, so it enlarges every individual's set of feasible choices. Its infinite MVPF depends on preferences only through the responses that determine the sign of its net cost. The key structural feature behind these responses is the health dependence of the fixed cost of work, 867.54 against 791.07 hours a year (Table 2). It determines who is close to the margin between work and exit at 62 to 69 and, together with the health dependence of survival, whether the induced delays occur among claimants for whom the credit is below their actuarially fair rate. For the other families, the curvature of utility also governs the WTP, through the value of insurance across health and ability states. Simulated households also hold less wealth at old ages than in the data, likely because the model has no bequest motive (Section 3), which raises the weight of Social Security in their old-age resources and is likely to raise the value of an additional dollar of benefits.

Disability insurance is an alternative route out of the labor force before the NRA (Yu 2024). Because DI is paid until the NRA without the reduction for early claiming, an NRA increase lengthens DI receipt and returns part of the saving on retirement outlays as DI outlays (Section 5.2). DI enters the model as an expected benefit, without an application process (Section 2.7), so the model captures this extension but not additional applications. Duggan et al. (2007) find that the increase in the NRA raised DI enrollment (see also Li 2018); with an application margin, more of the saving from an NRA increase would reappear as DI outlays. The reward-delay reforms leave the NRA, and hence DI eligibility, unchanged.

## 7.6 Distribution

Our WTP is ex ante and utilitarian for one cohort: the change in average expected utility at age 30, before health, ability, and survival are realized (Section 4.2). It values the insurance a reform provides, but we do not report who gains and who loses by realized health or lifetime earnings. The MVPF framework accommodates such concerns through welfare weights on beneficiaries (Hendren 2016; Hendren and Sprung-Keyser 2020; Saez and Stantcheva 2016), and the rules of each reform indicate how weights would bear on it.

The DRC increases are robust to any weights. Because an AD reform enlarges every individual's set of feasible choices (Section 7.5), no individual is worse off in any state at the prices and taxes of the status quo. Under any welfare weights that are positive for all individuals, its WTP is therefore positive and its MVPF infinite. The symmetric reforms lower the benefit of every claim before 65 and raise it after 65, so at unchanged behavior they transfer resources from early to late claimers, who differ by health (Section 5.2). Their positive WTP is an ex ante average, and with sufficiently large weights on individuals in poor health it could turn negative. The NRA increases lower the benefit at every claiming age, including for individuals in poor health who cannot offset the cut by working longer; weights that favor them would tend to raise the welfare cost of each dollar saved and to reinforce the advantage of the DRC increases.

Among the other families, weights that favor low lifetime earners would raise the MVPFs of the bottom-bracket expansions relative to the level reforms and lower those of the old-age income-tax cuts, whose gains rise with taxable income in old age, which excludes Social Security benefits (Section 2.8). Mortality in the model varies with lifetime earnings only through health, whereas in the data life expectancy rises with income (Chetty et al. 2016). With such a gradient, a credit for delay would pay more to long-lived high earners, whose delays save the program less (Lemma 1; see also Jones and Li 2023). Section 6 discusses the distribution across cohorts.

# 8 Conclusion

Retirement policies change behavior over the entire working life, their effects depend on health, and their fiscal consequences spread across the tax and transfer system. This paper measures the marginal value of public funds of retirement reforms in an estimated life-cycle model that captures these features, computing the ex ante willingness to pay of workers who do not yet know their health and wage histories, and the full fiscal effect of each reform on Social Security and on every other program.

The ranking of reforms is organized by one distinction: whether a reform rewards later retirement or mandates it. Raising the delayed retirement credit, or steepening the adjustment of benefits around the normal retirement age, pays for itself: these reforms raise welfare, lower Social Security outlays, and raise tax revenue as careers lengthen. Raising the normal retirement age saves money by cutting benefits for every claimant and lowers welfare. Among expansions of benefits, an increase in the bottom replacement rate of the benefit formula delivers the most welfare per dollar, and the smallest such increase pays for itself through the taxes of the workers it draws into the labor force. Expansions of Medicare coverage after age 65 and cuts in old-age income taxes deliver the least.

For policymakers facing a financing gap, the results suggest an order of operations. Reforms that reward delay should come first, because they raise revenue and welfare together. Increases in the normal retirement age are a comparatively inexpensive way to raise revenue among the welfare-reducing options we consider, but in our grid they are dominated by rewards for delay whenever the required fiscal saving is moderate. The two changes to claiming incentives in the 1983 Amendments illustrate the distinction: in our model, the higher delayed retirement credit pays for itself, while the higher normal retirement age is a benefit cut with a low MVPF.

The analysis has limits that point to further work. We evaluate reforms for a cohort facing the rules in place before the 1983 Amendments, in partial equilibrium, with an ex ante utilitarian measure of willingness to pay, and with a model in which statutory retirement ages matter only through the benefits they determine. Evaluating reward-delay reforms at current-law parameters, with distributional weights by health and lifetime earnings, with general-equilibrium feedback through wages and the government budget, and with reference-point effects of statutory ages would sharpen the quantitative conclusions. The principle behind our results is more general than the model: when the cost of continued work differs across workers, a reward for delay reaches the workers who can delay at low cost while preserving the option to retire early for those whose health makes work costly, and a mandate does neither.

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# Appendix

## A Model Details and Numerical Solution

This appendix documents the institutional parameters of the model of Section 2 and the numerical method used to solve and simulate it.

### A.1 Social Security

**Program parameters.** According to the Social Security Administration (SSA), individuals born between 1920 and 1940 faced an early retirement age (ERA) of 62 and, on average, a normal retirement age (NRA) of 65. Their delayed retirement credit (DRC) ranged from 3 to 6 percent per year, depending on the year of birth; we use the cohort average of 4.5 percent. The PIA formula had bend points at \$3,720 and \$22,392, and the AIME was capped at \$43,800. The retirement earnings test imposed different rates and thresholds by age: beneficiaries younger than 65 lost \$1 of benefits for every \$2 of earnings above \$6,000, and those aged 65 to 69 lost \$1 for every \$3 of earnings above \$8,186. Table A.1 summarizes these parameters together with the threshold for disability insurance and the payroll-tax schedule. All monetary values are in 1987 dollars and, like $aime_t$ in (5), at annual rates.

**Earnings record.** Following French (2005), individuals enter the labor market at age 25, so that by age 30, the first age in the model, they have accumulated five years of earnings. We impute the initial value of $aime_t$ by assuming that each individual worked 2,000 hours per year in these five years at her hourly wage at age 30. Under the SSA rules, earnings up to two years before the age of eligibility, that is, up to age 60, are indexed to average wage growth to account for the rise in living standards over the working life. In the model, $aime_t$ is adjusted for inflation by indexing wages to the personal consumption expenditure price index. Under the law of motion (5), each year of earnings from age 25 to 59, a span of 35 years, adds one thirty-fifth of annual earnings to $aime_t$. From age 60, earnings raise $aime_t$ only if they exceed its current value, which mimics the replacement of a low year among the highest 35.

**Claiming schedule.** Under the status-quo rules, the benefit as a percentage of the PIA is 80, 86.67, 93.33, 100, 104.5, 109, 113.5, 118, and 122.5 for claiming ages 62 through 70. The schedule rises by 6.67 percentage points per year of delay up to the NRA and by the DRC of 4.5 percentage points per year after it. Figure 4 and Table D.1 report the schedules under the claiming-age reforms. Claiming is irreversible and must occur by age 70.

**Table A.1.** Social Security Parameters

| Parameter | Description | Value |
|---|---|---|
| *A. Claiming ages and actuarial adjustment* | | |
| ERA | Early retirement age | 62 |
| NRA | Normal retirement age | 65 |
| DRC | Delayed retirement credit, per year after the NRA | 4.5% |
| *B. Benefit formula* | | |
| $aime_0$ | First bend point of the PIA formula | \$3,720 |
| $aime_1$ | Second bend point of the PIA formula | \$22,392 |
| $aime_{max}$ | Maximum AIME | \$43,800 |
| *C. Retirement earnings test* | | |
| $\tau_{ret}$ | Benefit reduction rate, below the NRA | 50% |
| $\tau_{ret}$ | Benefit reduction rate, from the NRA to age 69 | 33% |
| $y_{ret}$ | Exempt amount, below the NRA | \$6,000 |
| $y_{ret}$ | Exempt amount, from the NRA to age 69 | \$8,186 |
| *D. Disability insurance* | | |
| $y_{db}$ | Earnings threshold for DI eligibility | \$3,600 |
| *E. Payroll tax* | | |
| $\tau_t^p$ | Payroll tax rate (OASDI and HI) | 3%–7.65% |
| $\bar{y}_t^{ss}$ | Payroll tax threshold | \$14,459–\$64,974 |

*Notes:* Parameters of the Social Security, disability insurance, and payroll-tax rules faced by the cohort born between 1920 and 1940, as used in the model of Section 2. The NRA is the cohort average and the DRC is the average of the credits, which ranged from 3 to 6 percent by year of birth. The bend points and the maximum of the average indexed monthly earnings (AIME) enter the primary insurance amount (PIA) formula (6) and the law of motion (5). The benefit reduction rate is the dollar reduction in benefits per dollar of labor earnings above the exempt amount (7). The DI threshold corresponds to the monthly substantial gainful activity amount of \$300 for nonblind individuals (8). Payroll-tax rates and thresholds vary over the cohort's working life; the table reports their ranges. Abbreviations: ERA = early retirement age; NRA = normal retirement age; DRC = delayed retirement credit; RET = retirement earnings test; DI = disability insurance; OASDI = Old-Age, Survivors, and Disability Insurance; HI = Hospital Insurance (Medicare). Monetary values in 1987 dollars. *Source:* Social Security Administration.

**Earnings test and crediting.** Beneficiaries younger than 70 face the earnings test (7). Following French and Jones (2011), benefits withheld by the test are credited through higher future benefits at the rates of the claiming schedule: if a year's worth of benefits is withheld before the NRA, future benefits rise by the early-claiming increment of 6.67 percent of the PIA; if a year's worth of benefits is withheld after the NRA, future benefits rise by the DRC. From age 70, benefits are not subject to the test.

## A.2 Disability Insurance

Individuals with a disability are eligible for DI benefits before the NRA if their labor earnings fall below a threshold. DI application is not an endogenous decision in the model, because it is not the focus of the paper and the relevant data are difficult to obtain. In models that treat applications explicitly, such as Low and Pistaferri (2015), the probability that an application succeeds depends on age and health. To keep the model tractable, we grant DI benefits exclusively to individuals who have a disability ($h_t = 2$), are older than 50, and earn less than $y_{db} = \$3{,}600$ per year, the annual equivalent of the monthly substantial gainful activity amount of \$300 that the SSA sets for nonblind individuals with a disability. The benefit, given by (8), equals the individual's PIA, without the reduction for early claiming, multiplied by $\pi^{db}$, the probability of receiving DI benefits for older individuals with severe work limitations estimated by Low and Pistaferri (2015). Because not all individuals with a disability are awarded benefits, scaling by $\pi^{db}$ captures the average DI benefit received by individuals with a disability. DI benefits end at the NRA.

## A.3 Pensions

Pension benefits capture the main features of defined-benefit (DB) plans. Like Social Security benefits, they depend on the individual's work history and are illiquid before a specified age, which we set to 62. Unlike Social Security, DB plans often create strong incentives to leave the labor force at particular ages through the structure of their accrual rates (Gustman et al. 2000; Ippolito 1997). To capture these features, we impute pension income as a function of Social Security benefits, following French (2005):

$$pb_t = pb(PIA_t) + \xi_t \qquad \text{for } t \geq 62,$$

and $pb_t = 0$ before age 62. The function $pb(\cdot)$ maps lifetime earnings, summarized by the PIA, into pension income, with parameters based on the estimates of Gustman and Steinmeier (1999). The term $\xi_t$ is an age-specific adjustment, based on the pension accrual rates of Gustman et al. (2000), that accounts for the difference between the accrual of

pension wealth and the accrual of Social Security wealth over the life cycle; this difference tends to be positive at older ages. French (2005) describes the procedure in detail. Pension income is part of taxable income $y_t$ in (10).

## A.4 Taxes and the Return to Saving

**Income tax.** Individuals face the age-dependent tax function (9) on total income, with parameters $(\lambda_t, \tau_t)$ estimated from PSID data as in Borella et al. (2023). For tractability, individuals anticipate the changes in these parameters with age. Total income includes interest income, so that interest is taxed as it accrues.

**Payroll tax.** Payroll-tax rates and taxable maxima are based on the historical data of the SSA for the Old-Age, Survivors, and Disability Insurance (OASDI) and Medicare Hospital Insurance (HI) programs. Since 1960, the combined OASDI and HI tax rates for employees and employers have ranged from 3 to 7.65 percent. The taxable maximum ranges from \$14,459 to \$64,974 in 1987 dollars (Table A.1).

**Return to saving.** The pretax interest rate is $r_f = 4$ percent (French 2005). We set the wedge between the gross and the net return to $\tau_k = 20$ percent, as in Stantcheva (2017). Even though interest income is taxed as part of total income by (9), this wedge captures corporate and other direct capital taxes that the model does not represent. The analysis is therefore equivalent to one with a baseline net interest rate of $r = 3.2$ percent. The savings-subsidy reforms of Section 5.6 raise the net return toward $r_f$.

## A.5 Solution and Simulation

**Parameters.** An individual's decisions at age $t$ depend on the state $X_t$, on the preference parameters $\mathcal{P} = (\gamma, \nu, \phi_n(0), \phi_n(1), \phi_{RE}, L, \beta)$, with $\phi_n(2) = \phi_n(1)$, which are estimated in the second step (Section 3), and on the parameters that govern the data-generating process for the state variables and the policy environment,

$$\chi = \Big(r,\, \sigma^2,\, \rho,\, \{W(h,t)\}_t,\, \{\pi_{j,i,t+1}\}_t,\, \{s_{t+1}\}_t,\, \{m_t\}_t,\, \{pb_t\}_t,\, \{ss_t\}_t,\, \{db_t\}_t,\, \Upsilon_t(\cdot)\Big),$$

which are estimated or calibrated in the first step. Out-of-pocket medical expenses and pension income depend on the other state variables and are not separate state variables.

**Backward induction.** The life cycle is divided into three stages. From 30 to 61, individuals choose consumption and hours; from 62 to 69, they also choose whether to claim; from 70 to 85, all have claimed and choose consumption and hours. We solve the problem (12) by backward induction. At the terminal age $T = 85$, $V_{T+1} \equiv 0$ and $a_{T+1} = 0$, so the individual

consumes her remaining resources and chooses hours. Given the value function at $T$, we solve for the decision rules and the value function at $T-1$, and we proceed backward to age 30. The model features savings for retirement, precautionary savings against wage, health, and medical-expense risk, and accidental bequests, but no bequest motive. The solution consists of the consumption rules $c_t(X_t;\mathcal{P},\chi)$, the hours rules $n_t(X_t;\mathcal{P},\chi)$, and the claiming rules $b_t(X_t;\mathcal{P},\chi)$; participation $P_t$ follows from the hours rule, and next-period assets $a_{t+1}$ follow from the budget constraint (10).

**Grids, quadrature, and interpolation.** We discretize the state space with 30 asset points, 10 wage points, 10 AIME points, 2 claiming states ($b_{t-1} \in \{0,1\}$), 3 health states, and 2 states for previous participation ($P_{t-1} \in \{0,1\}$). We compute the value function directly at these grid points and integrate over the wage innovation $\varepsilon_{t+1}$ with five-node Gauss–Hermite quadrature (Judd 1998). To evaluate the value function at points off the grid, we use linear interpolation within the grid and linear extrapolation outside it.

**Simulation.** We simulate life-cycle histories forward with the decision rules. Initial states at age 30 are drawn from the empirical joint distribution of wages, health, assets, and labor force participation of individuals aged 28 to 32 in the target cohort in the PSID, with the mean of log wages adjusted to match the estimated wage profile within each health group (Appendix B and Table B.6). The initial AIME is imputed as described in Appendix A.1, and no individual has claimed at age 30. Given the decisions at age 30, the state at age 31 is generated from the health transition probabilities, the survival probabilities, and draws of the wage innovation, and the process is repeated through age $T$, which yields complete simulated histories. The simulated histories deliver the life-cycle profiles used in estimation (Appendix C), the value at age 30 used to measure welfare (Section 4.2), and the per capita flows that enter the government accounts of Section 2.11. For each reform, we solve the model again under the reform's rules and simulate the cohort from the same initial distribution (Appendix D).

# B Data and First-Step Estimation

This appendix describes the two samples, the measurement of health and disability, and the first-step estimation of the health, survival, medical-expense, and wage processes and of the initial conditions summarized in Section 3.

## B.1 Samples

**Panel Study of Income Dynamics.** The PSID is a longitudinal survey of a representative sample of the US population that collects detailed information on labor market outcomes,

income, health, and wealth. It began in 1968 with interviews of about 4,800 families and has followed the original respondents and their descendants since, with interviews conducted annually until 1997 and biennially thereafter. The original sample has two components: 1,872 low-income families drawn from the Survey of Economic Opportunity (SEO) and 2,930 families selected by the Survey Research Center (SRC) at the University of Michigan to represent the US population.

We keep individuals from the SRC component interviewed between 1968 and 2015. We exclude the SEO component, most of whose families were dropped from the survey after 1997, which makes the sample more representative of the US population. We keep household heads and their spouses, aged 20 to 90, with nonmissing labor and health information, and restrict the sample to individuals born between 1920 and 1940, a group of cohorts that faced similar Social Security rules and that the PSID observes over most of the life cycle. Table B.1 reports each selection step. The final sample has 2,248 individuals and 44,404 person–year observations. We use it to estimate health transitions, wage profiles and dynamics, survival probabilities, the initial distribution of the state variables, and the target profiles of the second step.

**Medical Expenditure Panel Survey.** The MEPS is a nationally representative survey of families, individuals, their medical providers, and employers across the United States, with detailed information on medical expenditures, sources of payment, insurance coverage, health status, and demographics. It covers individuals of all ages, with age top-coded at 85. Medical spending is reported at the individual level and cross-validated with information from providers and insurers. We use the 1999–2012 waves, restrict the sample to household heads aged 20 and older, and exclude observations with missing age, medical spending, insurance coverage during working years, or health status. Table B.2 reports each step; the final sample has 120,731 individuals and 211,709 person–year observations. We use the MEPS only to estimate out-of-pocket medical expenses.

## B.2 Health and Disability Measures

**PSID.** Health and disability status in the PSID are constructed from three self-reported work-limitation questions asked in each wave:

(1) *Do you have any physical or nervous condition that limits the type of work or the amount of work that you can do?*

(2) *Does this condition keep you from doing some types of work?*

(3) *For work you can do, how much does it limit the amount of work you can do—a lot, somewhat, or just a little?*

**Table B.1.** PSID Sample Selection

| Selection step | Individuals | Observations |
|---|---|---|
| Initial sample | 76,880 | 3,075,200 |
| Non-SEO sample | 36,430 | 1,457,200 |
| Household heads and spouse if present | 21,225 | 355,314 |
| Age 20 to 90 | 21,031 | 350,617 |
| No missing labor or health information | 19,433 | 222,319 |
| Born between 1920 and 1940 | 2,248 | 44,404 |

*Notes:* Number of individuals and person–year observations remaining after each selection step, applied sequentially from top to bottom. Non-SEO sample: excludes the Survey of Economic Opportunity low-income subsample and keeps the nationally representative Survey Research Center component. *Data source:* Panel Study of Income Dynamics, 1968–2015 waves.

**Table B.2.** MEPS Sample Selection

| Selection step | Individuals | Observations |
|---|---|---|
| Initial sample | 259,263 | 491,795 |
| Household heads | 130,978 | 231,866 |
| Age above 20 | 125,587 | 222,495 |
| With insurance information at 25–65 | 121,385 | 213,005 |
| Nonmissing health status | 120,731 | 211,709 |

*Notes:* Number of individuals and person–year observations remaining after each selection step, applied sequentially from top to bottom. Insurance information is required at ages 25–65. *Data source:* Medical Expenditure Panel Survey, 1999–2012 waves.

The first question admits *Yes* or *No*. The second question, available from 1986, admits *Yes*, *No*, or *Can do nothing*. The response options to the third question changed over time: since 1976 they have been *Not at all*, *Somewhat*, *Just a little*, or *A lot*; before 1976 they were *We can't work*, *It limits me a lot*, *Some, not much*, or *Limitation but not on work*. For observations before 1986, health status is based on the first and third questions only.

Following Low and Pistaferri (2015), we classify individuals into three health states. An individual is in good health ($h_t = 0$) if she answers *No* to the first question or *Not at all* to the third; in poor health ($h_t = 1$) if she answers *Yes* to the first question and *Somewhat* or *Just a little* to the third; and has a disability ($h_t = 2$) if she answers *Yes* to the first question, *Can do nothing* to the second, and *A lot* to the third, in accordance with the Social Security Administration criterion for disability insurance qualification. Two alternative measures are not suitable for our purposes. The frailty index of Hosseini et al. (2022) relies on PSID questions available only since 2003, and self-rated health has been collected only since 1984. Neither provides consistent information on health over the entire life cycle of the 1920–1940 cohorts.

**MEPS.** In the MEPS, health status is based on self-rated health, following Pashchenko and Porapakkarm (2019). Each year includes three interview rounds, and in each round respondents rate their health as (1) excellent, (2) very good, (3) good, (4) fair, or (5) poor. An individual is in good health ($h_t = 0$) if her rating falls in categories 1 to 3 in all three rounds, has a disability ($h_t = 2$) if she reports poor health in any round, and is in poor health ($h_t = 1$) otherwise.

**Comparison.** Table B.3 compares the distribution of health by age group in the two surveys. The shares of people with a disability are similar at ages 50 to 70 and higher in the PSID after 70, and both surveys show the share in good health declining with age. The MEPS classifies a larger share of individuals in poor health at every age, so out-of-pocket medical expenses by health state are estimated from a population whose poor-health group is broader than in the PSID.

## B.3 First-Step Estimation

**Health transitions.** We estimate the transition probabilities $\Pr(h_t = j \mid h_{t-1} = i)$, $i, j \in \{0, 1, 2\}$, by probit regressions of the indicator $\mathbf{1}\{h_t = j\}$ on a full set of age dummies, using the observations with $h_{t-1} = i$. The predicted values are the estimated transition probabilities, which we interpolate linearly across ages so that the transition matrices change smoothly over the life cycle.

**Table B.3.** Health Status by Age in the MEPS and the PSID

| | Ages 50–60 | | Ages 60–70 | | Ages 70 and older | |
|---|---|---|---|---|---|---|
| Health status (%) | MEPS | PSID | MEPS | PSID | MEPS | PSID |
| With a disability | 10 | 9.3 | 11.7 | 12.9 | 15 | 19.7 |
| Poor health | 21 | 10.6 | 23.6 | 17.0 | 28.7 | 19.3 |
| Good health | 69 | 80.1 | 64.7 | 70.1 | 56.3 | 60.0 |

*Notes:* Percentage of individuals in each health state within each age group and survey. Health states are defined from self-rated health in the Medical Expenditure Panel Survey (MEPS) and from work-limitation questions in the Panel Study of Income Dynamics (PSID), as described in the text. *Data sources:* MEPS and PSID.

**Survival.** We estimate age- and health-dependent survival probabilities in the PSID by a logistic regression of an indicator for survival on a polynomial in age, lagged health status, and their interactions, keeping the terms that are statistically significant. Table B.4 reports the estimated coefficients, and panel B of Figure 1 shows the implied mortality rates by age and health state.

**Table B.4.** Estimated Coefficients of the Survival Model

| | Coefficient | Std. error |
|---|---|---|
| $\text{Age}^2$ | $-0.0006^{***}$ | (0.0000) |
| $\text{Health}_{t-1} = 1$ | $-1.3198^{***}$ | (0.2288) |
| $\text{Health}_{t-1} = 2$ | $-3.1419^{***}$ | (0.4189) |
| $\text{Health}_{t-1} \times \text{Age}^2$ | $0.0109^{***}$ | (0.0032) |
| Constant | $7.8801^{***}$ | (0.1373) |
| Observations | 132,070 | |

*Notes:* Logistic regression of an indicator of survival on the square of age, indicators of lagged health status (1: poor health; 2: disability), and the interaction of lagged health status with the square of age. Robust standard errors, clustered at the individual level, in parentheses. *** $p < 0.01$. *Data source:* Panel Study of Income Dynamics.

**Out-of-pocket medical expenses.** Out-of-pocket medical expenses are total medical expenditures net of the amount covered by health insurance, measured in the MEPS. Following the procedure of Pashchenko and Porapakkarm (2019), we estimate the profiles of total medical expenditures by weighted regressions on age and year dummies, separately for each health state, using both the cross-sectional and the longitudinal weights. We estimate the profiles of insurance coverage in the same way. For working-age individuals, coverage is the amount paid by insurance; for individuals aged 65 and older, it is the amount paid by Medicare. Out-of-pocket expenditures are the product of the estimated coinsurance rate and total medical expenses at each age and health state. Following De

Nardi et al. (2024), we multiply the estimated expenditures by 1.60 below age 65 and by 1.90 from age 65 so that medical spending is consistent with the aggregates of the National Health Expenditure Accounts. Finally, we smooth the profiles by regressing them on a quadratic function of age.

**Wages.** Hourly wages are annual earnings divided by annual hours worked, both reported in the PSID for the previous calendar year. We exclude observations with hourly wages below \$6.50 or above \$250 in 2016 dollars. Because wages are observed only for participants, we correct for selection with the two-stage estimator of Heckman (1976), as adapted by Guner et al. (2012). In the first stage, a probit regression of labor force participation on all PSID observations generates an inverse Mills ratio. In the second stage, we regress log hourly wages on an age polynomial, the interactions of health with the age polynomial, and the inverse Mills ratio. Family size and year of birth enter the selection equation but not the wage equation. Table B.5 reports the coefficients of both stages. Earlier studies instead estimate the wage equation inside the structural model by matching the wage profiles of participants (French 2005; French and Jones 2011); the Heckman correction fits the targeted moments well and keeps the wage profiles outside the second-step search, which saves computation.

**Ability process.** We estimate the autoregressive coefficient and innovation variance $(\rho, \sigma^2)$ of the ability process (4) from the wage residuals of the second stage. We restrict the residuals to ages 25 to 65 and drop the top 0.5 percent to limit the influence of outliers on the variance. Estimation is by maximum likelihood with the standard Kalman filter recursions. The estimates are $(\rho, \sigma^2) = (0.981, 0.016)$.

**Initial conditions.** Simulated individuals enter the model at age 30. We draw their initial states from the empirical joint distribution of wages, health, assets, and labor force participation of individuals aged 28 to 32 in the PSID sample, adjusting the mean of log wages to match the estimated wage profile within each health state. To impute initial average indexed monthly earnings, we assume, following French (2005), that every individual has worked for five years, 2,000 hours per year, at her hourly wage at age 30. Table B.6 summarizes the initial distribution. Individuals in good health have higher wages, assets, and participation, on average, than individuals in poor health or with a disability.

**Table B.5.** Estimated Coefficients of the Wage Equation with Selection

| | Coefficient | Std. error |
|---|---|---|
| *Wage equation (dependent variable: log hourly wage)* | | |
| Age | 0.0582*** | (0.00500) |
| $\text{Age}^2$ | −0.00067*** | (0.00006) |
| Health × Age | −0.0113*** | (0.00127) |
| Health × $\text{Age}^2$ | 0.00013*** | (0.00002) |
| Constant | 1.447*** | (0.104) |
| *Selection equation (dependent variable: participation)* | | |
| Age | 0.0977*** | (0.00453) |
| $\text{Age}^2$ | −0.00162*** | (0.00004) |
| Health | −1.371*** | (0.0682) |
| Health × Age | 0.0122*** | (0.00119) |
| Family size | 0.0225*** | (0.00369) |
| Birth year | −0.0123*** | (0.00080) |
| Constant | 23.79*** | (1.581) |
| Inverse Mills ratio | 0.182*** | (0.0482) |
| Observations | 64,941 | |

*Notes:* Two-stage Heckman selection model. Wage equation: dependent variable is the logarithm of the hourly wage. Selection equation: dependent variable is an indicator of labor force participation. Robust standard errors, clustered at the individual level, in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$. *Data source:* Panel Study of Income Dynamics.

**Table B.6.** Initial Conditions

| | | By health status | | |
|---|---|---|---|---|
| | Overall | Good health | Poor health | With a disability |
| *Assets (2016 dollars)* | | | | |
| Mean | 60,241 | 61,388 | 42,022 | 30,289 |
| Standard deviation | 146,975 | 149,670 | 91,894 | 19,310 |
| *Hourly wages (2016 dollars)* | | | | |
| Mean | 18.95 | 19.19 | 15.13 | 12.50 |
| Standard deviation | 9.32 | 9.32 | 8.29 | 6.98 |
| *Participation* | | | | |
| Mean | 0.96 | 0.97 | 0.89 | 0.45 |
| Standard deviation | 0.20 | 0.18 | 0.31 | 0.50 |
| Share of sample (%) | | 94.74 | 4.17 | 1.09 |
| Observations | 4,849 | 4,594 | 202 | 53 |

*Notes:* Summary statistics of the empirical joint distribution from which initial states at age 30 are drawn: individuals aged 28 to 32 in the PSID sample. Participation is an indicator for working more than 800 hours in the year. Share of sample: percentage of observations in each health state. Monetary values in 2016 dollars. *Data source:* Panel Study of Income Dynamics.

# C Second-Step Estimation and Alternative Preferences

This appendix describes the construction of the target profiles, the moment conditions and the estimation algorithm of the second step, and the standard errors, and it reports the estimates of an alternative specification with separable logarithmic preferences.

## C.1 Target Profiles

The target profiles are labor force participation by health status, hours worked conditional on participation by health status, mean and median assets, and mean labor market reentry rates over the life cycle, all constructed from the PSID sample of Appendix B.

**Variables.** Labor force participation is an indicator equal to one if an individual's annual hours worked exceed 800, which captures both full-time and part-time employment. Hours worked are self-reported; respondents in survey year $t$ report their hours worked in year $t-1$. Assets include real estate, farm or business equity, vehicles, stocks, mutual funds, individual retirement accounts, Keogh plans, liquid assets, bonds, and investment trusts, net of mortgages and other debts, plus home equity net of outstanding debts; they exclude pension and Social Security wealth. Following Borella et al. (2018), we divide the assets of a couple equally between the two partners. Asset data are available only in selected survey years starting in 1984. For the other years, we impute assets from a fixed-effects regression of assets on an age polynomial, log wages, family size, education, the unemployment rate, health status indicators, the interactions of log wages and of health status with the age polynomial, and the interactions of health status with education, family size, the unemployment rate, and wages. The asset profiles use both observed and imputed values.

**Fixed-effects profiles.** Following French (2005), we estimate the labor-supply profiles from the fixed-effects regression

$$Z_{it} = f_i + \sum_k B_{gk}\mathbf{1}\{\text{age}_{it} = k\}\mathbf{1}\{h_{it} = 0\} + \sum_k B_{bk}\mathbf{1}\{\text{age}_{it} = k\}\mathbf{1}\{h_{it} \neq 0\} + \sum_f B_f \mathbf{1}\{\text{fs}_{it} = f\} + B_u U_t + u_{it},$$

where $Z_{it}$ is participation or hours of individual $i$ at age $t$, $f_i$ is an individual effect, $\text{fs}_{it}$ is family size, $U_t$ is the unemployment rate, and the coefficients $B_{gk}$ and $B_{bk}$ trace the age profiles of healthy and unhealthy individuals. To remove family-size and business-cycle effects, we evaluate the profiles at a family size of 3 and an unemployment rate of 6.5 percent. To control for cohort effects and for the correlation between the individual effect

and health, we use the mean individual effect of individuals born in 1935 who are in average health at age 50. The asset and reentry profiles are not conditioned on health. Healthy individuals work considerably more than unhealthy individuals over the life cycle, particularly after age 50, and reentry rates remain below 5 percent at every age (Figure 2 and Figure 3).

## C.2 Moment Conditions and Criterion

Let $t \in \{30, \dots, 69\}$ index the $T = 40$ target ages and $g \in \{\text{healthy}, \text{unhealthy}\}$ the two health groups, with unhealthy meaning $h \in \{1, 2\}$. Let $p_t(X; \mathcal{P}, \chi)$, $n_t(X; \mathcal{P}, \chi)$, $a_t(X; \mathcal{P}, \chi)$, and $RE_t(X; \mathcal{P}, \chi)$ denote the participation, hours, asset, and reentry outcomes implied by the model's decision rules in state $X$, and let $F_{g,t}(\cdot; \mathcal{P}, \chi)$ and $F_t(\cdot; \mathcal{P}, \chi)$ denote the simulated distributions of the state at age $t$ within health group $g$ and in the whole population. The vector of moment conditions stacks, for every $t$ and $g$,

$$\hat{\varphi}(\mathcal{P}; \chi) = \begin{bmatrix} \hat{p}_{g,t} - \int p_t(X; \mathcal{P}, \chi)\, dF_{g,t}(X; \mathcal{P}, \chi) \\ \hat{n}_{g,t} - \int n_t(X; \mathcal{P}, \chi)\, dF_{g,t}(X \mid n_t > 0; \mathcal{P}, \chi) \\ \hat{a}_t - \int a_t(X; \mathcal{P}, \chi)\, dF_t(X; \mathcal{P}, \chi) \\ \hat{a}_t^{\text{med}} - \text{med}_{F_t}\left[a_t(X; \mathcal{P}, \chi)\right] \\ \widehat{re}_t - \int RE_t(X; \mathcal{P}, \chi)\, dF_t(X; \mathcal{P}, \chi) \end{bmatrix},$$

where hats denote the data profiles of Section 3: $\hat{p}_{g,t}$ and $\hat{n}_{g,t}$ are participation and hours of participants in group $g$ at age $t$, $\hat{a}_t$ and $\hat{a}_t^{\text{med}}$ are mean and median assets, and $\widehat{re}_t$ is the mean reentry rate. The vector has

(i) $2T$ elements for participation by health group,

(ii) $2T$ elements for hours conditional on participation by health group,

(iii) $2T$ elements for mean and median assets, and

(iv) $T$ elements for the reentry rate,

for a total of $7T = 280$ moment conditions. The MSM estimator minimizes

$$Q(\mathcal{P}) = \frac{N}{1 + N/N_s}\, \hat{\varphi}(\mathcal{P}; \chi)'\, \hat{\mathbf{W}}\, \hat{\varphi}(\mathcal{P}; \chi),$$

where $N$ is the number of observations in the data and $N_s$ the number of simulated observations; the ratio $N/N_s$ accounts for the additional variance introduced by simulation. The weighting matrix $\hat{\mathbf{W}}$ is the inverse of the $7T \times 7T$ diagonal matrix whose diagonal elements are the sampling variances of the data moments.

## C.3 Estimation Algorithm

The estimation proceeds in five steps.

1. Estimate the empirical life-cycle profiles of participation and hours by health group, mean and median assets, and reentry, and their sampling variances.
2. Given the initial distribution of the state variables (Table B.6) and the first-step parameters $\chi$ that govern the data-generating process for the states, draw the health, survival, and wage shocks for the simulated individuals.
3. Given a value of $\mathcal{P}$, solve the model by backward induction (Appendix A.5) and use the decision rules to simulate the life cycles of participation, hours, assets, and reentry.
4. Construct the moment conditions $\hat{\varphi}(\mathcal{P};\chi)$ and evaluate the criterion $Q(\mathcal{P})$.
5. Choose a new value of $\mathcal{P}$ and repeat steps 3 and 4 until the criterion is minimized.

## C.4 Identification and Standard Errors

Identification follows French (2005) and rests on two assumptions: individuals' work decisions do not affect their health or wages, and age changes the incentives to work and save but not preferences. Section 3 discusses which features of the data identify each parameter.

We compute standard errors from the asymptotic distribution of the MSM estimator. Let $\mathbf{D} = \partial\hat{\varphi}(\mathcal{P};\chi)/\partial\mathcal{P}'$ denote the $280 \times 7$ Jacobian of the moment conditions evaluated at $\hat{\mathcal{P}}$, and let $\mathbf{\Omega}$ denote the variance–covariance matrix of the data moments, scaled by $N$. Then

$$\sqrt{N}(\hat{\mathcal{P}} - \mathcal{P}_0) \xrightarrow{d} \mathcal{N}\left(0,\ \left(1 + \frac{N}{N_s}\right)(\mathbf{D}'\mathbf{W}\mathbf{D})^{-1}\mathbf{D}'\mathbf{W}\mathbf{\Omega}\mathbf{W}\mathbf{D}(\mathbf{D}'\mathbf{W}\mathbf{D})^{-1}\right),$$

where $\mathbf{W}$ is the probability limit of $\hat{\mathbf{W}}$, and the factor $1 + N/N_s$ inflates the variance for simulation error. Because $\mathbf{W}$ is diagonal rather than the inverse of $\mathbf{\Omega}$, the sandwich form does not simplify. The overidentification statistic reported in Table 2 is evaluated against a $\chi^2$ distribution with $280 - 7 = 273$ degrees of freedom.

## C.5 Alternative Preferences: Logarithmic Utility

The baseline specification has nonseparable preferences over consumption and leisure, with participation and reentry costs measured in hours. As a check on this functional form,

we reestimate the model with preferences that are separable in consumption and hours, logarithmic in consumption, and subject to fixed utility costs of participation and reentry:

$$u(c,n) = \ln c - \kappa \frac{n^{1+1/\eta}}{1+1/\eta} - \tilde{\phi}(h)\,\mathbf{1}\{P=1\} - \tilde{\phi}_{RE}\,\mathbf{1}\{RE=1\},$$

where $n$ is annual hours, $\kappa$ scales the disutility of hours, $\eta$ is the Frisch elasticity of hours, $\tilde{\phi}(h)$ is the utility cost of participation in health state $h$, with $\tilde{\phi}(1) = \tilde{\phi}(2)$ as in the baseline, and $\tilde{\phi}_{RE}$ is the utility cost of reentering the labor market. We set $\eta = 0.5$, following Chetty (2012), and estimate $(\beta, \kappa, \tilde{\phi}(0), \tilde{\phi}(1), \tilde{\phi}_{RE})$ by the same MSM procedure. All other components of the model—the health and wage processes, medical expenses, policy rules, and estimation targets—are unchanged.

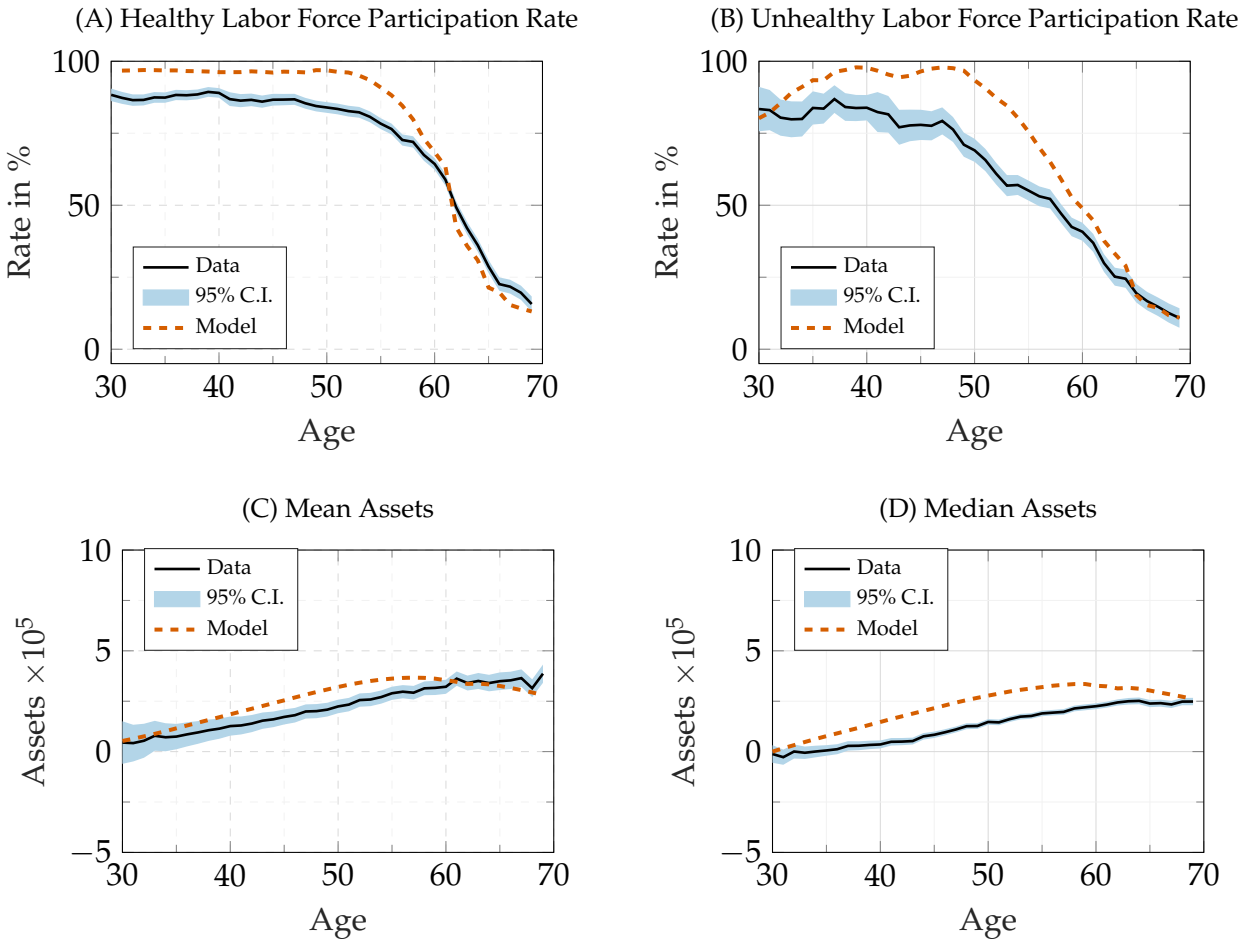
Table C.1 reports the estimates, and Figure C.1 compares the simulated and empirical profiles. The estimates are broadly consistent with the baseline. The utility cost of working is higher for unhealthy individuals than for healthy ones, 0.59 against 0.53, as the time cost is higher in the baseline; and the reentry cost is large relative to the per-period cost of participation. The two specifications fit different parts of the data. The logarithmic specification fits assets at older ages better than the baseline, but it matches participation less accurately: simulated participation remains above the data until about age 60 in both health groups and misses the earlier decline of unhealthy individuals, and simulated assets exceed the data at younger ages.

The reform analysis in Sections 4 to 6 uses the baseline nonseparable specification of Table 2. Participation and its decline by health status govern the behavioral responses and fiscal externalities of retirement reforms, and the baseline matches these profiles more closely.

# D Construction of Reforms and Outcomes

This appendix describes how each instrument-elimination experiment and each reform is implemented and how its welfare, fiscal, MVPF, and participation outcomes are computed. Every reform is a permanent change in the rules of Section 2 that the cohort knows from age 30. For each reform, we solve the model again by backward induction under the new rules (Appendix A.5) and simulate the cohort forward from the same initial distribution as in the status quo. All other rules and parameters keep their status-quo values, and the wage profiles and the pretax return $r_f$ are held fixed. Outcomes are computed from the simulated histories.

**Figure C.1.** Data and Simulated Profiles: Logarithmic Utility




*Notes:* Panels A and B show labor force participation rates (percent) of healthy individuals ($h = 0$) and unhealthy individuals (poor health or disability, $h \in \{1, 2\}$); panels C and D show mean and median nonpension assets (hundreds of thousands of 2016 dollars). Solid lines are data profiles estimated from the Panel Study of Income Dynamics, shaded areas are 95% confidence intervals, and dashed lines are profiles simulated from the model with logarithmic utility at the estimates of Table C.1. Compared with the baseline (Figure 2 and Figure 3), the logarithmic specification fits assets at older ages better and participation worse.

**Table C.1.** Estimated Parameters: Logarithmic Utility

| Parameter | Description | Estimate | Std. error |
|---|---|---|---|
| *Estimated* | | | |
| $\beta$ | Time discount factor | 0.97 | 0.0015 |
| $\kappa$ | Scale of the disutility of hours | $1.37 \times 10^{-10}$ | $0.14 \times 10^{-10}$ |
| $\tilde{\phi}(0)$ | Utility cost of work, good health | 0.53 | 0.0082 |
| $\tilde{\phi}(1) = \tilde{\phi}(2)$ | Utility cost of work, poor health or disability | 0.59 | 0.0152 |
| $\tilde{\phi}_{RE}$ | Utility cost of labor market reentry | 36.15 | 1.2686 |
| *Fixed* | | | |
| $\eta$ | Frisch elasticity of hours | 0.5 | |

*Notes:* Method-of-simulated-moments estimates and standard errors for the specification $u(c, n) = \ln c - \kappa n^{1+1/\eta}/(1 + 1/\eta) - \tilde{\phi}(h)\mathbf{1}\{P = 1\} - \tilde{\phi}_{RE}\mathbf{1}\{RE = 1\}$. The costs $\tilde{\phi}(h)$ and $\tilde{\phi}_{RE}$ are in utils; poor health ($h = 1$) and disability ($h = 2$) share one cost of work. The Frisch elasticity $\eta$ is fixed at 0.5 following Chetty (2012). Targets, first-step parameters, and policy rules are those of the baseline estimation. *Data source:* Panel Study of Income Dynamics.

## D.1 Instrument-Elimination Experiments

The five experiments of Table 3 each remove one instrument from the estimated economy.

- *D1, no Social Security benefits:* Social Security benefits are set to zero. In a variant reported in Section 5.1, only retirement benefits are set to zero and disability benefits are kept.
- *D2, loss from incomplete coverage in Medicare:* out-of-pocket medical expenses after age 65 are set to zero for participants and nonparticipants, so that all medical expenditures after 65 are covered. The table reports the welfare change of the status quo relative to this economy, which, by the antisymmetry of the CE, is minus the welfare gain from full coverage.
- *D3, full savings subsidy:* the net return on assets $r$ is set equal to the pretax return $r_f$. This experiment coincides with reform K3.
- *D4, no income tax:* the income tax $T_t(\cdot)$ of (9) is set to zero at every age.
- *D5, no disability benefits:* DI benefits $db_t$ of (8) are set to zero.

These experiments change the government budget without financing the change. We report their CE and LE welfare changes only.

## D.2 Claiming-Age Dependence

Let $\alpha(a) = b(a)/PIA$ be the benefit, as a fraction of the PIA, of an individual who claims at age $a \in \{62, \ldots, 70\}$. Under the rules of the status quo and of the AN and AD reforms,

$$\alpha(a) = \begin{cases} 1 - \frac{1}{15}\min\{NRA - a,\, 3\} - \frac{1}{20}\max\{NRA - a - 3,\, 0\} & \text{if } a < NRA, \\ 1 + \delta\,(a - NRA) & \text{if } a \geq NRA: \end{cases}$$

benefits fall by $6\frac{2}{3}$ percent of the PIA for each of the first three years by which the claim precedes the NRA and by 5 percent for each additional year, and they rise by the DRC $\delta$ for each year of delay past the NRA. The status quo (AN0) has $NRA = 65$ and $\delta = 4.5$ percent.

- *AN1–AN3:* $NRA = 66$, 67, and 68, with $\delta = 4.5$ percent. The schedule shifts to the right by one, two, and three years, so that the benefit at 62 falls from 80 to 75, 70, and 65 percent of the PIA. Because DI benefits are paid until the NRA (8), they are paid until the new NRA.
- *AD1–AD5:* $NRA = 65$ and $\delta = 8$, 8.5, 9, 9.5, and 10 percent. Benefits for claims before the NRA are unchanged.
- *AL1–AL9:* $\alpha(a) = 1 + x\,(a - 65)$ at every claiming age, with $x = 7, 8, \ldots, 15$ percent. The reduction for early claiming and the credit for delay are equal in absolute value.

Table D.1 reports $\alpha(a)$, in percent, for every claiming age and every reform; Figure 4 plots selected schedules. The adjustments of the AN reforms follow the rules of the Social Security Administration for the corresponding NRA.

## D.3 Benefit Progressivity and Level

Write the PIA formula (6) with replacement rates $\omega = (\omega_1, \omega_2, \omega_3)$:

$$\begin{aligned} PIA_t = {} & \omega_1 \min\{aime_t, aime_0\} + \omega_2 \min\left\{\max\{aime_t - aime_0, 0\},\, aime_1 - aime_0\right\} \\ & + \omega_3 \max\{aime_t - aime_1, 0\}, \end{aligned}$$

with $\omega = (0.90,\, 0.32,\, 0.15)$ in the status quo. The bend points $aime_0$ and $aime_1$ and the claiming-age adjustments are unchanged. The reforms set:

- *P1.1–P1.9:* $\omega = (0.90 + 0.01k,\ 0.32,\ 0.15)$ for $k = 1, \ldots, 9$, which raises the first rate by one percentage point per step, from 0.91 to 0.99.

**Table D.1.** Benefits by Claiming Age under the Claiming-Age Reforms

| | | Claiming age | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | Schedule | 62 | 63 | 64 | 65 | 66 | 67 | 68 | 69 | 70 |
| (AN0) | Status quo (NRA 65) | 80 | 86.67 | 93.33 | **100** | 104.5 | 109 | 113.5 | 118 | 122.5 |
| *A. Raising the normal retirement age (NRA)* | | | | | | | | | | |
| (AN1) | NRA at 66 | 75 | 80 | 86.67 | 93.33 | **100** | 104.5 | 109 | 113.5 | 118 |
| (AN2) | NRA at 67 | 70 | 75 | 80 | 86.67 | 93.33 | **100** | 104.5 | 109 | 113.5 |
| (AN3) | NRA at 68 | 65 | 70 | 75 | 80 | 86.67 | 93.33 | **100** | 104.5 | 109 |
| *B. Raising the delayed retirement credit (DRC)* | | | | | | | | | | |
| (AD1) | DRC at 8% | 80 | 86.67 | 93.33 | **100** | 108 | 116 | 124 | 132 | 140 |
| (AD2) | DRC at 8.5% | 80 | 86.67 | 93.33 | **100** | 108.5 | 117 | 125.5 | 134 | 142.5 |
| (AD3) | DRC at 9% | 80 | 86.67 | 93.33 | **100** | 109 | 118 | 127 | 136 | 145 |
| (AD4) | DRC at 9.5% | 80 | 86.67 | 93.33 | **100** | 109.5 | 119 | 128.5 | 138 | 147.5 |
| (AD5) | DRC at 10% | 80 | 86.67 | 93.33 | **100** | 110 | 120 | 130 | 140 | 150 |
| *C. Symmetric adjustment around the NRA of 65* | | | | | | | | | | |
| (AL1) | Linear $\pm 7\%$ | 79 | 86 | 93 | **100** | 107 | 114 | 121 | 128 | 135 |
| (AL2) | Linear $\pm 8\%$ | 76 | 84 | 92 | **100** | 108 | 116 | 124 | 132 | 140 |
| (AL3) | Linear $\pm 9\%$ | 73 | 82 | 91 | **100** | 109 | 118 | 127 | 136 | 145 |
| (AL4) | Linear $\pm 10\%$ | 70 | 80 | 90 | **100** | 110 | 120 | 130 | 140 | 150 |
| (AL5) | Linear $\pm 11\%$ | 67 | 78 | 89 | **100** | 111 | 122 | 133 | 144 | 155 |
| (AL6) | Linear $\pm 12\%$ | 64 | 76 | 88 | **100** | 112 | 124 | 136 | 148 | 160 |
| (AL7) | Linear $\pm 13\%$ | 61 | 74 | 87 | **100** | 113 | 126 | 139 | 152 | 165 |
| (AL8) | Linear $\pm 14\%$ | 58 | 72 | 86 | **100** | 114 | 128 | 142 | 156 | 170 |
| (AL9) | Linear $\pm 15\%$ | 55 | 70 | 85 | **100** | 115 | 130 | 145 | 160 | 175 |

*Notes:* Retirement benefit received by an individual who claims at each age from 62 to 70, in percent of the primary insurance amount (PIA). Bold entries mark the normal retirement age (NRA), at which the benefit equals the PIA. AN0: status quo of the 1920–1940 birth cohorts, with an NRA of 65, a reduction of $6\frac{2}{3}$ percent of the PIA per year of claiming before the NRA, and a delayed retirement credit (DRC) of 4.5 percent of the PIA per year of claiming after the NRA. AN1–AN3 raise the NRA to 66, 67, and 68; the reduction is $6\frac{2}{3}$ percent per year for the three years before the NRA and 5 percent per year before that. AD1–AD5 raise the DRC to 8, 8.5, 9, 9.5, and 10 percent. AL1–AL9 set the reduction for early claiming and the DRC to a common rate of 7 to 15 percent per year. *Source:* rules of the Social Security Administration for the status quo and the AN reforms; authors' construction for the AD and AL reforms.

- *P2.0–P2.9:* $\omega = \big(0.99,\ 0.32\,(1.01 + 0.01k),\ 0.15\big)$ for $k = 0, \ldots, 9$, which raises the second rate by 0.32 percentage points (1 percent of its initial value) per step, from 0.3232 to 0.352, on top of the first rate of P1.9.
- *P3.0–P3.9:* $\omega = \big(0.99,\ 0.352,\ 0.15\,(1.01 + 0.01k)\big)$ for $k = 0, \ldots, 9$, which raises the third rate by 0.15 percentage points (1 percent of its initial value) per step, from 0.1515 to 0.165, on top of the first two rates of P2.9.
- *L0–L9:* $\omega = (1.01 + 0.01k) \times (0.90,\ 0.32,\ 0.15)$ for $k = 0, \ldots, 9$, which raises all three rates proportionally by 1 to 10 percent; L0 sets $\omega = (0.909,\ 0.3232,\ 0.1515)$ and L9 sets $\omega = (0.99,\ 0.352,\ 0.165)$.

The P reforms trace a path from the status quo to a 10 percent increase in all three rates that raises the brackets one at a time, from the bottom up. The path ends at the formula of L9: P3.9 and L9 set the same rates, and their simulated outcomes in Table 5 and Table F.1 coincide.

## D.4 Medicare

To implement the Medicare reforms, we first measure from the MEPS the average share of medical expenditures that Medicare covers for individuals aged 65 and older, by health status and working status. Denote this coverage rate by $q(h, P)$. At ages $t \geq 65$, out-of-pocket medical expenses are $m_t = \big(1 - q(h_t, P_t)\big)\, m_t^{tot}$, where $m_t^{tot}$ is total medical expenditure, and Medicare pays $m_t^G = q(h_t, P_t)\, m_t^{tot}$ (Section 2.5). We simulate the estimated model with these coverage rates and use the simulated economy as the baseline for the two Medicare reforms.

- *Part A:* the coverage rate of every individual aged 65 and older rises by 20 percentage points, $q(h, P) \to q(h, P) + 0.20$, which represents expanded coverage of inpatient services. The targeted beneficiaries are all individuals aged 65 and older.
- *Part B:* the coverage rate of nonparticipants aged 65 and older rises by 20 percentage points, $q(h, 0) \to q(h, 0) + 0.20$, which represents expanded coverage of physician and outpatient services. Because most employer-provided health insurance plans already cover these services, the reform targets nonparticipants. The targeted beneficiaries are the nonparticipants aged 65 and older.

At unchanged behavior, each reform shifts 20 percent of the total medical expenditure of the targeted beneficiaries from out-of-pocket expenses to Medicare. Under Part B, the shift is conditional on not working, so the reform also changes the return to work after 65.

## D.5 Old-Age Income Taxes

Reforms I1–I5 lower income taxes from age 62 by raising the level parameter of the after-tax income schedule $y - T_t(y) = \lambda_t\, y^{1-\tau_t}$:

$$\tilde{\lambda}_t = \begin{cases} \lambda_t & \text{if } t \le 61, \\ \lambda_t + x\,(t-61) & \text{if } t \ge 62, \end{cases} \qquad x = 0.01,\ 0.02,\ 0.03,\ 0.04,\ 0.05,$$

with the progressivity parameter $\tau_t$ unchanged. At age $t \ge 62$, after-tax income rises at every income level by the proportion $x(t-61)/\lambda_t$, and the tax cut $x(t-61)\, y^{1-\tau_t}$ rises with income and with age. Individuals anticipate the reform from age 30.

## D.6 Savings Subsidies

Reforms K1–K3 raise the net return on assets at every age from $r$ to $\tilde{r} = r + \Delta_K$, with $\Delta_K = 0.2$, 0.4, and 0.8 percentage points. The government pays the additional return $\Delta_K a_t$ on assets held at every age, and the present value of the subsidy is

$$K = \sum_{t=30}^{T} (1+r)^{-(t-62)}\, \overline{\Delta_K a_t},$$

where the bar denotes the per capita value in the simulated cohort under the reform. Since $r = (1-\tau_k)\, r_f$ with $r_f = 4$ percent and $\tau_k = 20$ percent, the three subsidies are equivalent to lowering the capital-tax wedge $\tau_k$ to 15, 10, and 0 percent (exact arithmetic: $(1-\tilde{\tau}_k) \times 4 = 3.4$, 3.6, and 4.0 percent). K3 sets the net return equal to the pretax return and coincides with experiment D3.

## D.7 Construction of Outcomes

**Welfare.** Let $\bar{V}^j = \frac{1}{N}\sum_{i=1}^{N} V_{30}(X_{30}^i; j)$ be the average value at age 30 over the $N$ simulated individuals under the rules $j$, where $j = 0$ denotes the baseline and $j = 1$ the reform; the initial states $X_{30}^i$ are the same under both. Because flow utility satisfies $u(e^x c, l) = e^{\gamma(1-\nu)x} u(c, l)$, scaling consumption in the baseline allocation by $e^x$ at every age and in every state multiplies $\bar{V}^0$ by $e^{\gamma(1-\nu)x}$. The consumption-equivalent welfare change is the $x$ that solves $\bar{V}^1 = e^{\gamma(1-\nu)x}\bar{V}^0$, and the leisure-equivalent change the $y$ that solves $\bar{V}^1 = e^{(1-\gamma)(1-\nu)y}\bar{V}^0$:

$$CE = \frac{\ln \bar{V}^1 - \ln \bar{V}^0}{\gamma(1-\nu)}, \qquad LE = \frac{\ln \bar{V}^1 - \ln \bar{V}^0}{(1-\gamma)(1-\nu)},$$

where, since $\bar{V}^0$ and $\bar{V}^1$ are negative when $\nu > 1$, the logarithms apply to their absolute values; the difference is $\ln(\bar{V}^1/\bar{V}^0)$, as in (13). The tables report $100 \times CE$ and $100 \times LE$, in percent. The two measures satisfy $LE = CE \times \gamma/(1-\gamma)$; at the estimates, $\gamma/(1-\gamma) = 0.5354/0.4646 \approx 1.15$, which reproduces the ratio of the LE and CE columns of Table 3 up to rounding.

**Fiscal effects.** The fiscal aggregates $SS$, $DI$, $TR$, $IT$, $PT$, and $G = SS + DI + TR - IT - PT$ are the per capita present values at age 62 of Section 2.11, discounted at the net return $r$. A superscript 0 denotes the baseline, and $\Delta$ the difference between the reform and the baseline. Each fiscal effect is a dollar change expressed as a percentage of the absolute value of a baseline aggregate, so that positive entries are costs to the government and negative entries savings. The three columns of the results tables are constructed as follows.

- *Social Security reforms* (claiming age, progressivity, and level). Direct is the percentage change in the present value of total retirement benefits paid by the program; Indirect is the percentage change in the present value of all other taxes and transfers, DI benefits and consumption-floor transfers net of income- and payroll-tax revenue; Net combines the two and is the percentage change in net government spending:

$$Direct = 100\,\frac{\Delta SS}{SS^0}, \quad Indirect = 100\,\frac{\Delta(DI + TR - IT - PT)}{|DI^0 + TR^0 - IT^0 - PT^0|}, \quad Net = 100\,\frac{\Delta G}{|G^0|}.$$

- *Medicare reforms.* Direct is the change in the present value of Medicare's payments to the targeted beneficiaries after age 65 (all individuals for Part A, nonparticipants for Part B), $\Delta MC^{tg}$, as a share of baseline payroll-tax revenue; Indirect is the percentage change in the present value of all taxes and transfers, including Social Security benefits; Net is the change in government spending plus the change in Medicare's payments to the targeted beneficiaries, as a share of baseline government spending:

$$Direct = 100\,\frac{\Delta MC^{tg}}{PT^0}, \qquad Indirect = 100\,\frac{\Delta G}{|G^0|}, \qquad Net = 100\,\frac{\Delta G + \Delta MC^{tg}}{|G^0|},$$

  where $MC^{tg} = \sum_{t=65}^{T}(1+r)^{-(t-62)}\,\overline{m_t^G\,\mathbf{1}\{\text{targeted at } t\}}$ and all baseline values refer to the Medicare baseline.

- *Income-tax reforms.* Direct is the percentage change in the present value of negative total income-tax revenue, that is, the revenue loss; Indirect is the percentage change in the present value of all other taxes and transfers, including Social Security benefits,

net of payroll-tax revenue; Net combines the two:

$$Direct = 100\,\frac{-\Delta IT}{IT^0}, \quad Indirect = 100\,\frac{\Delta(SS + DI + TR - PT)}{|SS^0 + DI^0 + TR^0 - PT^0|}, \quad Net = 100\,\frac{\Delta G}{|G^0|}.$$

- *Savings subsidies.* Direct is the present value of the subsidy as a share of baseline government spending; Indirect is the percentage change in the present value of government spending excluding the subsidy; Net is the percentage change in the present value of government spending including the subsidy:

$$Direct = 100\,\frac{K}{|G^0|}, \qquad Indirect = 100\,\frac{\Delta G}{|G^0|}, \qquad Net = 100\,\frac{\Delta G + K}{|G^0|}.$$

In dollars, the direct cost $DC$, the indirect cost $IC$, and the net cost $NC$ are the numerators of these expressions, and $NC = DC + IC$ in every family. The percentages add up only when the three columns share a base, as for the savings subsidies.

**Marginal value of public funds.** For the reforms of Social Security, Medicare, and income taxes, the MVPF is the dollar value of the CE welfare gain divided by the dollar change in the present value of per capita government spending, direct and indirect effects included. The dollar value of the welfare gain is the CE times the present value of per capita baseline consumption from age 62, discounted to age 62:

$$MVPF = \frac{CE \times \bar{C}^0_{62}}{NC}, \qquad \bar{C}^0_{62} = \sum_{t=62}^{T} (1+r)^{-(t-62)}\,\bar{c}^0_t.$$

For the savings subsidies, which change returns from age 30, the dollar value of the welfare gain uses per capita baseline consumption from age 30, discounted to age 62, $\bar{C}^0_{30} = \sum_{t=30}^{T}(1+r)^{-(t-62)}\bar{c}^0_t$, and the denominator is the dollar change in government spending including the subsidy, $NC = \Delta G + K$. When the WTP is positive and the net cost negative, the MVPF is infinite. For such reforms, we report as a lower bound the dollar value of the welfare gain divided by the dollar direct cost, $CE \times \bar{C}^0_{62}/DC$, when the direct cost is positive; when it is negative, the lower bound is infinite as well. For the savings subsidies, the lower bound uses only the subsidy in the denominator, $CE \times \bar{C}^0_{30}/K$, and the MVPF computed with the net cost is an upper bound (Section 4.4). When the WTP and the net cost are both negative, the MVPF is positive and measures the welfare cost per dollar saved. Since $NC = Net \times |G^0|/100$, every MVPF equals $(WTP/Net) \times \bar{C}^0_s/|G^0|$, with $s = 62$ or $s = 30$.

**Participation.** The participation columns report the change in the labor force participation rate of the simulated cohort, in percentage points, between the reform and the baseline, for ages 30–49, 62–64, and 65–69.

# E Derivations

This appendix proves Lemma 1, gives a sufficient condition under which the fair credit is higher in worse health, decomposes the change in retirement outlays caused by a change in the claiming-age schedule, and derives the relations between the net cost, the willingness to pay, and the fiscal multiplier used in Section 4.5.

## E.1 Proof of Lemma 1

Let $b(\cdot)$ be any schedule of benefits by claiming age and $\Delta b(a) \equiv b(a+1) - b(a)$ its increment at age $a$. The definition of $A(\cdot)$ implies $A(a) = (1+r)^{-(a-62)}\mathcal{S}(a) + A(a+1)$. Hence

$$\begin{aligned} B(a+1) - B(a) &= b(a+1)\,A(a+1) - b(a)\,A(a) \\ &= \Delta b(a)\,A(a+1) - b(a)\,(1+r)^{-(a-62)}\,\mathcal{S}(a). \end{aligned}$$

For $a \geq NRA$, $\Delta b(a) = \delta\, PIA$, which gives (17). Since $a+1 \leq 70 \leq T$ and $\mathcal{S}(a+1) > 0$, $PIA\,A(a+1) > 0$, and $B(a+1) < B(a)$ if and only if $\delta < \delta^*(a)$ as defined in (18). Dividing the numerator and the denominator of $\delta^*(a)$ by $(1+r)^{-(a-62)}\mathcal{S}(a) > 0$ gives the second expression in (18), $\delta^*(a) = [b(a)/PIA]/\ddot{a}(a)$, where

$$\ddot{a}(a) \equiv \sum_{t=a+1}^{T} (1+r)^{-(t-a)}\,\frac{\mathcal{S}(t)}{\mathcal{S}(a)}$$

is the expected present value at age $a$, for an individual alive at $a$, of one dollar a year from age $a+1$ until death. The factor $b(a)/PIA = 1 + \delta(a - NRA)$ does not depend on survival, and $\ddot{a}(a)$ is strictly increasing in each $\mathcal{S}(t)/\mathcal{S}(a)$, $t > a$, and nondecreasing in $T$, since a later terminal age adds nonnegative terms. Therefore $\delta^*(a)$ decreases with conditional survival at every age and with $T$. □

Three remarks qualify the lemma. First, the identity holds before the NRA with the corresponding increment: a one-year delay at any age $a$ lowers the present value of benefits if and only if $\Delta b(a)/PIA < [b(a)/PIA]/\ddot{a}(a)$, the benefit forgone divided by the annuity factor. Under the schedules of Table D.1, $\Delta b(a)/PIA$ is $1/15$ in the three years before the NRA, $1/20$ in earlier years, $\delta$ after the NRA, and $x$ at every age under the symmetric reforms. Second, only conditional survival $\mathcal{S}(t)/\mathcal{S}(a)$ enters $\delta^*(a)$, so the lemma holds

with survival probabilities conditional on any information available at age $a$, in particular on health at $a$. Third, the lemma abstracts from the earnings test and from changes in the PIA. Additional earnings after age 60 raise the AIME only if they exceed its current value (5), and benefits withheld by the earnings test are credited as if claiming had been delayed (Section 2.6); both add terms to the fiscal value of a delay by a worker who keeps working.

## E.2 Health and the Fair Credit

Order health states from best to worst, $h \in \{0, 1, 2\}$, and write conditional survival from age $a$ to age $t > a$ as $\mathcal{S}(t)/\mathcal{S}(a) = \mathbb{E}\left[\prod_{k=a+1}^{t} S(h_{k-1}, k) \,\middle|\, h_a\right]$, where the expectation is over the health paths generated by the transition probabilities $\pi_{j,i,k}$. Suppose that (i) one-period survival $S(h, k)$ is nonincreasing in $h$ at every age, and (ii) health transitions are stochastically monotone: for every age $k$ and state $j$, $\Pr(h_k \geq j \mid h_{k-1} = i)$ is nondecreasing in $i$. Then an individual in health $h_a$ has weakly higher conditional survival at every horizon than an individual in health $h'_a > h_a$, and hence, by Lemma 1, a weakly lower fair credit $\delta^*(a)$.

To see this, construct both health paths from common uniform draws $U_k$, setting $h_k$ equal to the smallest $j$ such that $\Pr(h_k \leq j \mid h_{k-1}) \geq U_k$. By (ii), the conditional distribution functions are ordered, so $h_{k-1} \leq h'_{k-1}$ implies $h_k \leq h'_k$; by induction, the path that starts in better health is never in worse health. By (i), each factor $S(h_{k-1}, k)$ is then weakly larger along that path, and so is the product. Taking expectations gives the result. In the estimated model, one-period survival is lower in poor health and with a disability at every age (panel B of Figure 1), which is condition (i).

## E.3 Retirement Outlays under a Change in the Claiming-Age Schedule

Consider a population of $N$ individuals indexed by $i$, with primary insurance amounts $PIA_i$, survival probabilities $\mathcal{S}_i(\cdot)$, and annuity values $A_i(\cdot)$ as in Lemma 1. Under the status-quo schedule $b_i^0(\cdot)$, individual $i$ claims at age $a_i^0$; under the reformed schedule $b_i^1(\cdot)$, at age $a_i^1$. Write $B_i^j(a) = b_i^j(a) A_i(a)$. Holding each PIA fixed and abstracting from the earnings test, the change in the per capita present value of retirement outlays is, in expectation over survival,

$$\Delta SS = \underbrace{\frac{1}{N} \sum_i \left[b_i^1(a_i^0) - b_i^0(a_i^0)\right] A_i(a_i^0)}_{\text{mechanical}} + \underbrace{\frac{1}{N} \sum_i \left[B_i^1(a_i^1) - B_i^1(a_i^0)\right]}_{\text{behavioral}}.$$

For an individual who delays, $a_i^1 > a_i^0$, the behavioral term telescopes into one-year steps, $B_i^1(a_i^1) - B_i^1(a_i^0) = \sum_{a=a_i^0}^{a_i^1 - 1} \left[B_i^1(a+1) - B_i^1(a)\right]$, each valued by the identity of the proof of

Lemma 1 under the new schedule; for an individual who claims earlier, it is minus the corresponding sum from $a_i^1$ to $a_i^0 - 1$.

For an increase in the DRC from $\delta$ to $\delta + d\delta$, $b_i^1(a) - b_i^0(a) = (a - NRA)\, PIA_i\, d\delta$ for $a > NRA$ and zero otherwise, so the mechanical term is

$$\frac{1}{N} \sum_i \mathbf{1}\{a_i^0 > NRA\}\, (a_i^0 - NRA)\, PIA_i\, A_i(a_i^0)\, d\delta \;\geq\; 0,$$

the additional benefits of the inframarginal late claimers. Each one-year delay after the NRA contributes a negative amount to the behavioral term if and only if $\delta + d\delta < \delta_i^*(a)$, evaluated under the new schedule, and each delay before the NRA if and only if $\Delta b_i^1(a) < b_i^1(a)/\ddot{a}_i(a)$, where $\Delta b_i^1(a)$ is the increment of the new schedule at age $a$. The direct cost of the reform is negative if and only if the behavioral term is negative and larger in absolute value than the mechanical term. For an increase in the NRA, $b_i^1(a) < b_i^0(a)$ at every claiming age from 62 to 70 (Table D.1), so the mechanical term is negative whatever the claiming ages, and behavioral responses add to or subtract from this saving. In both cases, the earnings test and the effect of additional earnings on the PIA add terms to $\Delta SS$, and the effects on taxes, DI, and transfers enter the indirect cost.

## E.4 Mechanical Effects, Fiscal Externalities, and Program Accounts

Let $\zeta^0$ and $\zeta^1$ denote the rules of the status quo and of the reform, and $\mathcal{B}^0$ and $\mathcal{B}^1$ the simulated histories of the cohort under them: hours, claiming dates, and asset holdings at every age, together with the health, survival, and wage draws, which are the same under both. Let $\Gamma(\zeta, \mathcal{B})$ be the per capita present value at age 62 of the cost aggregate of the reform family—$G$, $G + MC^{tg}$, or $G + K$—computed by applying the rules $\zeta$ to the histories $\mathcal{B}$. Then

$$NC = \Gamma(\zeta^1, \mathcal{B}^1) - \Gamma(\zeta^0, \mathcal{B}^0) = \underbrace{\Gamma(\zeta^1, \mathcal{B}^0) - \Gamma(\zeta^0, \mathcal{B}^0)}_{ME} + \underbrace{\Gamma(\zeta^1, \mathcal{B}^1) - \Gamma(\zeta^1, \mathcal{B}^0)}_{FE},$$

which is the first equality in (16): the mechanical effect applies the new rules to unchanged behavior, and the fiscal externality is the change in cost caused by the change in behavior under the new rules.

The cost aggregate is a sum of signed program accounts, $\Gamma = \sum_p \Gamma_p$, with outlays entering positively and revenues negatively. Let $o$ denote the program the reform changes. The direct cost is $DC = \Delta\Gamma_o = ME_o + FE_o$ and the indirect cost $IC = \sum_{p \neq o} \Delta\Gamma_p = ME_{-o} + FE_{-o}$, with each term defined as above for the corresponding accounts. Summing gives the second equality in (16). The mechanical effect on other programs, $ME_{-o}$, is

nonzero when programs interact at given behavior. For example, the consumption floor (11) falls one for one with benefits for an individual whose transfer is positive both before and after the reform, so a benefit increase lowers transfers mechanically.

For a small reform, the fiscal externality can be attributed to margins to first order: it is the sum, over the choices that the reform changes, of the induced change in each choice times its fiscal value, the change in the cost aggregate $\Gamma$ that the choice causes when the individual's other choices are held fixed. The fiscal value of a one-year delay of the claim is the change in outlays of Lemma 1, together with the changes in transfers and in benefits withheld by the earnings test. The fiscal value of participation at age $t$ is minus the participation tax,

$$\tau_t^P = \left[T_t(y_t^1) - T_t(y_t^0)\right] + T_t^p(w_t n_t) + \left(db_t^0 - db_t^1\right) + \left(tr_t^0 - tr_t^1\right) + \left(ss_t^0 - ss_t^1\right) - \Delta B_t^{aime},$$

where superscripts 1 and 0 denote values when the individual works $n_t$ hours and when she does not work, the term in $ss_t$ is the withholding by the earnings test of a beneficiary, and $\Delta B_t^{aime}$ is the present value of the increase in future retirement and disability benefits caused by the year's earnings, through the AIME and through the crediting of benefits withheld by the earnings test (see Kleven and Kreiner 2006, for participation tax rates). The fiscal value of an additional dollar of assets is minus the present value of the income taxes on the additional interest income and of the reduction in means-tested transfers. For nonmarginal reforms, such an attribution depends on the order in which margins are changed; the program accounts do not.

## E.5 The Willingness to Pay for a Small Reform

Index the rules by a scalar $\zeta$ that affects only the resources available at each age,

$$R_t \equiv a_t + Y_t + b_t\, ss_t + db_t + tr_t - m_t,$$

so that $c_t = R_t - a_{t+1}$ by (10); every reform of Section 4 has this form, since benefits, taxes, out-of-pocket medical expenses, and the return on assets enter only $R_t$. Treat hours $n_t$, claiming $b_t$, and next-period assets $a_{t+1}$ as the choices. Holding them fixed, a change in $\zeta$ changes consumption one for one with resources, $dc_t = (\partial R_t/\partial\zeta)\, d\zeta$, where $\partial R_t/\partial\zeta$ is the mechanical change in resources at age $t$, including the offsetting change in consumption-floor transfers. Because individuals choose optimally, the envelope theorem gives

$$\frac{dV_{30}(X_{30})}{d\zeta} = \mathbb{E}_{30} \sum_{t=30}^{T} \beta^{t-30} \left( \prod_{k=31}^{t} s_k \right) u_c(c_t, l_t)\, \frac{\partial R_t}{\partial \zeta},$$

evaluated at the optimal choices. The theorem applies with discrete participation and claiming choices because $V_{30}$ is the upper envelope of the values of the discrete alternatives and is differentiable at almost every $\zeta$ (Milgrom and Segal 2002); individuals who switch alternatives in response to the reform are indifferent between them at the margin, so their switch has no first-order effect on welfare.

Homogeneity of (1) implies $u_c(c,l)\,c = \gamma(1-\nu)\,u(c,l)$, so that $\gamma(1-\nu)\,\bar{V}^0$ equals the average over individuals of $\mathbb{E}_{30}\sum_t \beta^{t-30}(\prod_k s_k)\,u_c(c_t,l_t)\,c_t$. Differentiating (13) at the status quo, the CE of a small reform $d\zeta$ is

$$dCE = \frac{d\bar{V}/d\zeta}{\gamma(1-\nu)\,\bar{V}^0}\,d\zeta = \frac{\overline{\mathbb{E}_{30}\sum_t \beta^{t-30}\big(\prod_k s_k\big)\,u_c(c_t,l_t)\,\partial R_t/\partial\zeta}}{\overline{\mathbb{E}_{30}\sum_t \beta^{t-30}\big(\prod_k s_k\big)\,u_c(c_t,l_t)\,c_t}}\,d\zeta,$$

where the bars denote averages over individuals. The numerator is the marginal-utility-weighted mechanical transfer, the willingness to pay of Hendren (2016) expressed in utility units; the denominator is the marginal-utility-weighted consumption stream, which converts it into a uniform proportional change in consumption. Behavioral responses do not enter. The dollar willingness to pay of (14), $WTP^{\$} = \bar{C}_s^0\,dCE$, and the value of consumption smoothing per mechanical dollar, $WTP^{\$}/ME$, depend both on how the transfer is distributed across states and ages relative to consumption and on the base $\bar{C}_s^0$.

## E.6 The Fiscal Multiplier and the Desirability of a Reform

Combine a reform with net cost $NC$ with a change in another policy that balances the budget: if $NC > 0$, the other policy is cut so as to raise $NC$; if $NC < 0$, it is expanded so as to spend $-NC$. Let $MVPF_f \geq 0$ be the MVPF of that policy at the margin, so that each dollar raised by cutting it costs its beneficiaries $MVPF_f$ dollars of willingness to pay and each dollar spent on it delivers $MVPF_f$ dollars. In both cases, the combined change raises welfare, in dollars, by

$$WTP^{\$} - MVPF_f\,NC.$$

For $NC > 0$, this is positive if and only if $MVPF > MVPF_f$. With $FM = NC/ME$ and $ME > 0$, $MVPF = (WTP^{\$}/ME)/FM$, so the condition is

$$\frac{WTP^{\$}}{ME} > MVPF_f \times FM.$$

When the financing policy costs its payers one dollar of willingness to pay per dollar raised, $MVPF_f = 1$, and the condition compares the value of consumption smoothing with the fiscal multiplier, the two terms of the Baily–Chetty form used by Haller (2022).

For $WTP^{\$} > 0$ and $NC \leq 0$, the combined change raises welfare for every $MVPF_f \geq 0$; for $ME > 0$, this is the case $FM \leq 0$, in which the behavioral responses finance the entire mechanical cost.

# F Additional Results

This appendix reports the reforms of the upper replacement rates of the PIA formula and the participation profiles under the instrument eliminations of Section 5.1.

**Upper replacement rates.** Table F.1 reports reforms that raise the second replacement rate of the PIA formula from 0.32 to 0.352 (P2.0–P2.9) and then the third from 0.15 to 0.165 (P3.0–P3.9), in steps of 1 percent of the initial rate. All of them keep the first rate at 0.99, the value under P1.9, so each row reports the total effect relative to the status quo, and the effect of the upper rates is the difference between a row and P1.9 in Table 5. Raising the second rate lowers the MVPF from 0.56 to 0.29: WTP rises from 0.83 to 0.95 percent, while the net cost more than doubles, from 0.57 to 1.27 percent. Raising the third rate changes neither WTP nor the net cost much, and the MVPF stays at 0.29–0.30. Participation at 30–49 rises by 0.24 to 0.28 points, and participation at older ages falls by 0.83 to 2.41 points, more in each age group than under any bottom-bracket reform. P3.9 and L9 set the same three rates, (0.99, 0.352, 0.165), and their rows coincide.

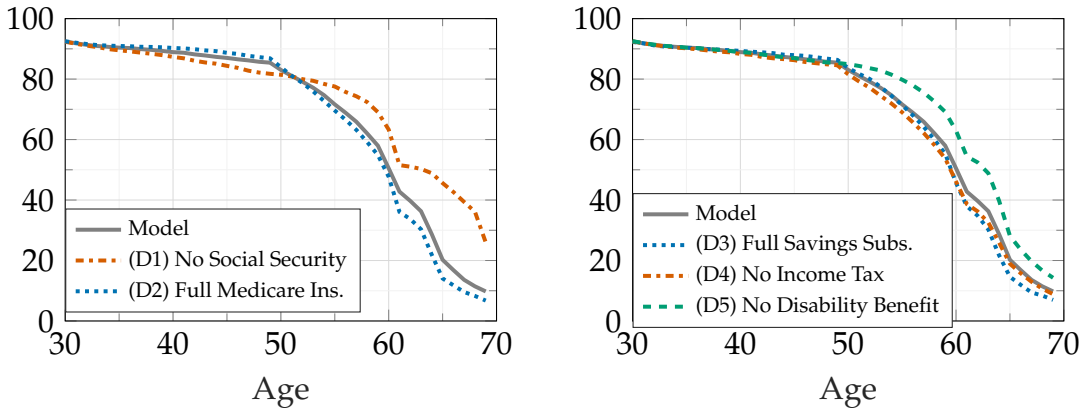
**Participation under the instrument eliminations.** Figure F.1 shows the participation profiles of the whole cohort under the five eliminations of Table 3, and Figure F.2 shows them by health status. Eliminating Social Security lowers participation slightly before age 50 and raises it afterward in every health state: from age 50 for individuals with a disability, from the early 50s for those in poor health, and from the mid-50s for those in good health. Eliminating DI leaves participation unchanged before age 50 and raises it afterward in every health state, most for individuals with a disability, for whom DI is the main pathway out of the labor force. Full Medicare coverage, the full savings subsidy, and the abolition of the income tax lower aggregate participation at older ages.

**Table F.1.** Reforms of the Upper Replacement Rates

| | PIA rates | Welfare | | Fiscal cost (% change) | | | Δ Participation (pp) | | |
|---|---|---|---|---|---|---|---|---|---|
| | | MVPF | WTP (%) | Net | Direct | Indirect | 30–49 | 62–64 | 65–69 |
| *A. Raising the second PIA rate (first rate at 0.99)* | | | | | | | | | |
| (P2.0) | (0.99, 0.3232, 0.15) | 0.56 | 0.83 | 0.57 | 4.75 | −0.07 | 0.25 | −1.10 | −0.83 |
| (P2.1) | (0.99, 0.3264, 0.15) | 0.50 | 0.86 | 0.67 | 5.28 | −0.05 | 0.24 | −1.29 | −1.03 |
| (P2.2) | (0.99, 0.3296, 0.15) | 0.49 | 0.88 | 0.70 | 5.99 | −0.11 | 0.25 | −1.05 | −1.01 |
| (P2.3) | (0.99, 0.3328, 0.15) | 0.44 | 0.90 | 0.78 | 6.56 | −0.10 | 0.24 | −1.37 | −1.15 |
| (P2.4) | (0.99, 0.336, 0.15) | 0.38 | 0.92 | 0.93 | 7.21 | −0.05 | 0.24 | −1.60 | −1.63 |
| (P2.5) | (0.99, 0.3392, 0.15) | 0.37 | 0.93 | 0.98 | 7.95 | −0.10 | 0.27 | −1.63 | −1.58 |
| (P2.6) | (0.99, 0.3424, 0.15) | 0.36 | 0.95 | 1.03 | 8.46 | −0.11 | 0.28 | −1.47 | −1.68 |
| (P2.7) | (0.99, 0.3456, 0.15) | 0.33 | 0.94 | 1.11 | 8.99 | −0.10 | 0.27 | −1.74 | −1.99 |
| (P2.8) | (0.99, 0.3488, 0.15) | 0.31 | 0.95 | 1.19 | 9.49 | −0.10 | 0.28 | −2.29 | −2.1 |
| (P2.9) | (0.99, 0.352, 0.15) | 0.29 | 0.95 | 1.27 | 9.97 | −0.09 | 0.28 | −2.26 | −2.05 |
| *B. Raising the third PIA rate (first two rates at 0.99 and 0.352)* | | | | | | | | | |
| (P3.0) | (0.99, 0.352, 0.1515) | 0.29 | 0.95 | 1.26 | 10.04 | −0.10 | 0.28 | −2.22 | −2.05 |
| (P3.1) | (0.99, 0.352, 0.153) | 0.29 | 0.96 | 1.27 | 10.13 | −0.10 | 0.28 | −2.30 | −2.07 |
| (P3.2) | (0.99, 0.352, 0.1545) | 0.29 | 0.96 | 1.28 | 10.19 | −0.10 | 0.28 | −2.30 | −2.07 |
| (P3.3) | (0.99, 0.352, 0.156) | 0.29 | 0.96 | 1.26 | 10.26 | −0.13 | 0.28 | −2.25 | −2.03 |
| (P3.4) | (0.99, 0.352, 0.1575) | 0.29 | 0.96 | 1.27 | 10.34 | −0.13 | 0.28 | −2.23 | −2.03 |
| (P3.5) | (0.99, 0.352, 0.159) | 0.29 | 0.97 | 1.29 | 10.41 | −0.12 | 0.28 | −2.41 | −2.02 |
| (P3.6) | (0.99, 0.352, 0.1605) | 0.29 | 0.97 | 1.27 | 10.48 | −0.14 | 0.28 | −2.39 | −2.02 |
| (P3.7) | (0.99, 0.352, 0.162) | 0.30 | 0.97 | 1.27 | 10.55 | −0.15 | 0.28 | −2.39 | −2.02 |
| (P3.8) | (0.99, 0.352, 0.1635) | 0.30 | 0.97 | 1.25 | 10.63 | −0.18 | 0.28 | −2.37 | −2.01 |
| (P3.9) | (0.99, 0.352, 0.165) | 0.30 | 0.98 | 1.24 | 10.70 | −0.20 | 0.28 | −2.37 | −1.99 |

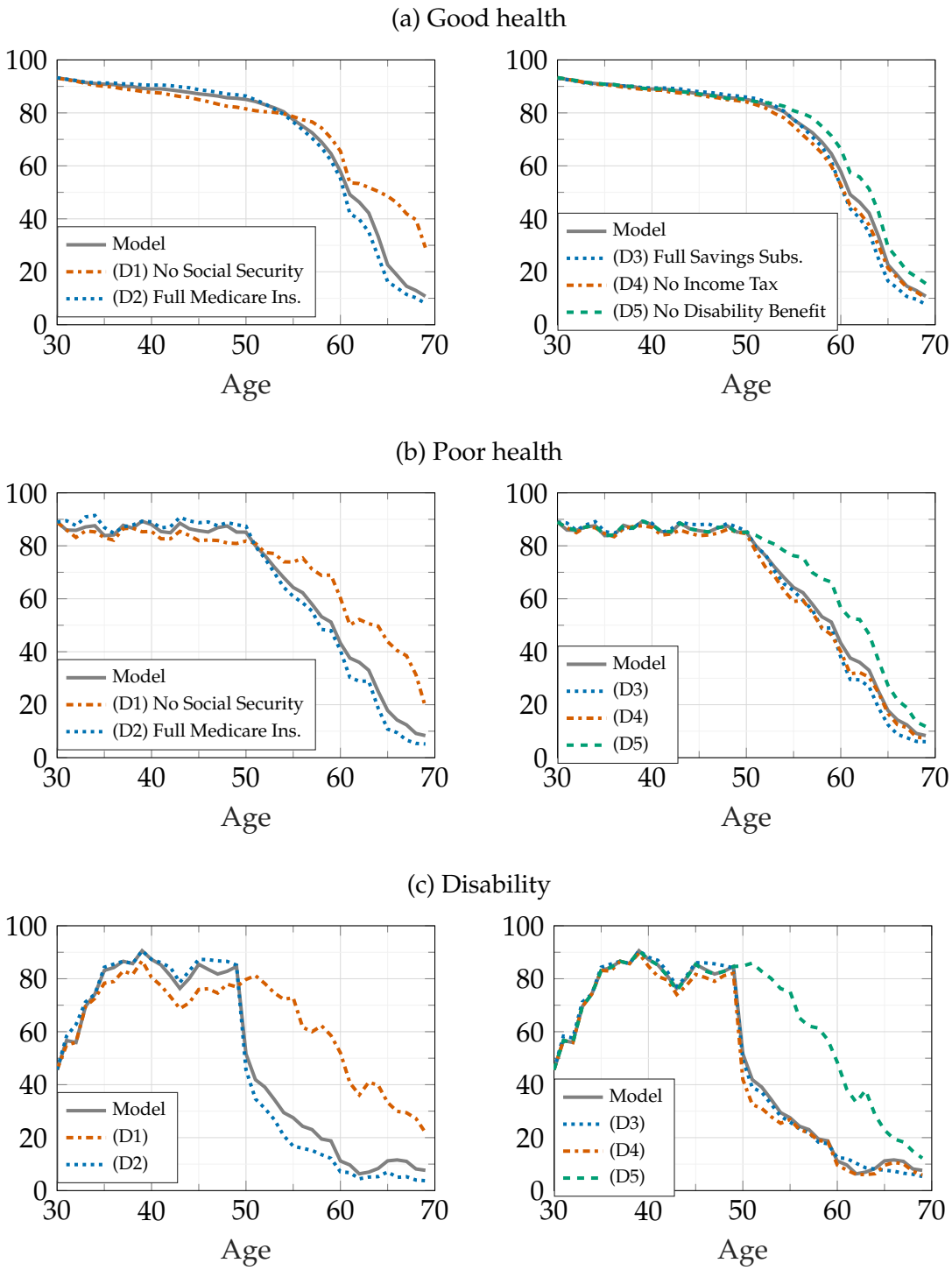
*Notes:* Each row reports the outcomes of simulating the estimated model for the cohort under the reform, announced before age 30 and in force over the life cycle, with prices held fixed (partial equilibrium). The second column gives the three replacement rates of the PIA formula; the status quo is (0.90, 0.32, 0.15). P2.0–P2.9 raise the second rate in steps of 0.32 percentage points with the first rate at 0.99; P3.0–P3.9 raise the third rate in steps of 0.15 percentage points with the first two rates at 0.99 and 0.352. WTP: ex ante consumption-equivalent welfare change at age 30, in percent. Direct: percentage change in the present value of Social Security retirement benefits. Indirect: percentage change in the present value of all other taxes and transfers (DI benefits and consumption-floor transfers, net of income- and payroll-tax revenue). Net: percentage change in the present value of government spending. Present values are per capita and discounted to age 62 (Section 4.3). MVPF: WTP valued with the present value of per capita baseline consumption from age 62, divided by the dollar change in government spending (equation (14)). Δ Participation: change in the labor force participation rate at the indicated ages, in percentage points.

**Figure F.1.** Participation under the Elimination of Policy Instruments




*Notes:* Labor force participation rate (percent) by age, simulated from the estimated model (Model) and from counterfactual economies that eliminate one policy instrument. Left panel: the *No Social Security* experiment (D1) sets Social Security benefits to zero; the *Full Medicare Insurance* experiment (D2) sets out-of-pocket medical expenses after age 65 to zero for participants and nonparticipants. Right panel: the *Full Savings Subsidy* experiment (D3) sets the net return on assets equal to the pretax return; the *No Income Tax* experiment (D4) sets the income tax to zero; the *No Disability Benefit* experiment (D5) sets disability benefits to zero. The *No Social Security* experiment produces the largest increase in participation, followed by the *No Disability Benefit* experiment. Welfare effects are in Table 3.

**Figure F.2.** Participation under the Elimination of Policy Instruments, by Health Status




*Notes:* Labor force participation rate (percent) by age and health status, simulated from the estimated model (Model) and from counterfactual economies that eliminate one policy instrument. Rows (a), (b), and (c) show individuals in good health, in poor health, and with a disability. Left panels: D1 sets Social Security benefits to zero; D2 sets out-of-pocket medical expenses after age 65 to zero for participants and nonparticipants. Right panels: D3 sets the net return on assets equal to the pretax return; D4 sets the income tax to zero; D5 sets disability benefits to zero. The *No Social Security* experiment produces the largest increase in participation. Eliminating disability benefits substantially increases the participation of individuals with a disability after age 50.